OECD Economic Surveys

Portugal

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OECD ECONOMIC SURVEYS

2000-2001

Portugal

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BASIC STATISTICS OF PORTUGAL

THE LAND

Area (thousand sq. km)	91.9

Major cities, resident population (1999, thousands):	
Greater Lisbon	1 836
Greater Porto	1 204

THE PEOPLE

Population (31.12.1999, thousands)	9 998
Number of inhabitants per sq. km	109
Net natural increase 1998-1999 (thousands)	8
Net increase 1998-1999 (thousands)	18

Civilian labour force (1999, thousands)	5 012
Civilian employment (1999, thousands)	4 791
As a percentage of total:	
Agriculture	12.8
Industry (including construction)	35.4
Services	51.8

PRODUCTION

Gross domestic product, 1999 (million of euros)	106 308
Gross domestic product per head, 1999 (euros)	10 633
Gross fixed capital formation, 1999, per cent of GDP	24.9

Gross domestic product at factor cost by origin (1999, per cent of total)	
Agriculture	3.8
Industry (including construction)	28.9
Services	67.3

THE GOVERNMENT

Public consumption, 1999, per cent of GDP	20.0
Public investment, 1999, per cent of GDP	4.1
(Per cent of total investment)	16.6
General government current revenue 1999, per cent of GDP	38.9

Composition of Parliament, 10 October 1999 (number of seats):	
Socialists (PS)	115
Social Democrat (PSD)	81
Unitarian Democratic Coalition (CDU)	17
Popular party (PP)	15
Left Block (BE)	2
Total	230

FOREIGN TRADE

Exports of goods and services 1999, per cent of GDP	29.9
Main exports as a percentage of commodities exports, 1999 (SITC):	
Food, beverages and tobacco	7.1
Chemical and energetic products	8.4
Basic and semi-finished materials	17.2
Clothing and shoes	20.2
Mineral and metal products	9.0
Other manufactured products	38.0

Imports of goods and services 1999, per cent of GDP	40.2
Main imports as a percentage of commodities imports, 1999 (SITC):	
Food, beverages and tobacco	12.6
Chemical and energetic products	19.2
Basic and semi-finished materials	11.2
Clothing and shoes	3.3
Mineral and metal products	9.0
Other manufactured products	44.8

THE CURRENCY

Monetary unit : Escudo	
Currency unit per euro since 31 December 1998	200.482

Currency unit per $, averge of daily figures:	
Year 2000	217.544
February 2001	217.599

N*ote*: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Portugal by the Economic and Development Review Committee on 22nd February 2001.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 20th March 2001.

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The previous Survey of Portugal was issued in October 1999.

Assessment and recommendations

Economic activity has remained strong

The economic expansion continued for a seventh year in 2000, as strengthening demand from Portugal's EU trade partners more than offset a downturn in private consumption. GDP growth of 3¼ per cent was reflected in increasing employment, and the unemployment rate fell to a record low of around 4 per cent. The disinflation process, which had taken the rate of price increase down to just over 2 per cent in 1999 was interrupted from April, the harmonised CPI rise reaching over 4 per cent in early 2001, somewhat above the EU average. The rise in oil prices combined with the weaker euro contributed to this outcome. However, despite slowing domestic demand, Portugal's more advanced position in the cycle appears to have increased pressures on resources, as the gap between actual and potential GDP has closed. The current account deficit has continued to widen, reaching 10¼ per cent of GDP in 2000.

Output growth is projected to ease but inflation will remain above the euro-area average

While the business climate continues to be positive and the increase in EU transfers should underpin investment, output growth is projected to ease slightly in 2001 and 2002. Monetary conditions have tightened, as the ECB has gradually raised rates since November 1999: the three-month Euribor rate rose above 5 per cent in the last quarter of 2000 and credit-market rates have risen more or less in parallel. Enterprises have maintained their borrowing, the depreciation of the euro having limited the degree of monetary firming for the export-oriented sector. But households are now highly indebted, and are rapidly affected by variations in short-term interest rates (most borrowing being at variable rates). Household spending is likely to continue to slow as consumers rein in their borrowing and the saving ratio has stabilised. Overall, with no stimulus expected from

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public consumption, GDP growth of just below 3 per cent is projected for 2001. Unemployment should stabilise at its structural rate of around 4 per cent. Against the background of an economy which will continue to operate near to its potential and despite an assumed easing in the average oil price to below $30, inflation may not fall below 3 per cent over the next two years, which would be 1 percentage point above the average in the euro area.

The current account deficit has widened and could be a sign of overheating…

Under the OECD's world trade assumptions, the current account deficit could remain at around 10 per cent of GDP up to 2002. In countries with a national currency, this level of deficit would be a considerable source of exchange-rate tension, but within the EMU the economy is insulated from strains emanating from the external sector. The deficit, in fact, relieves domestic supply pressures. Nevertheless, even within a monetary union the deficit is a cause for concern. In the first place, to the extent that it reflects a growing gap between supply and demand, it could be an indicator of inflationary pressures to come. Indeed, inflation and its possible effects on Portugal's external competitiveness, are probably the major elements of uncertainty in the projections. Since 1999 there has been increasing wage drift, and discipline will be needed in the 2001 wage negotiations to ensure a more moderate outturn. It is essential that a wage-price spiral be avoided, the consequences of which would be a further deterioration in cost competitiveness or tighter margins, serving to lower exports and investment. In either case, in the absence of wage moderation, there would be a widening of the current account deficit, leading to a more marked slowdown in activity as adjustment become necessary. This risk would be aggravated in the event of a deterioration in the external environment – as noted, Portuguese output growth depends heavily on activity in Europe.

… while private sector debt has risen too fast

More fundamentally, the external deficit may be a symptom of inadequate domestic saving. Even allowing for the normal net inflows of capital transfers into Portugal, of around 2 per cent of GDP, the deficit is high and has been associated with a sharp increase in private sector debt, rather than an inflow of foreign direct investment. Insofar as

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low capital mobility formerly prevented the pursuit of optimal consumption and investment patterns, greater capital-market integration would be expected to raise Portuguese foreign borrowing and the external deficit would not be of concern. Moreover, as is noted below, prudential rules have been tightened and financial sector risk indicators (such as non-performing loans) do not display any untoward shift towards greater risk-taking. Nevertheless, even if, as projected, the external deficit now stabilises, it would be associated with a continuing deterioration in Portugal's net foreign asset position. This indebtedness increases the vulnerability of the economy to a change in economic conditions in that it increases the possibility that a severe demand adjustment may be needed. The more expeditiously domestic saving is increased, the greater the probability of maintaining a relatively smooth growth path.

The pace of fiscal consolidation has been slow

In these circumstances, the setting of fiscal policy is the main instrument available to authorities to dampen demand pressures and bring inflation and the current account deficit down. The general government budget deficit has continued to decline in line with Portugal's commitments to the Stability and Growth Pact, falling to 1.4 per cent of GDP in 2000. But since 1997 the pace of fiscal consolidation has been slow, as most of the gains from higher revenues and lower debt payments have been used to increase primary current spending. On a cyclically-adjusted basis and excluding exceptional revenues from the sale of mobile telephone licences in 2000, net lending narrowed only very slightly over the period 1998-2000. This has implied a broadly neutral fiscal stance. Given the advanced stage of the cycle, a faster pace of deficit reduction would have served the aims both of fiscal consolidation and better control of demand pressures.

Budget implementation problems have emerged…

The problems encountered during the implementation of the 2000 budget are an indication of the additional difficulties that budgetary policy now faces, the opportunity to step up fiscal consolidation having gone unexploited at a time when conditions would have facilitated the process. Planning and control problems have emerged on both the revenue and expenditure sides. Total revenue was lower

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than expected in 2000, in part due to tax cuts to limit the domestic impact of higher international oil prices, while current expenditure pressures intensified after the budget was approved. To meet budget deficit targets an intra-year spending freeze was implemented, falling disproportionately on capital outlays, with primary current spending being allowed to increase by 1.7 percentage points of GDP. Against this background, the 2001 budget may pose severe challenges. It envisages a further reduction in the general government deficit to 1.1 per cent of GDP, which on a cyclically-adjusted basis and excluding the non-recurring receipts from the sale of mobile concessions in 2000, implies a significant planned policy tightening. However, as in previous years, the authorities expect consolidation to be achieved mostly through an increase in current revenue, which might not materialise, raising the spectre of another intra-year spending freeze. The continuous reliance on contingency measures suggests fundamental weaknesses in the budget process, which must lead to inefficiencies in the composition of public spending. Short-term expedients should not be allowed to substitute for longer-term budget discipline, which should include measures preventing budget revenues being used to smooth fluctuations caused by international oil prices. More fundamentally, the budget process should be re-examined so as to ensure more realistic spending and revenue programming, within a longer-term budget consolidation strategy that does not require continual fine-tuning in the face of short-term disturbances. The new framework law for the state budget, currently under discussion, should ensure that progress is made towards better budget planning and implementation, based *inter alia* on multi-annual financial programming and activity-based budgeting.

… calling for better control over public spending

The medium-term budget programme, 2001-04, does not yet incorporate significant progress in spending control, but the public finance consolidation programme now being drawn up offers an important opportunity to reassess and restructure programme priorities in the light of their cost and efficiency. Meeting the objective of budget balance by 2004 continues to depend on significant annual increases in the tax take, over and above the rate of growth of GDP.

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This means that the deficit could remain subject to predictive error. Even if the extra tax receipts do materialise, raising the tax burden by over 1 percentage point of GDP could harm Portugal's competitive position. This is not the most effective way of supporting the strong export-oriented growth on which budget consolidation partially depends. On the spending side, convergence to the productivity levels in more advanced EU countries requires that reductions in net capital outlays be avoided, so that a high ratio of capital spending to GDP is justified. But this should point to the need for stronger efforts to control primary current expenditures, including actions designed to address the structural causes of spending overruns. These originate in three main areas: *i*) the health sector, which is plagued by inefficiencies that have not been fully addressed by recent reforms; *ii*) the public sector payroll bill, where spending per employee has been growing rapidly, due to generous wage increases and strains related to pension benefits; and *iii*) the social security system, where population ageing will present a growing challenge to the "pay-as-you-go" scheme. Each of these areas requires remedial attention.

Medium-term fiscal goals are unambitious

As for Portugal's medium-term budget-deficit objectives, these wholly comply with the Stability and Growth Pact requirements, but the goal of achieving budget balance by 2004 is unambitious and should be brought forward. If there is a cyclical downturn, the 3 per cent budget deficit limit should, in normal circumstances, be respected while allowing built-in stabilisers to operate. However, growth as strong as that assumed in the Programme would push output to a level where it would probably be at or even above potential in 2004, according to OECD estimates, which implies that budget balance is planned to be achieved only at a level of activity close to the cyclical peak. A significant surplus at that point would be necessary to ensure balance for the budget over the cycle, as should be the aim. Specifying the budget constraint in this way would act to correct the deficiency in national saving. It would also further reduce the risk of having to resort to disruptive pro-cyclical action to prevent the deficit limit from being breached in the event of a sharp correction to private saving emanating from the strong surge in indebtedness noted above.

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The tax system has positive features, but also major flaws

For budgetary and efficiency reasons, tax reform is one of the most pressing items on the structural reform agenda, as recognised in recent legislative initiatives. The system has developed positively in the past decade. Following the 1989 tax reform, tax bases have been broadened and statutory tax rates lowered. Successful steps have been taken to raise tax compliance and these contributed to faster revenue growth in the latter half of the 1990s. The introduction of the VAT has brought a major improvement to the tax system. At 34 per cent of GDP, the overall tax burden is not especially high, and is not out of line with other OECD countries with similar per capita incomes. Aggregate marginal tax wedges on labour income are somewhat below the OECD average for most wage and family situations, so that distortions to the labour market from this source should be limited. However, there are some features of the tax system, such as the non-neutral taxation of capital and the design of some tax benefits and tax incentives, which increase the excess tax burden, while tax avoidance and evasion contribute to a widespread perception of a lack of fairness of the system. While retaining the positive features of the system, including, especially, the low overall tax/GDP ratio, reform of the tax structure to increase efficiency and equity has become a policy priority. Several measures were approved at the end of 2000, and the reform process is still in progress.

More uniform tax enforcement is essential…

One of the most important problems with the income tax system relates to the taxation of self-employed and small businesses, where tax enforcement is difficult. Revenues received from these groups, which embrace large numbers of potential taxpayers, are very low. In order to address this problem, a simplified tax regime was introduced at the beginning of 2001. This should be seen as a first step in the fight against tax evasion. However, for greater fairness and neutrality, a more accurate assessment and auditing of the income of the self-employed and micro businesses is required, calling for reliable bookkeeping. The generosity of tax breaks should be reconsidered, as well as the still low contributions of the self-employed to the social security system. Additional revenues from a base broadening of this sort would allow a reduction in the

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personal income tax rates and social security contributions, which in turn would help to reduce disincentives to work in the "declared" (formal) economy. In this context, tax law should be made clearer and more definitive, court processes accelerated, the process of investigation for tax evasion made more expeditious, and the training for inspectors enhanced. Some measures to ease bank secrecy for tax purposes were taken in December 2000, which constitutes a move in the right direction.

… as is an overhaul of tax breaks allowed under the corporation tax

Reforming the company tax system provides an even greater challenge. The corporate income tax rate is gradually being lowered. However, tax incentives for the business sector complicate tax administration and increase economic costs. Due to the difficulties in verifying if all the deducted items are effectively connected to the firm's activity, and not associated with tax evasion practices, a large amount of inadmissible losses are presented for tax purposes, reducing fiscal revenues. Currently, a very small number of corporations pay the bulk of corporation tax receipts in Portugal. Incentives and deductions need to be re-assessed and further streamlined to allow base broadening and a harmonisation of the corporate income tax rate at a single relatively low rate. This would reduce the current bias in favour of small businesses.

The tax system should be more neutral towards savings and investment decisions

Taking income and capital taxes together, taxation of the various forms of income from financial capital has been uneven, distorting saving decisions. Different forms of capital income are taxed at substantially different rates, the disparities tending to affect both the allocation of capital and firms' financing decisions. Interest payments (from both bank deposits and bonds) are taxed at an effective rate of 20 per cent, as they are fully deductible from the base of the corporate income tax. Financial capital gains, which were not taxed at the level of the individual, if shares were held for at least twelve months, have been one of the most favoured forms of passing on profits. Capital gains (as of 2001) and dividends (as of 2002) are subject to the progressive income tax schedule. This change will go some way to improve tax neutrality between corporate financing with new equity and retained earnings, but it will not remove the strong bias in

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favour of debt finance. Concerning the special regimes for the free-trade zones of Madeira and the Azores, they are currently reviewed in the context of the OECD initiative on potential harmful tax practices. The taxation of property is also under examination and needs to be reformed while ensuring a smooth transition so as to avoid disruptive effects on property prices. The National Land Registry should be updated to provide for a more accurate basis for assessing property and VAT on the sale of new buildings (as recommended by the Sixth EU Directive) could replace the inefficient transaction tax SISA. Greater flexibility in setting property taxes could be given to local governments, enabling them to become more responsive to the concerns of voters.

Unemployment is low, but further efforts are needed to enhance flexibility in the labour market

The Portuguese labour market is characterised by low unemployment and a relatively high employment rate. These favourable outcomes are the result of a high degree of wage flexibility, the continuing reinforcement of active employment policies and an increasing recourse to more flexible forms of employment (for instance, fixed-term contracts). In fact, active labour market measures have been deployed on a large scale to facilitate entry and re-entry into the labour market of population groups at risk, such as the youth and long-term unemployed. Furthermore, while the social safety net has been strengthened, unemployment-benefit and pension provisions have been adjusted to help "make work pay", thereby improving incentives to take on declared jobs. It is important to preserve the features which have given *de facto* flexibility to the labour market. One remaining element of inflexibility is employment protection legislation, which is relatively restrictive and can be an obstacle to hiring on "regular" contracts. Dismissal rules for individuals are still rather costly. The proposed fiscal incentives for employers to transform fixed-term into indefinite contracts for the young and long-term unemployed should not be seen as a substitute for an easing of restrictive job protection rules which, coupled with stricter application of labour norms, would be the best way to facilitate adjustment to the competitive environment.

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Upgrading skills and competencies is essential for economic convergence

Recent initiatives have been taken within the framework of the National Action Plan, the lines of action being generally in accordance with recommendations made, in the context of the OECD *Jobs Strategy*, in past *Economic Surveys of Portugal*. These policies have been supported financially by considerable EU transfers. The employment strategy embraces, among other goals, the objectives of adjusting labour legislation to new forms of employment, such as part-time work and short-duration employment, while also ensuring that workers involved in such arrangements are legally protected. Adaptability of work practices is particularly crucial for taking advantage of new job opportunities. Evaluation of the results achieved by the Plan should serve to adjust and fine tune the strategy and should become a continuous and systematic process, with a view to improving the efficiency of labour-market programmes and rationalising the numerous (and sometimes overlapping) existing instruments. The process of reform should be facilitated by the considerable improvements achieved in recent years to provide wider and better education and training, which have played a role in Portugal's good labour-market performance. The continuing challenge, if the country is to successfully advance towards a skilled-based economy, lies in further enhancing skills and competencies.

Product market liberalisation should be stepped up

Significant progress has been made in promoting product market competition since the early 1990s, but the pace of change has slowed somewhat in recent years. The privatisation programme has been among the most ambitious in the OECD area, netting over €14 billion in the ten years to 1999. However, no major enterprises have been added to the privatisation list since 1998 and the process can be deepened. Overall, the relative size (and scope) of the Portuguese public sector remains large. State ownership is still significant in transportation (air, railroad, maritime) and finance. To the extent that eventual efficiency gains in these sectors could have strong spill-over effects on the rest of the economy, further sell-offs should be considered. It is important, however, that continued state intervention, for example through the retention of special voting rights in some companies, should not forestall the efficiency gains which are the fundamental rationale for transferring

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ownership to the private sector. Most crucially, while fierce competition has been generated by the liberalisation of the telecommunications sector, the opening of other network industries has sometimes been too slow or ineffective, leading to inadequate market contestability, and inefficiencies:

– In the electricity sector, recent deregulation measures taken in accordance with EU Directives, have not sufficed to create a competitive market. Electricidade de Portugal has kept a dominant position in generation, transmission and distribution, as the capacity of independent domestic generators remains limited and the present price structure creates little incentive for them to provide electricity directly to final consumers. Priority should be given to revising existing power-purchasing arrangements in the public system, eliminating asymmetries related to the pass-on of cost reductions to prices. Further efforts should also be made at the EU level to implement a harmonised system for cross-border tariffs.

– In the oil and gas distribution sector, a holding company (GALP) was created in April 1999 with the merger of the national gas and oil companies. The new company has been gradually privatised and some progress has been made in developing the appropriate legal framework. However, the regulatory body is not yet in place and in the case of gas, the network is still under construction. Existing price regulations on unleaded gasoline and diesel should be abolished, and GALP's monopoly on the transport and sale of natural gas should be phased out before the 2007 deadline foreseen under the derogation Portugal obtained from the EU Gas Directive.

Finally, the present regulatory framework still has important deficiencies and needs updating, particularly with respect to the institutional setting of competition policy. Reforms should seek to give the Competition Authority enhanced administrative and financial autonomy.

Financial sector prudential issues are being tackled

Reforms undertaken since the late 1980s have significantly transformed the Portuguese financial sector, to the extent that most performance indicators have either converged or surpassed OECD averages and the sector is in relatively good shape. More recently, the authorities have

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tackled important policy issues concerning prudential regulation and supervision. The creation of a National Council of Financial Sector Supervisors and the approval of a new Securities Code have been important steps which will help ensure the future solidity and efficiency of the system. Action has also been taken to address concerns of a prudential nature that might arise from the recent rapid expansion of domestic credit and the consequent increase in household indebtedness. This has included the rise in required provisions on consumer credit and the tightening of capital adequacy rules related to mortgage loans for residential purposes. These moves have been complemented by action to build the necessary legal and prudential background for the development of mortgage-backed securities, which will facilitate banks' liquidity management, while allowing them to reduce their balance sheet exposure. Remaining to be addressed are issues related to the ongoing consolidation and restructuring of the banking system. In that regard, the easing of transferability rules for the bank employees' pension system would facilitate continued adjustment, while further privatisation in the financial sector should be envisaged.

Summing up

Overall, the favourable economic performance of the Portuguese economy noted in previous *Surveys* has continued, but there are a number of warning signals. Output growth has remained strong in 2000 and unemployment has fallen to a low level, but after seven years of expansion, the output gap has closed and pressures on production capacity have started to be felt. The underlying inflation differential *vis-à-vis* the euro-area average has remained around 1½ percentage points, and the current account deficit has widened, reaching 10¼ per cent of GDP. Even within a monetary union, accumulation of private-sector debt associated with a current account deficit of this magnitude will, if no policy actions are taken, necessarily lead to an endogenous reaction by households to cut back their borrowing. There is already evidence that an adjustment process has begun, evidenced in the slowdown in domestic demand and a stabilisation of the saving ratio. But the process of restoring better balance to supply and demand will require strong support from fiscal policy, which remains the main

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macroeconomic tool available to ensure that the adjustment takes place at a sustainable pace. Portugal has consistently met its budget deficit targets under the Stability and Growth Pact, but these have not been ambitious given the generally favourable economic conditions and continue to be unambitious over the next four years. Moreover, in meeting its budget deficit targets, Portugal has increased both tax revenues and current expenditures sharply relative to GDP in the last few years. In the future, fiscal adjustment is likely to require better control of public spending, which calls for further structural reform in the health and other social spending sectors, as well as stronger action to rein in the public sector payroll. Indeed, a fiscal reform that reduces distortions, improves tax compliance and harmonises tax rates at a lower level, as foreseen in some of the current government proposals, would strengthen Portugal's supply-side performance, while also enhancing equity. This would be reinforced by further steps to increase product market competition and re-energise the privatisation programme. Combined with the on-going efforts to enhance human capital and the infrastructure, such structural reforms should allow the convergence of per-capita incomes to levels in more advanced EU partners to continue on a sustainable basis.

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I. Economic expansion: trends and prospects

Overview

The cycle of expansion that began in 1994 continued in 2000, thanks to the strength of exports and despite a sharp slowdown in domestic demand. Portugal is one of the euro-area countries that has had the highest growth in recent years, averaging an annual rate of 3½ from 1995 to 2000, a point higher than the euro-area average (Figure 1).[1] The output gap, which was estimated by the OECD to be about 2 percentage points in 1994, was closed in 1998. For the past four years, domestic demand has been growing well in excess of incomes. The consequent rise in private-sector indebtedness has been reflected in a continuous widening of the current account deficit, while GDP has been growing more or less at its potential since 1998. The current account deficit reached about 10¼ per cent of GDP in 2000, with net capital transfers from the EU financing around one fifth (Table 1). The unemployment rate fell to 4 per cent, while inflation rose, as elsewhere in the euro area, due to the hike in oil prices combined with the weakening of the euro. The interest rate increases in the euro area prompted a tightening of monetary conditions, which was tempered by the weakening of the euro against the dollar and the yen. The stance of fiscal policy in 2000 was accommodating, but the consolidation projected for 2001 could have a slightly restrictive impact on domestic demand, which is expected to slow to about 3¼ per cent in 2001 and 2002, while GDP growth is projected at just below 3 per cent. The slowdown, combined with an easing in energy prices, would make it possible to moderate headline inflation.

Economic activity remained buoyant in 2000

Real GDP grew by 3¼ per cent in 2000, close to the rate during the previous two years, but there was a marked shift in the composition of economic activity. Private consumption resumed a more moderate rate of growth, while exports became the main engine of growth (Figure 2). At this point in the cycle, the slowing of domestic demand is necessary to ease pressures on resources and thus prolong the current cycle. From 1994 to 1996, at the outset of the cycle, the expansion was led by exports, but from 1997 domestic demand became the main engine of growth: first investment, and during the period 1998-99, the boom in

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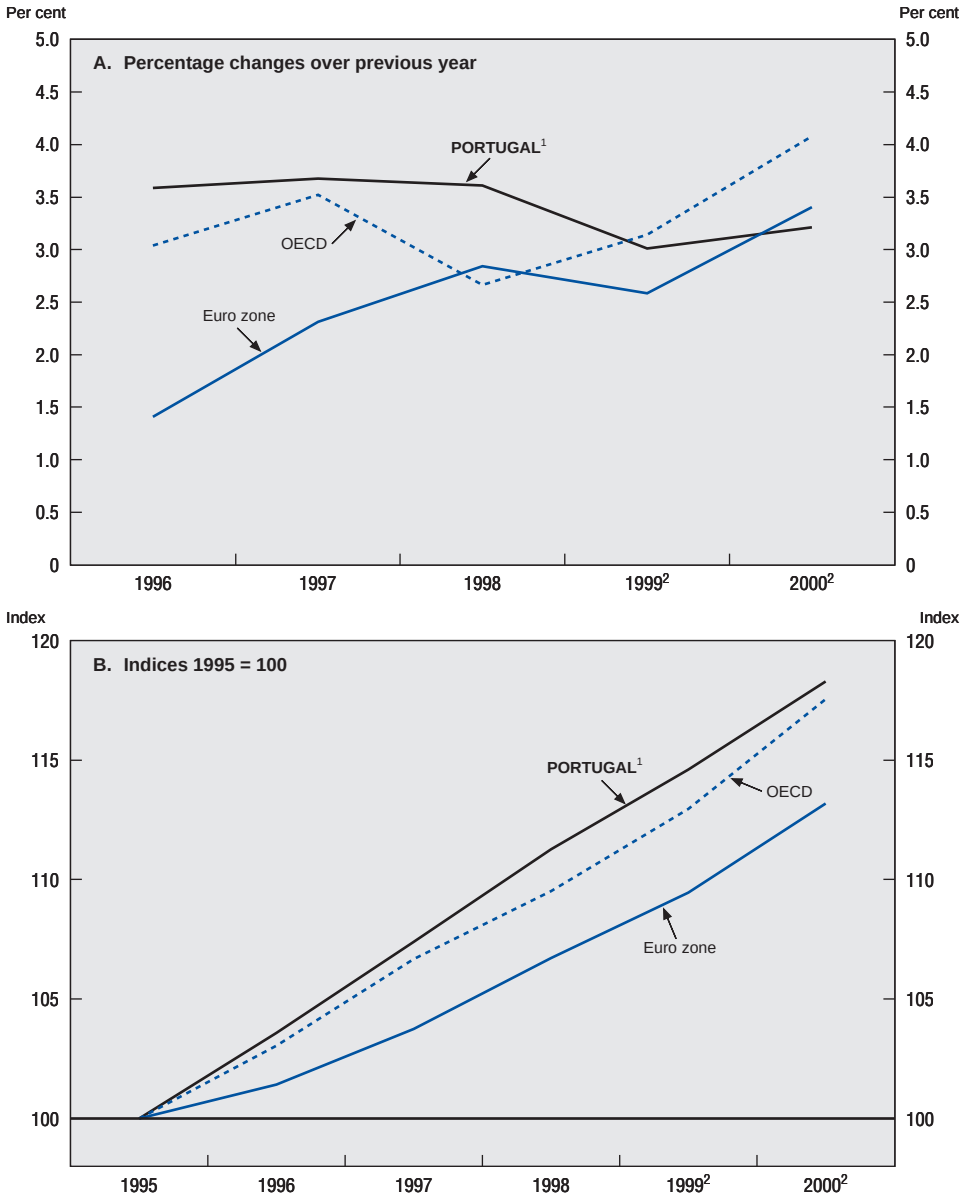
Figure 1. **Real GDP development compared**



1. Based on the revised National Accounts (ESA 95).
2. OECD estimates.

Source: OECD.

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Table 1. **Macroeconomic performance at a glance**
Percentage changes

	1996	1997	1998	1999[1]	2000[1]	1996	1997	1998	1999[1]	2000[1]
	Portugal					Euro area				
Real GDP	3.6	3.7	3.6	3.0	3.2	1.4	2.3	2.8	2.6	3.4
Total domestic demand	3.0	4.6	6.1	4.7	3.7	1.1	1.8	3.5	3.1	2.8
Inflation[2]	3.2	2.2	2.6	2.5	2.9	2.5	2.0	1.4	1.1	2.2
Unemployment rate, per cent	7.3	6.8	5.0	4.4	4.0	11.4	11.5	10.8	9.9	9.0
Saving ratio of households[3]	10.5	10.4	10.1	8.8	8.7	12.0	11.3	10.3	9.6	9.0
General government balance (per cent of GDP)										
Actual	–4.0	–2.6	–2.3	–2.0	–1.4	–4.3	–2.6	–2.2	–1.3	0.3
Cyclically adjusted	–3.6	–2.5	–2.4	–2.1	–1.9	–3.0	–1.5	–1.3	–0.6	–0.6
Current account balance (per cent of GDP)[4]	–4.0	–5.9	–7.3	–9.0	–10.3	1.1	1.5	1.2	0.5	–0.1

1. Based on OECD estimates.
2. Data refer to the private consumption deflator.
3. As a percentage of disposable income.
4. The current account balance is reported under the methodology of the *Fifth Manual of the Balance of Payments*. Capital transfers which used to be recorded in this balance for Portugal are now excluded; they are shown in Table 3.

Source: OECD.

private consumption. Over this two-year period, domestic demand grew at an annual rate of 5 to 6 per cent, but this went hand in hand with a surge in imports and – as in the final years (1990-92) of the previous cycle – the negative contribution of the external balance acted as a sharp break on growth, equivalent to 2 to 3 percentage points of GDP per year. In 2000, export demand quickened, buoyed by a strong revival in external markets while the depreciation of the euro limited the loss of competitiveness, so that the dampening effect of the real external balance was reduced (Table 2).

Household demand slowed…

A number of factors prompted a decline in household confidence at the start of 2000, and private consumption slowed slightly. The rise in interest rates which began towards the end of 1999, coupled with the high level of indebtedness of households (then reaching 76 per cent of disposable income compared with less than 44 per cent at the end of 1996), pushed up their interest payments; most mortgage rates are floating, which makes households more vulnerable to changes in interest rates.[2] At the same time, the rise in consumer prices in the wake of the oil price adjustment had a direct negative effect on household real disposable income, and uncertainties about the size and date of price adjustments still to come probably contributed to reduce confidence. Household purchases slackened, especially

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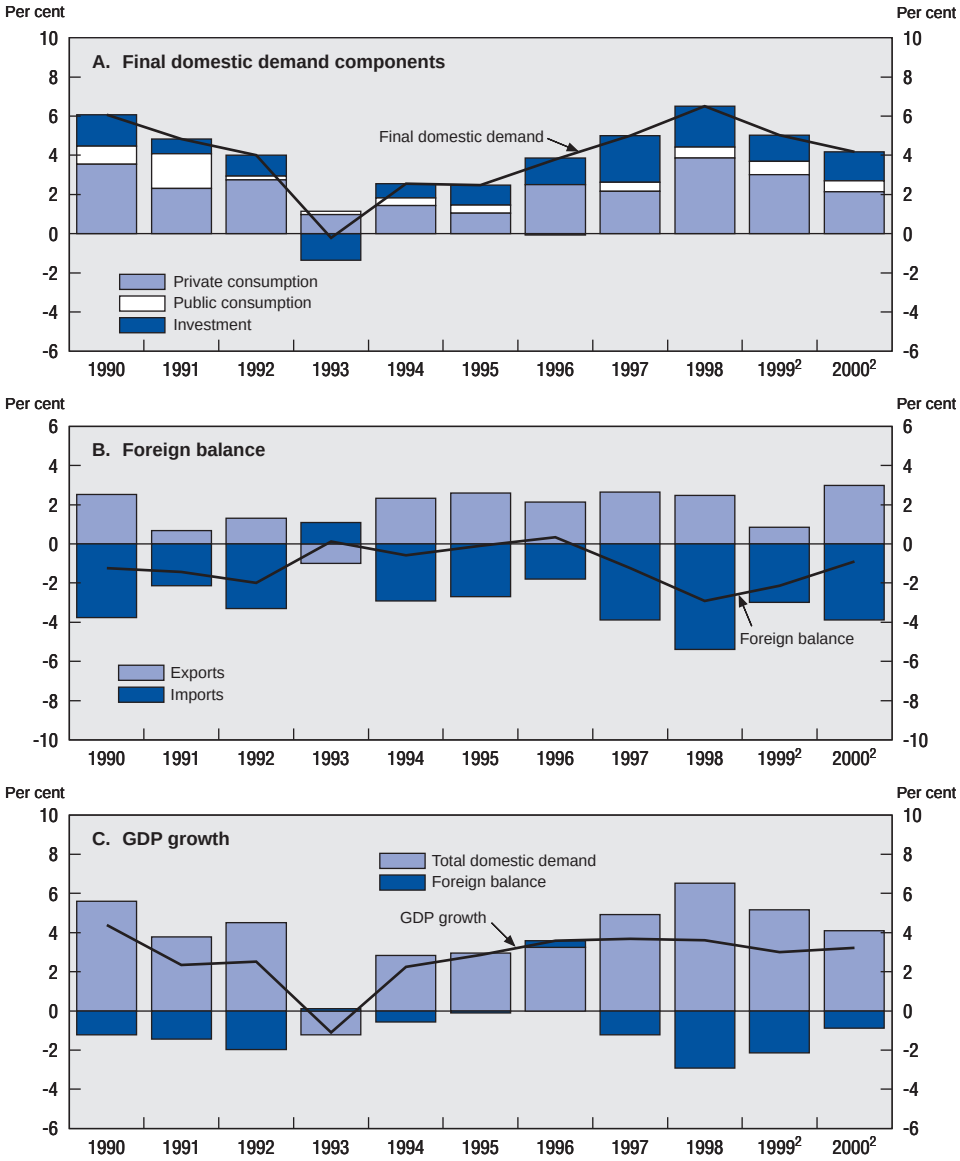
Figure 2. **Contribution to real GDP growth**[1]
Percentage points



1. Based on ESA 95; data prior to 1995 have been adjusted for the statistical breaks.
2. OECD estimates.

Source: OECD.

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Table 2. **Recent trends**[1]

	1997 current prices	1998	1999	2000
	Billion escudos	Percentage change		
Demand and output (volume)[2]				
Private consumption	11 851.6	6.0	4.6	3.2
Government consumption	3 561.1	3.0	3.8	3.2
Gross fixed capital formation	4 442.8	8.8	5.4	5.8
Final domestic demand	19 855.5	6.1	4.6	3.8
Change in stockbuilding[3]	116.5	0.0	0.0	–0.1
Total domestic demand	**19 972.0**	**6.1**	**4.7**	**3.7**
Exports of goods and services	5 685.6	7.6	2.5	8.9
Imports of goods and services	7 076.1	13.8	7.0	8.7
Change in foreign balance[3]	–1 390.5	–2.9	–2.1	–0.9
GDP at market price	**18 581.5**	**3.6**	**3.0**	**3.2**
Memorandum item:				
GDP deflator	. .	3.8	3.5	2.6
Private consumption deflator	. .	2.6	2.5	2.9

1. OECD estimates for 1999 and 2000.
2. At 1995 constant prices.
3. As a percentage of GDP in the previous year.

Source: Ministry of Finance; OECD *National Accounts*; OECD.

for durable goods, which was reflected in slowing imports of such goods. Consumer credit growth slackened from the second quarter, and it would seem that the household saving ratio, which had been falling steadily for several years, was virtually flat in 2000.

As regards construction, trends were differentiated in 2000. Housing construction slowed somewhat. This sector had expanded rapidly in recent years up to 1999, in line with the fall in interest rates. From the fourth quarter of 1999 however, the upturn in interest rates made home purchases much more expensive; this effect was compounded by the introduction of new, more restrictive measures concerning subsidised housing loans.[3] In contrast, public works remained very buoyant, up by 27 per cent in nominal terms during the first nine months of 2000, corresponding to work commissioned in 1999. In 2000, contracts awarded for new public works projects were up by nearly 50 per cent.

... while corporate investment was still strong

Gross fixed capital formation remained fairly buoyant in 2000 despite a slowdown in the course of the year. As in several other OECD countries, and in

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Europe in particular, firms in Portugal are still faced with the need to increase their production capacity, to modernise their plant and to develop new information and communications technologies. The environment remained favourable to investment, with export order books up, a positive climate of business confidence, and high levels of capacity utilisation. The hike in interest rates is an adverse factor, since bank lending has risen at a fast pace in the past few years, leading to a steady increase in the indebtedness of non-financial firms. Capital goods purchases grew slightly less rapidly in 2000 than in the previous year; imports of these goods (excluding transport equipment) remained buoyant, while domestic production fell.

In 2000 the investment ratio reached a peak for the current cycle at 26.9 per cent of GDP. By then, gross saving by the private sector had fallen to just over 14 per cent, or 5 percentage points less than in 1996 (Table 3). Public saving, which had become positive from 1997, was virtually flat thereafter, at around 2 per cent of GDP. The investment boom was thus accompanied by an increase in foreign saving, with the current account deficit widening steadily, to over 10 per cent of GDP in 2000. Capital transfers from the European Union contributed a little more than 2 percentage points to investment financing (see the section below on the outlook). In the longer term, EU transfers and emigrants' remittances could decline but the convergence process should have progressed still further by then, and investment needs would be more comparable with those of the more advanced EU countries.

Table 3. **Aggregate saving and investment**[1]

Per cent of GDP

	1996	1997	1998	1999	2000
Gross capital formation	**23.6**	**25.2**	**26.1**	**26.5**	**26.9**
Gross domestic saving	**19.6**	**19.3**	**18.8**	**17.5**	**16.5**
Private	19.8	18.2	16.9	15.3	14.4
Public[2]	–0.2	1.0	1.9	2.3	2.1
Foreign saving[3]	**4.0**	**5.9**	**7.3**	**9.0**	**10.3**
Memorandum items:					
Household saving (per cent of GDP)[4]	9.9	9.6	8.7	7.1	6.9
Capital transfers[3]	2.0	2.5	2.3	2.2	1.5

1. Saving and investment data are based on the national accounts for 1996-98; as of 1999, data are Bank of Portugal and OECD estimates.
2. General government; data based on the budget as published by the Ministry of Finance as of February 2001.
3. The current-account balance is reported under the methodology of the *Fifth Manual of the Balance of Payments*. Capital transfers (mostly EU), which were previously recorded in this balance are now excluded; they are shown separately.
4. The household sector comprises households (including the self-employed) and private non-profit institutions.

Source: Ministry of Finance; Bank of Portugal; OECD *National Accounts*, OECD estimates.

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Growth was rich in jobs and the unemployment rate fell to a historic low

The improvement in the labour market situation in recent years continued in 2000, thanks to the economic expansion. In 1998, the labour market had benefited from particularly favourable factors, notably Expo 98, and it might have been feared that their effects would only be temporary. However, though dipping slightly, most indicators continued to signal a positive trend up to mid-2000. Participation rates rose in line with the trend of the previous two years, thanks to the rise in female participation rates and a recovery in male rates, the "discouragement" effects having disappeared in the past few years. As in some other OECD countries, employment has grown briskly since the start of the cycle, and the employment rate is slightly above the EU average (Figure 3). Total employment is estimated to have increased by about 1½ per cent in 2000, with the number of dependent workers up by 2½ per cent, slightly less than in previous years. Self-employment fell for the third consecutive year, though its share in total employment is still one of the highest in the OECD.

As in the rest of the OECD, the service sector is the main source of net job creation. Furthermore, employment in construction sector, benefiting from the dynamism of public works, accelerated sharply in 2000. In contrast, employment shrank further in manufacturing industry, in line with a steady trend since the start of the decade. This reflects the sweeping restructuring under way in Portuguese industry, especially in highly labour-intensive sectors such as clothing and the leather industry, while sectors that are less labour-intensive represent a growing share of output and foreign trade (see section below). Employment in the form of fixed-term contracts is still the main beneficiary of the buoyant labour market, while the proportion of indefinite-term contracts, which had risen in 1999, was virtually flat in 2000. Now that economic growth has reached maturity, this evolution may reflect growing uncertainty among employers as to the strength and duration of the expansion, in a context where the legislation on laying off workers is still relatively restrictive (see Chapter IV).

Benefiting from the steady growth of employment, the unemployment rate fell again, to about 4 per cent in mid-2000, compared with 4.7 per cent early 1999 (Table 4).[4] Portugal's unemployment rate is thus close to its structural level – as measured by the unemployment rate compatible with stable inflation (NAIRU), which is estimated at around 4 per cent by the OECD.[5] The youth unemployment rate continued to fall in 1999 and 2000, due to the improvement in the overall labour market situation but also to a range of employment measures targeted at this vulnerable category (Chapter IV). At the same time, job vacancies have been rising steadily. Despite the increase in participation rates, it would seem that the labour market is starting to show strains, putting considerable pressure on wages.

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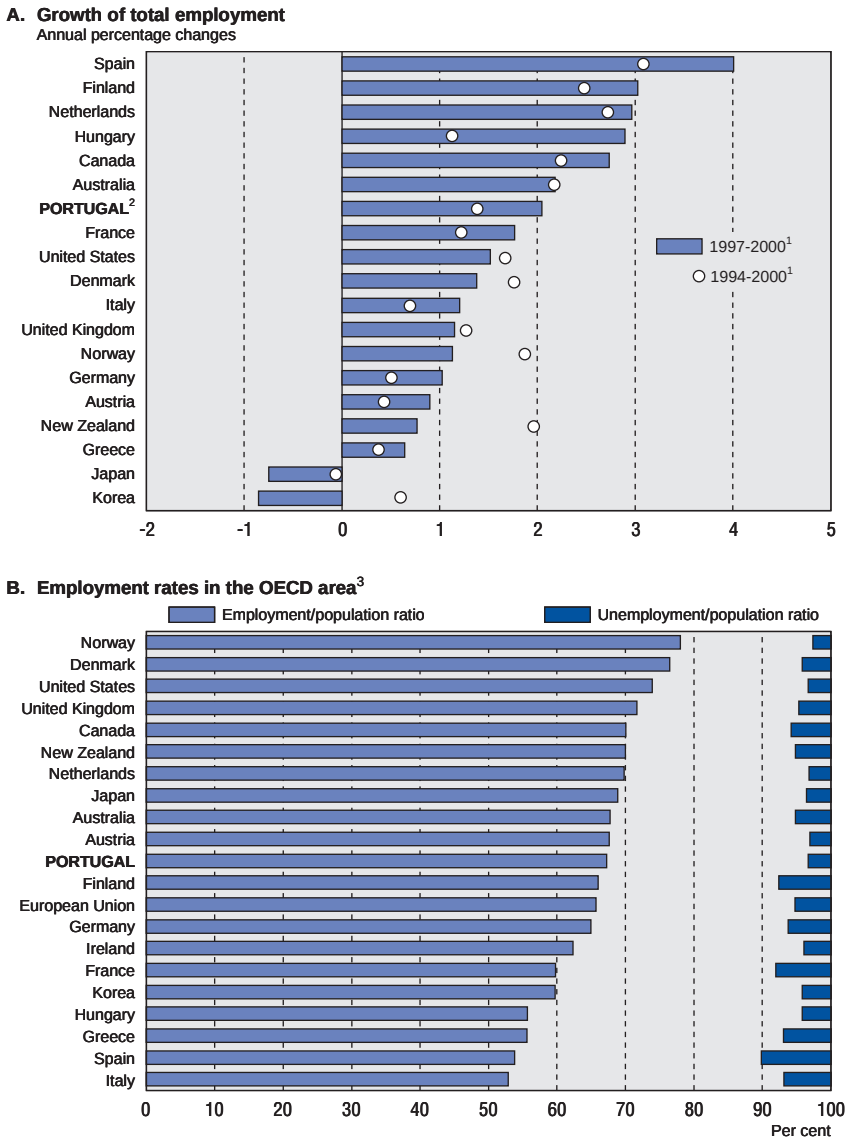
Figure 3. **Employment at a glance**



1. OECD estimates for 2000.
2. Break in 1998, data have been adjusted.
3. 1999 or latest year available. Ratios refer to persons aged 15/16 to 64 years who are in employment or unemployment, divided by the working-age population aged 15/16 to 64.

Source: OECD, *Main Economic Indicators*; *Labour Force Statistics*.

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Table 4. **Labour-market indicators**[1]

	1995	1996	1997	1998[2]	1999	2000
	Percentage changes from a year earlier					
Total labour force	–0.3	0.7	1.4	0.6	1.2	1.3
Employment, total	–0.6	0.6	1.9	2.5	1.8	1.7
Male	–0.9	0.5	1.6	1.7	0.9	1.6
Female	–0.3	0.7	2.3	3.4	3.0	1.8
Agriculture	–2.6	8.5	13.7	–2.6	–4.9	1.4
Industry, including construction	–2.1	–2.1	2.6	1.2	0.0	1.5
Services	0.7	0.6	–1.0	4.8	4.7	2.2
Dependent employment	–1.0	–0.4	1.4	3.9	3.3	2.5
of which: public sector employment[3]	1.1	–3.9	–1.4	. .	5.5	. .
	Per cent					
Participation rate, total[4]	67.2	67.5	68.6	70.1	70.6	71.3
Male	75.4	75.5	76.4	78.0	78.6	. .
Female	59.4	60.0	61.1	61.9	62.8	. .
Unemployment rate, total[5]	7.2	7.3	6.8	5.0	4.4	4.0
Male	6.4	6.5	6.1	4.0	3.9	3.2
Female	8.0	8.2	7.6	6.3	5.1	5.0
Youth (15-24)	16.2	16.7	14.9	10.2	8.7	8.7
Long-term unemployment[6]	39.4	42.0	43.6	42.5	37.6	42.7
Job vacancies/total labour force	0.18	0.19	. .	0.26	0.27	0.30
Fixed-term contracts[7]	11.1	12.5	14.2	17.5	19.0	20.4

1. Break in 1998. Before 1998, the sample represents persons of 14 years and over and refers to mainland Portugal. Since 1998, the sample represents persons aged 15 and over and refers to the whole country.
2. Changes are second half of 1998 from second half of 1997; ratios are annual averages.
3. General government, education and health. See Figure 14 for international comparison.
4. As a percentage of working-age population; rate in 2000 is for Q3.
5. As a percentage of the labour force of the group or age group; under the new methodology, rate in 1998 is about ¾ percentage point lower than under the previous methodology.
6. 12 months and over as a per cent of total employment.
7. As a per cent of total contracts for wage-earners.

Source: Ministry of Labour and Solidarity; INE.

The revival of underlying inflation has been significant

Having fallen to 1.5 per cent in March 2000, the annual inflation rate, as measured by the consumer price index, rose again, reaching over 3.5 per cent as from August, following the increase in domestic oil prices[6] coupled with the effects of the depreciation of the euro. Reflecting a second round of domestic oil price increases and an exceptional rise in fresh food prices, the index rose further, reaching 4½ per cent in January-February 2001. The inflation differential between Portugal and the euro area, which had become negative during the first few months of 2000, widened thereafter, to around 1 percentage point in the latter part of the year and to over 2 percentage points in early 2001. This can be explained

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mainly by the policy pursued by the Portuguese authorities, which passed on, with a certain lag, and only in part, the rise in world oil prices to domestic prices of petroleum products. The behaviour of unprocessed food prices, which have a relatively high weight in the Portuguese inflation index, also contributed to this outcome. If one considers underlying inflation, the differential has been 1.5 percentage points at most for the past two years, except for a temporary widening in August-October 2000 (Figure 4, Panel A).[7]

The trend of prices in Portugal reflects both cyclical factors and structural factors. As regards the prices of industrial products, which are the most subject to competition, inflation is due to the fact that, at this advanced stage of the cycle, productivity gains have started to flag somewhat, thereby pushing up unit labour costs appreciably. Productivity gains in manufacturing industry, which were running at over 7 per cent in 1996, fell to 4 per cent in 1999 and probably to less than that in 2000 (the data for 2000 are distorted by the temporary interruption of the activity of some of the Auto-Europa plants). Wages in industry grew at a slightly brisker rate than elsewhere in the euro area, but up to 1998 the growth was below productivity gains. In 2000, the combination of higher labour costs and the hike in energy costs and other imported input prices caused prices of tradeable goods to accelerate (Figure 4, Panel B).

Inflation for non-tradeables exhibits a high degree of inertia in Portugal. In all the euro area countries, some parts of the service sector are more or less protected from competition, and everywhere transport prices are closely linked to energy prices. In Portugal, increases in the prices of services have been constantly higher than elsewhere in the euro area. After 1998, when the prices of tourism-related services had come under pressure from Expo 98, rises in the prices of non-tradeable goods and services remained high. The inflation differential *vis-à-vis* the euro area has gradually widened for non-tradeables, reaching 3 points in the third quarter of 2000 before falling back to close to 2 points in late 2000 and early 2001.

Inflation differentials may develop, in aggregate, during periods of transition, when a less-advanced economy, like Portugal, is catching up with more advanced economies in terms of productivity. This phenomenon probably explains to some extent the marked gap in inflation rates in recent years. According to the Balassa-Samuelson model, productivity differentials between tradeable goods sectors and non-tradeable goods and services generate inflation differentials not only between sectors but also between countries at different stages of the development process. Studies for Portugal suggest that the effect of the convergence of productivity levels accounts for a significant part of the inflation differential with more advanced countries in the euro area, although estimates of its magnitude vary. Moreover, as the convergence of productivity levels progresses, this effect is likely to diminish. The IMF estimates that this effect could account for only ½ point of the differential with the euro area.[8] Beyond these long-term effects related to the catch-up process, recent developments in underlying inflation, which exclude the

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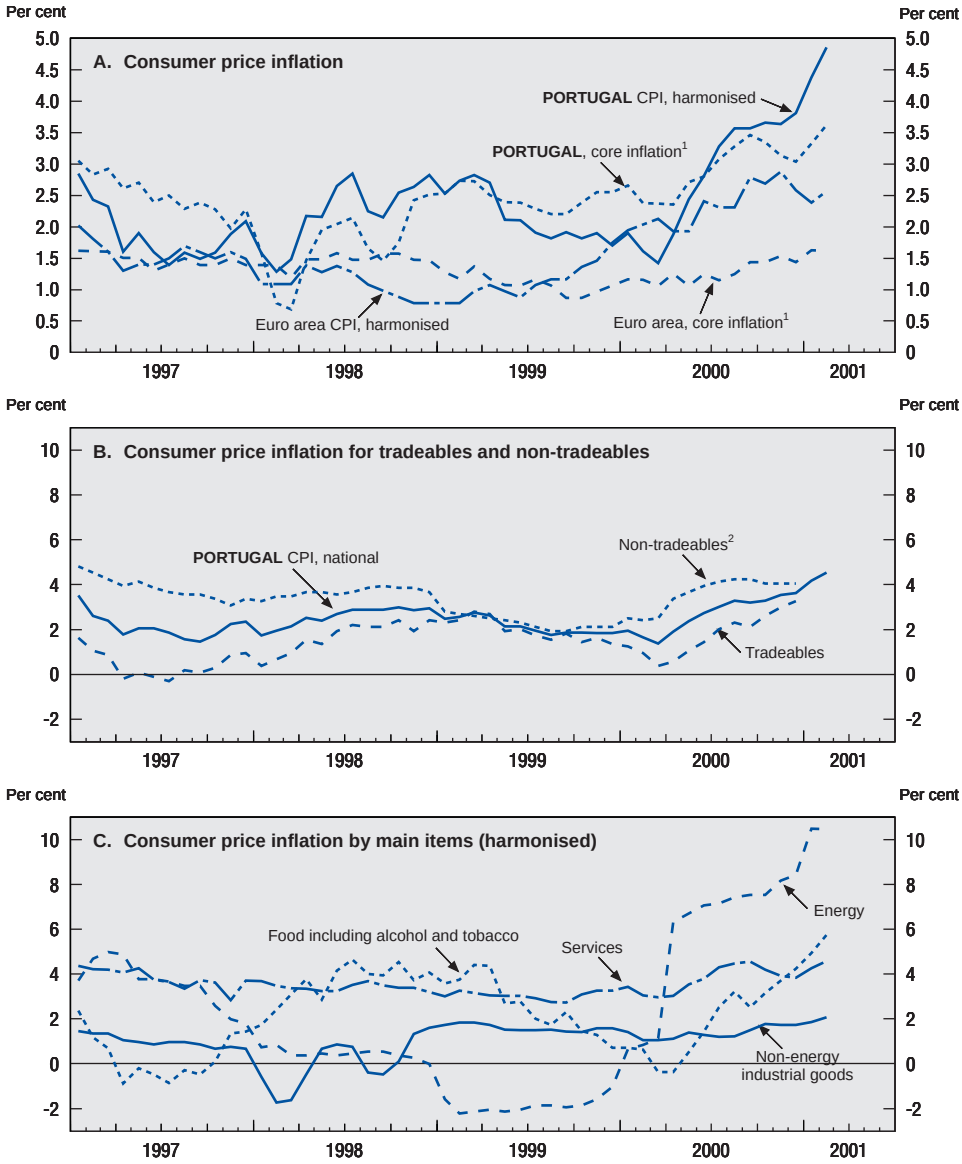
Figure 4. **Inflation developments**
Year-on-year percentage changes



1. Overall harmonised index excluding energy, food, alcohol and tobacco.
2. Including services and construction.

Source: Bank of Portugal; INE; EUROSTAT; OECD.

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effects related to the policy of petrol prices, seem clearly to reflect Portugal's advanced cyclical position relative to other EU countries. The on-going widening of the inflation differential shows clearly that capacity slack was taken up earlier in Portugal than in most other countries in the euro area.

Up to 1999, the buoyancy of the labour market does not seem to have put real pressure on wages. Contractual wage increases remained fairly flat, not far from 3½ per cent per year from 1997 to 1999 (Table 5). In contrast, effective earnings in industry accelerated from mid-1999, when the output gap was closed. The increase in average earnings in industry rose from 4.6 per cent in the first half of 1999 to 5.8 per cent in the first half of 2000 (whereas the increase in contractual wages remained flat). The gap between contractual wages and effective wages thus widened from 1 to 2 percentage points over the period. This gap tends to vary from one year to the next, which gives nominal wages a high degree of flexibility in relation to fluctuations in economic activity.[9] It is largely thanks to this flexibility that the employment-wage split has been conducive to employment in past years. In this context, the emergence of hiring difficulties in certain sectors and for various skill levels traditionally leads to an acceleration in effective wages. In real terms, however, wages were hit by the unanticipated revival of inflation from the start of 2000. Having grown by over 2 per cent in the private sector up

Table 5. **Wages and labour costs**

Percentage changes

	1994	1995	1996	1997	1998	1999[1]	2000[1]
Average earnings[2]	5.9	6.1	6.2	5.1	5.0	5.1	. .
Contractual wages[3]	5.1	5.0	4.5	3.6	3.3	3.6	3.4
Minimum wage[4]	4.0	5.5	5.0	3.8	3.9	4.1	4.1
Compensation per employee							
Total economy	5.9	6.9	6.3	5.3	5.5	5.0	5.0[2]
Manufacturing	6.6	5.6	5.0	5.6	5.1	5.1	5.9
Labour costs per unit of output							
Total economy	2.4	3.7	3.2	3.5	4.1	3.9	3.4
Manufacturing	2.8	–1.9	0.9	0.7	2.4	. .	. .
Memorandum items:							
CPI	5.4	4.2	3.1	2.3	2.8	2.3	2.9
Real average earnings	0.5	1.7	2.9	2.8	2.3	2.5	. .
Labour productivity							
Total economy	3.4	3.1	3.0	1.7	1.3	1.1	1.5
Manufacturing	. .	. .	7.1	5.2	4.3	4.1	. .

1. Estimates, except in the case of the CPI, for which the full-year data are presented.
2. Excluding public administration and non-market services.
3. Contractual wage rates in all sectors; nine months' average for 2000.
4. Up to 1998 minimum wages for workers 18 and over, in all sectors excluding domestic service; since 1998, the minimum wage level is the same for all ages.

Source: Ministry of Labour and Solidarity; Ministry of Finance; INE; OECD.

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to 1999, households' purchasing power could have levelled out in 2000. The wage negotiations conducted in 2000, together with the potential wage drift resulting from labour-market tightness, suggest that nominal wage growth remains a matter of concern. Excessive wage increases could pose an inflation risk and jeopardise price stability objectives, by fuelling a wage-price spiral. Furthermore, the employment-wage split could be slightly less conducive to employment.

The external position has worsened

Erosion of competitiveness and export performance

The gradual and steady depreciation of the effective exchange rate of the euro from mid-1999 improved Portugal's competitive position, which had suffered from the massive depreciation of the currencies of the emerging Asian economies the previous year. Indicators of cost-price competitiveness give a fairly mixed picture in recent years. Competitiveness has improved steadily since the early 1990s in terms of relative export prices, with the exception of the period following the 1998 Asian crisis.[10] On the other hand, the real exchange rate as measured by unit labour costs in manufacturing industry shows a continuous erosion of Portugal's competitive position over the past three years (Figure 5, Panel A). These contrasting trends suggest that exporters had to reduce their unit profits over the period. In 2000, in particular, the effects of the depreciation of the euro were offset by the acceleration of relative costs. Competitiveness measures as calculated by consumer (and import) prices in 2000 were at a level close to that at the start of the decade. *Vis-à-vis* other euro area countries, all the indicators, especially those for costs, suggest a marked worsening in Portugal's competitive position, having an impact on both the domestic market and third markets. On the other hand, competitiveness *vis-à-vis* the rest of the world has benefited from recent exchange rate developments.

Overall, the export performance of Portuguese industry was favourable until 1997, but has been disappointing since then (Figure 5, Panel B). In 1998, Portugal's exports were particularly vulnerable to the effects of the emerging market crisis on the competitiveness of some countries that are exporters of labour-intensive manufactured products, which still represent the bulk of Portuguese exports (clothing and footwear accounted for more than 20 per cent of total Portuguese exports in 1998, Table 6). In 1999, when the European currency started to depreciate, Portugal's real export growth revived, but more slowly than the expansion of markets, so that further slight market losses were recorded. On the basis of available information, in 2000 sales of machinery and equipment, and the automobile sector, picked up to a certain extent, while exports by traditional sectors like footwear and clothing fell for the third year running.[11] These trends highlight the relative fragility of the Portuguese export sector, which is still largely specialised in traditional products, an area in which it is difficult to compete with the emerging Asian economies. However, Portugal's export base has become more diversified in recent years.

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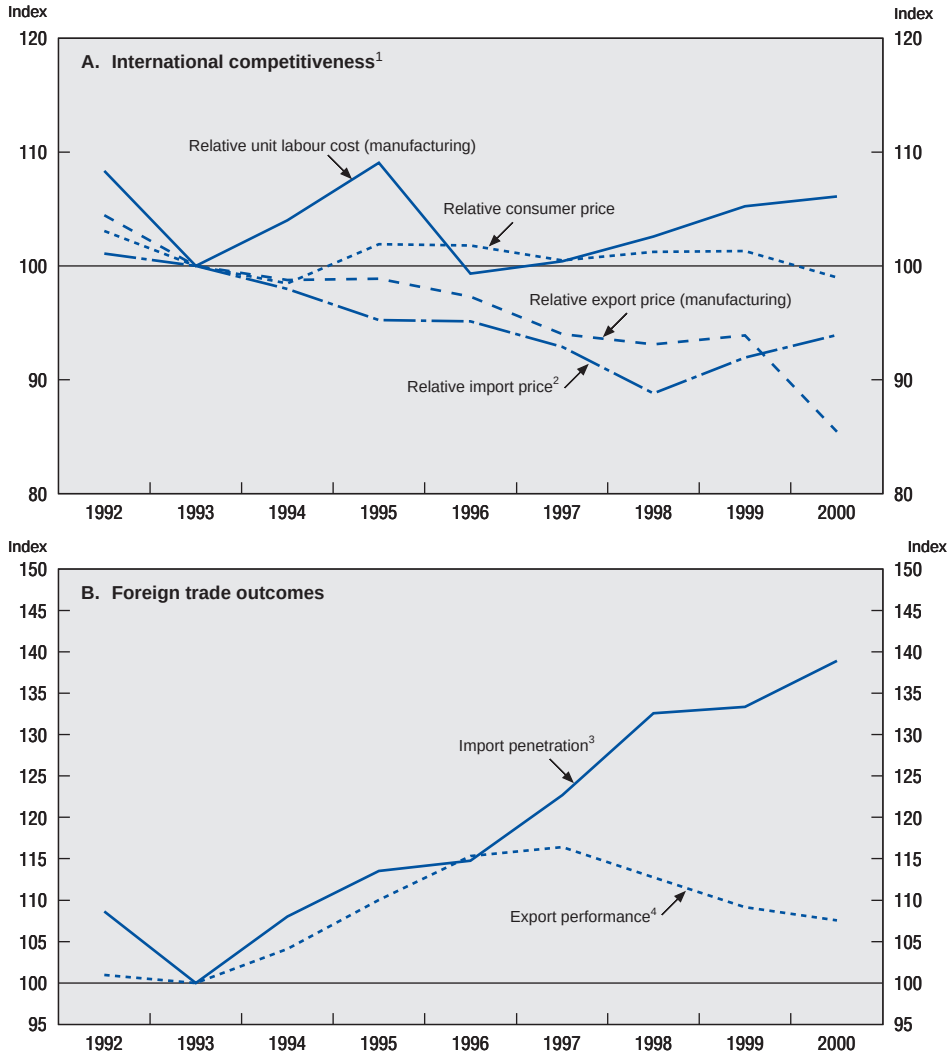
Figure 5. **International competitiveness and trade outcomes**

Index 1993 = 100



1. Indices in common currency. An increase indicates a loss in competitiveness, except for relative import prices for which it indicates a gain of competitiveness.
2. Index of Portugal's import unit values divided by the deflator of Portugal's global demand (total domestic demand and exports).
3. Volume index of Portugal's imports divided by index of Portugal's global demand (total domestic demand and exports).
4. Volume index of Portugal's manufactured exports divided by volume index of Portugal's export market.

Source: OECD.

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Table 6. **Change in the trade specialisation of Portugal**

SITC-3 code	Main comparative advantages	RCA[1]	Cumulative share of exports[2]	RCA[1]	Cumulative share of exports[2]
		1993		1999	
84	Articles of apparel and clothing accessories	17.48	20.33	10.75	13.33
85	Footwear	8.77	29.93	6.00	20.22
63	Cork and wood manufactures, excluding furniture	4.15	34.47	3.59	24.33
66	Non-metallic mineral manufactures, n.e.s.	3.24	39.25	2.00	27.89
11	Beverages	2.45	42.35	1.51	30.38
25	Pulp and waste paper	2.24	44.69	1.94	32.43
65	Textile yarn, fabrics, made-up articles, n.e.s.	1.95	52.50	2.32	39.64
77	Electrical machinery, apparatus and appliances, n.e.s.	1.71	59.69	3.16	49.10
28	Metalliferous ores and metal scrap	1.45	61.26	0.54	49.76
64	Paper, paperboard, articles of paper pulp, paper, etc.	0.59	63.70	0.51	52.17
79	Other transport equipment	0.57	64.77	–1.07	52.76
82	Furniture and parts; bedding and similar stuffed furniture	0.55	66.00	0.53	54.18
69	Manufactures of metals, n.e.s.	0.44	68.38	0.42	56.93
24	Cork and wood	0.19	69.35	–0.34	57.64
02	Dairy products and birds' eggs	0.06	69.74	0.04	58.23
27	Crude fertilisers, n.e.s. and crude minerals	0.04	70.06	–0.08	58.45
81	Prefabricated buildings, sanitary, light fittings, n.e.s.	0.02	70.48	0.11	59.07
78	Road vehicles	–8.94	75.82	–0.48	73.76

n.e.s. = Not elsewhere specified.
1. RCA: Revealed comparative advantage indicator (Xi/X. – Mi/M.)*100.
2. As a percentage of total exports in 1993 and 1999 respectively.
Source: OECD.

Analysis of comparative advantage shows that Portugal's trade specialisation is changing: increasingly, it is shifting towards other types of goods, such as machinery and equipment, and to less-labour-intensive sectors more generally. Revealed comparative advantage indicators, shown in Table 6 for 1993 and 1999, are based on observation of net export flows for eighteen products accounting for three-quarters of total exports. The two categories with the largest comparative advantage – clothing and footwear – alone represented about 30 per cent of exports at the start of the 1990s; at the end of the decade their share had fallen to some 18 per cent. In contrast, specialisation indicators for more sophisticated categories such as electrical machinery and apparatus, and road vehicles, changed positively, as the share of these products in total exports rose sharply.

Deteriorating trade balance

Strong expansion and growing integration in world trade, especially in intra-European trade, were accompanied by rapid growth of merchandise exports, notwithstanding a slight turndown in 1999. The import penetration rate rose steeply,

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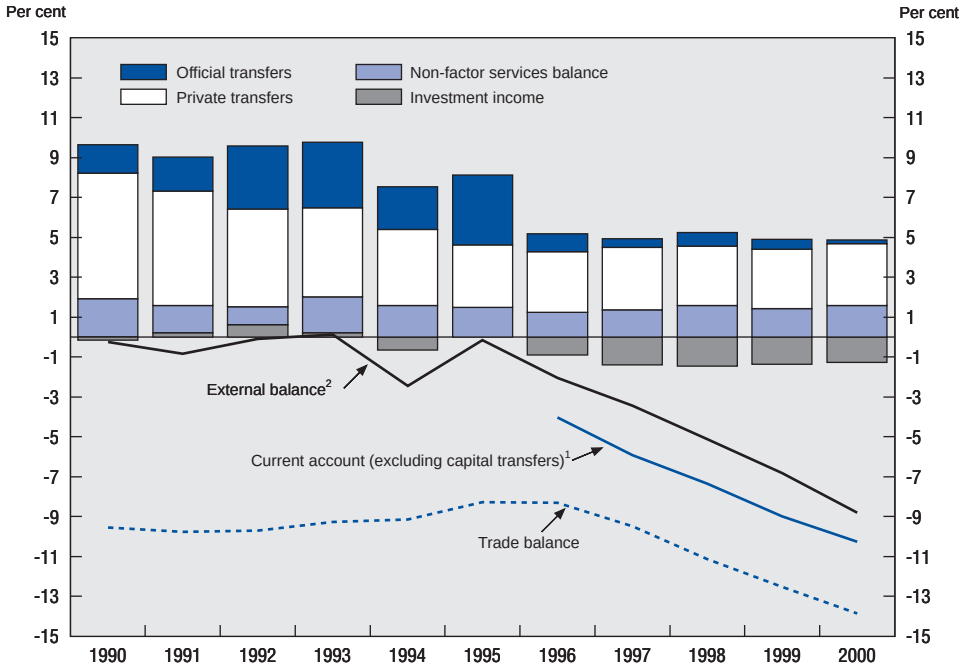
with an acceleration in 1997, when household consumption and investment picked up. The fall in relative import prices since the start of the 1990s no doubt encouraged these trends. In contrast, the relative rise in the cost of imports since mid-1999 mainly concerns products from countries outside the euro area, whereas three-quarters of Portugal's merchandise imports come from the euro area, so the impact of the depreciation on total import demand was relatively limited. Indeed, imports of intermediary products for the export industry, as well as of capital goods, continued to grow rapidly in 2000, while imports of consumer goods slowed, reflecting the composition of activity in that period.

All told, despite the revival of exports, the trade balance again deteriorated sharply in 2000, mainly due to unfavourable terms of trade, which reflected the rise in crude oil prices and the depreciation of the euro. The current account

Figure 6. **Foreign trade and the current account**
Per cent of GDP



1. The current account balance is affected by the change in methodology in 1996. Under the new methodology (IMF Fifth Manual of the Balance of Payments) private and official capital transfers are no longer recorded in the current account.
2. Current account plus capital transfers.

Source: Bank of Portugal; OECD.

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Table 7. **Current account balance**
Billions of escudos

	1996	1997	1998[1]	1999[1]	2000[1]
Exports, f.o.b.	3 935.7	4 346.0	4 637.3	4 827.8	5 463.3
Imports, f.o.b.	5 381.3	6 106.7	6 862.4	7 499.2	8 593.0
Trade balance	**–1 445.6**	**–1 760.7**	**–2 225.2**	**–2 671.4**	**–3 129.7**
In per cent of GDP	–8.3	–9.5	–11.1	–12.5	–13.9
Invisible balance	**744.6**	**661.3**	**755.8**	**753.1**	**814.3**
Services	218.1	254.4	314.0	302.8	355.4
Transport	–49.8	–62.0	–57.5	–111.8	–163.8
Travel and tourism	387.2	450.0	537.7	538.9	646.9
Other private services	–83.1	–102.6	–132.7	–92.3	–96.6
Government services	–36.1	–31.0	–33.6	–32.1	–31.2
Factor income	–155.5	–257.6	–293.9	–291.5	–285.0
Labour income	7.3	5.0	13.9	2.2	6.9
Investment income	–162.8	–262.6	–307.8	–293.7	–291.9
Transfers	681.9	664.5	735.8	741.8	743.9
Official[2]	154.3	84.8	136.6	105.7	39.1
Private	527.6	579.7	599.2	636.1	704.8
Current balance	**–701.0**	**–1 099.4**	**–1 469.4**	**–1 918.2**	**–2 315.4**
In per cent of GDP	–4.0	–5.9	–7.3	–9.0	–10.3
Memorandum item:					
Total transfers, net[2]	1 027.5	1 131.0	1 186.2	1 203.5	1 077.8
In per cent of GDP	5.9	6.1	5.9	5.6	4.8

1. Provisional data.
2. Private and official, current and capital. The bulk of official transfers received comes from the EU, with gross current transfers amounting to about 370 billion escudos in 1999, and capital transfers reaching 462 billion escudos.

Source: Bank of Portugal.

deficit widened, to over 10 per cent of GDP for the year as a whole, even though the surplus on invisibles (income from tourism and emigrants' remittances) remained largely positive (Figure 6 and Table 7). Portugal's current account deficit is partly financed by capital transfers from the European Union (equivalent to approximately 1.5 per cent of GDP in 2000, against 2 per cent in previous years), which do not create an accumulation of foreign debt. If these capital transfers are added in, the external deficit amounted to over 8½ per cent of GDP in 2000, compared with a position close to balance in 1995.[12]

Large capital inflow but weak net foreign direct investment

In the past two years, Portugal continued to record large net capital inflows, but these have been unrelated to foreign direct investment. Portuguese banks' liabilities *vis-à-vis* financial institutions in the euro area rose considerably. Likewise, Portuguese companies have increasingly been financed from abroad, from the euro area in particular (Table 8).

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Table 8. **Summary balance of payments**
Billions of escudos

	1996	1997	1998[1]	1999[1]	2000[1]
Current balance	**–701**	**–1 099**	**–1 469**	**–1 918**	**–2 315**
Trade balance	–1 446	–1 761	–2 225	–2 671	–3 130
Invisible balance	745	661	756	753	814
Capital transfers	**346**	**467**	**450**	**462**	**334**
of which: official	346	458	443	461	331
Financial account	**534**	**876**	**1 141**	**1 934**	**2 171**
Direct investment (net)	91	89	15	–375	–379
Portfolio investment (net)	–246	105	33	1 465	–474
Other investment	807	906	1 166	865	3 081
Financial derivatives	–5	–4	23	38	28
Official reserve assets[2]	–113	–220	–96	–58	–84
Errors and omissions	**–179**	**–243**	**–123**	**–478**	**–190**

1. Provisional data.
2. Increase = –.
Source: Bank of Portugal.

The foreign direct investment balance, which was largely positive during the first phase of European integration, from the end of the 1980s to the early 1990s, narrowed thereafter and became negative in 1999. That year, inward direct investment was halved, reflecting to a great extent a large disinvestment operation in the banking sector, while outward direct investment expanded strongly in line with the growing internationalisation of Portuguese companies. In 2000, both inward and outward direct investment flows increased substantially. As to portfolio investment, a large positive balance was recorded in 1999, reflecting the sale of government bonds to non-residents. These sales were significantly reduced in 2000, contributing to a negative portfolio investment balance that year.

Forces at work and short-term outlook

The tightening of monetary conditions was limited in 2000

As in other euro-area countries, monetary conditions eased up to mid-1999. The European Central Bank (ECB) cut its key interest rate in April 1999, resulting in a further easing of credit conditions; the three-month Euribor fell to 2.6 per cent in May 1999 compared with 3.5 per cent in the fourth quarter the previous year (Figure 7). The trend was reversed subsequently, as nominal and real short-term interest rates increased between mid-1999 and the first quarter of 2000. Moreover, in spite of the euro depreciation, the real effective exchange

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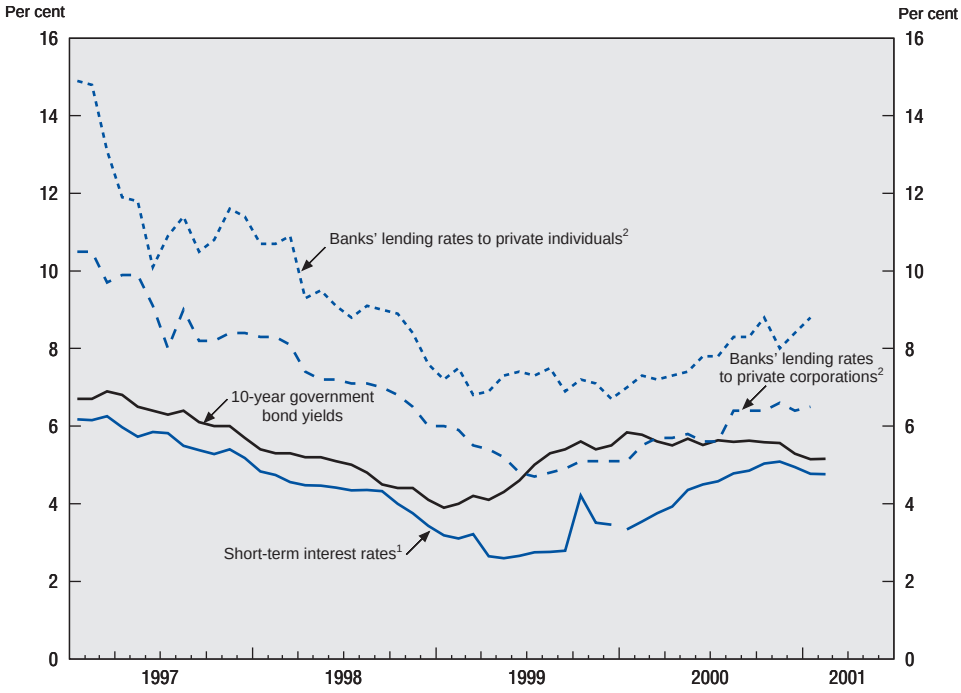
Figure 7. **Interest rates**
Per cent



1. Until December 1998 Portuguese interbank money market (86 to 96 days); from January 1999, 3-month Euribor.
2. Operations 91 to 180 days.
Source: Bank of Portugal.

rate appreciated slightly, as measured by relative unit labour costs in manufacturing (Figure 8). The ECB raised its rates in November 1999, then (on six occasions) in 2000, and the three-month Euribor rose to 5 per cent in the fourth quarter of 2000. Lending rates changed more or less in suit. On account of the revival of inflation during 2000, the rise in real short-term rates was halted. Long rates more or less followed those in the United States throughout 1999, and levelled off at around 5.7 per cent in 2000.

Households have been quite sensitive to the increased cost of credit. On account of the growth of their borrowing for several years, they have become very heavily indebted and are rapidly affected by changes in short-term interest rates. Their debt (including housing loans) is in major part at floating rather than fixed

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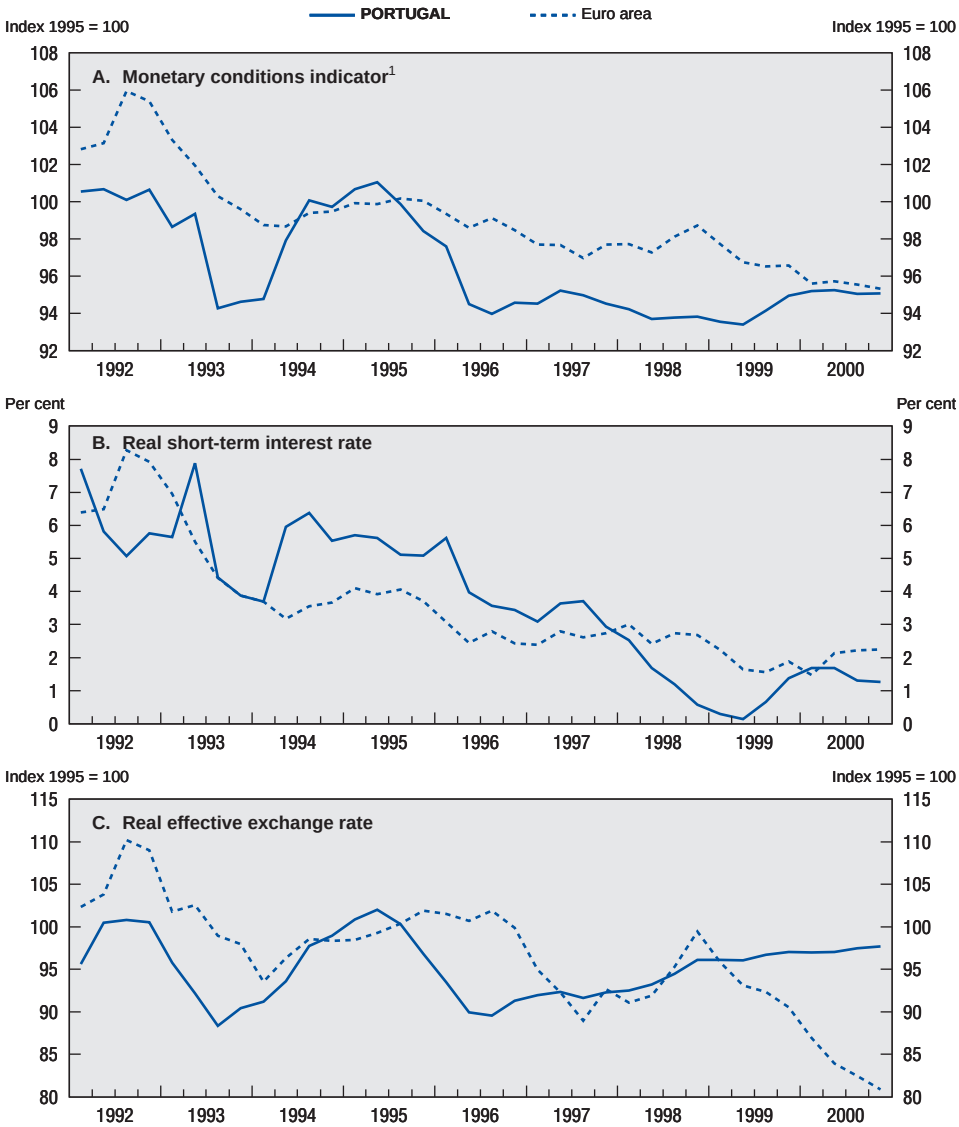
Figure 8. **Monetary conditions**



1. The Monetary Conditions Index is defined as MCI = MCI[t-1]*(1+(r-r[t-1]) + (e/e[t-1]-1)/w), where:
   r is the real short-term interest rate, CPI deflated;
   e the real effective exchange rate, based on unit labour costs in manufacturing;
   1/w the weight of the exchange rate (0.40 for Portugal, 0.15 for the euro area).
   A decline of the MCI implies looser monetary conditions.

Source: OECD.

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rates. A slowing of lending for home purchase was observed from mid-1999, although credit granted for other purposes, which represents a quarter of total household credit, was more volatile. As to credit to non-financial enterprises, very high growth rates were maintained throughout 2000. Faced with still buoyant foreign demand and high capacity utilisation levels, non-financial enterprises appear to have continued to increase their borrowing to finance investment projects.[13] The bulk of banking credit to households and enterprises was financed by Portuguese banks' borrowing from other financial institutions in the euro area. Part of this accumulated debt will be reimbursed out of the return on investments. However, the increase in banking credit translated to a large extent into real estate investment and consumption, rather than investment in the tradeable goods sector.

The outlook is favourable…

While as noted above, the increase in the cost of credit has started to bear down on household expenditure, affecting private consumption and housing construction, in contrast, business surveys suggest that the outlook for exports and investment is still bright. Business investment should thus remain strong, fuelled by increased transfers from the European Union and the launch of several new infrastructure projects. All told, in a slightly less buoyant European context than in the recent period, a slight slowdown in economic activity is forecast, as the tightening of monetary conditions is expected to be accompanied by a more restrictive fiscal policy (see Chapter II). Domestic demand growth could average about 3¼ per cent in 2001 and 2002 and GDP growth could thus revert to a rate of slightly below 3 per cent over that period. With the return to a more moderate growth rate, the labour market situation should stabilise, unemployment settling at close to its structural rate. On the assumptions adopted in the OECD's forecasting exercise (as of mid-March 2001), the terms of trade would improve and the current balance deficit would start narrowing, remaining however at around 10 per cent of GDP in 2002.

… but risks are attached to prices and wages and the large external deficit

Given the supply shock resulting from the hike in oil prices and the effects of the depreciation of the euro, it is difficult to gauge precisely the magnitude of the risk of inflation and the development of a price-wage spiral. Wage increases granted in the public sector are an appreciable risk factor through their possible contagion effects. As the economy is still operating at a level close to its potential, wages could rise excessively, leading to a further worsening in Portugal's competitive position. This scenario would prompt a further deterioration in the external balance, so that access to foreign credit could become difficult, and adjustment would then need to take place via a sharp reduction in the growth of production and employment.

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Even if the OECD inflation projections are realised, a current account deficit of 10 per cent of GDP constitutes a sizeable risk factor. Assessing the implications of an external deficit of this magnitude for a country like Portugal which belongs to a monetary union is a different matter from evaluating such a deficit in a country with its own currency, since there is no longer the risk of balance-of-payments strains. Indeed, while the deficit may be a sign that domestic demand is too high, the inflationary pressures stemming from inadequate domestic saving are being suppressed by borrowing abroad. There is, though, still an external constraint on the economy, reflecting the capacity to borrow of domestic agents, including banks. Problems could emerge even if growth is sound, with a high rate of investment in productive projects and hence improved competitiveness and a stronger ability to repay debt. This is because in the transition period the sensitivity of the economy to exogenous economic or financial shocks will have increased if, as seems partially to have been the case in Portugal, the external imbalance is associated with a rapid expansion of housing and consumer debt. On the other hand, it may be expected that a growing budget constraint will tend to induce an endogenous downward adjustment in private-sector borrowing, and hence personal consumption. There are already signs of this occurring, as the household saving ratio has stopped falling, and a key issue in this respect is the pace at which domestic demand will decelerate. Such an adjustment could be easier to handle if it were to take place progressively rather than rapidly. In the context of monetary union, restoring economic balance and promoting a smooth domestic demand adjustment depend heavily on the stance of fiscal policy which is discussed in the next chapter.

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II. Issues in fiscal policy

Introduction

The general government budget deficit declined from 4.6 per cent of GDP in 1995 to 1.4 per cent of GDP in 2000 (Figure 9). Within that period, there were two distinct phases of fiscal consolidation, varying significantly in both mode and speed of adjustment. To meet the criteria for participating in the third phase of Economic and Monetary Union (EMU), the authorities kept a relatively tight rein on spending up to 1997, and the deficit fell rapidly. The combined, cumulative, effect of higher revenues and lower debt payments amounted to 3.6 percentage points of GDP, the deficit declining by 2 percentage points (Figure 10). After 1997, the pace of fiscal consolidation slowed considerably despite the strong expansion, even if fiscal targets in the *Stability and Growth Programmes* were consistently met. Indeed, most of the subsequent gains from higher revenues and lower debt payments – equivalent to 4.5 percentage points of GDP over three years – were used to increase primary current spending. Portugal is exceptional among EU members in the extent of the rise in primary spending during the latter half of the 1990s. Moreover, on a cyclically-adjusted basis, net lending decreased only very slightly between 1997 and 2000. This implied a broadly neutral fiscal stance, at a time when signs of overheating were starting to appear, with the labour market remaining tight, inflation staying relatively high and the current account deficit widening.

In the light of the above, this chapter discusses three sets of fiscal issues. It begins with a review of recent and prospective budgetary developments in the context of the less favourable emerging trends concerning both revenues and interest payments; these trends make 2000-2001 transition years insofar as difficult decisions are now needed to achieve budget deficit goals. The second section looks at the adequacy of the medium-term fiscal consolidation path under the Stability and Growth Programme, from the perspective of the structural budget balance, economic growth prospects and trends in public debt. The final section discusses issues related to public spending pressures over the medium-term, which will confront Portugal with difficult public sector management and expenditure control problems.

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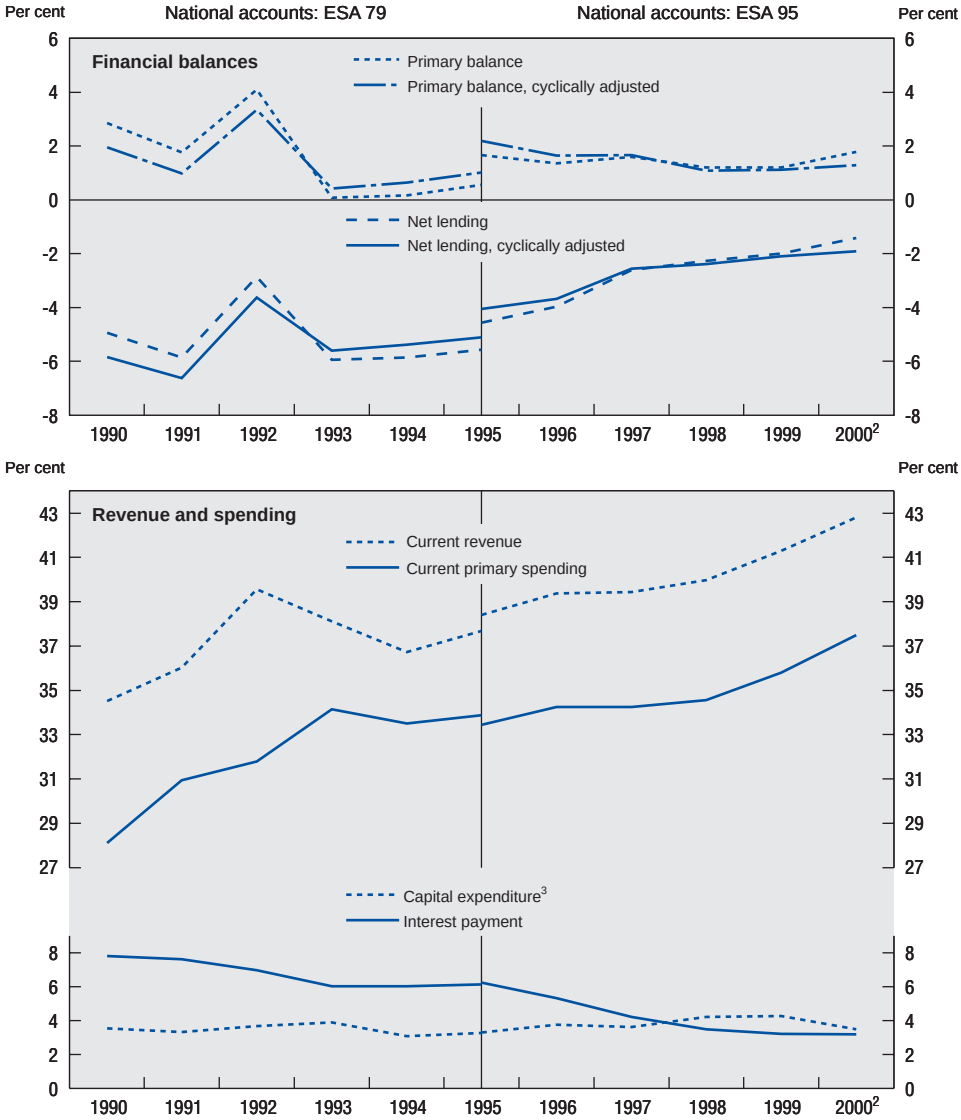
Figure 9. **Fiscal indicators**[1]
Per cent of GDP



1. General government, national accounts basis.
2. Ministry of Finance estimates, as of February 2001.
3. Defined as the sum of fixed investment, net capital transfers received by the government and other capital transactions.

Source: Ministry of Finance; OECD.

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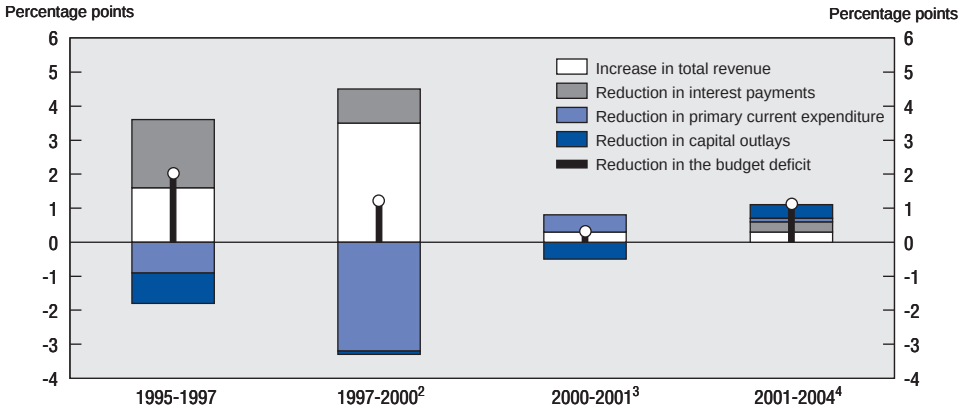
Figure 10. **Contribution to the deficit reduction,[1] 1995-2004**
Percentage points of GDP, cumulative



1. General government, national accounts basis.
2. Estimates for the 2000 budget execution, as of February 2001.
3. 2001 Budget.
4. 2001-04 Stability and Growth Programme.

Source: Ministry of Finance; OECD.

Budgetary developments 1999-2001

The favourable economic developments obtaining up to 1999 have since been replaced by slowing domestic demand and higher interest rates. The opportunities for faster fiscal consolidation having gone unexploited when conditions were favourable, there are now difficulties to be faced. In 2000, a scenario significantly less favourable than in the original budget projections led to an intra-year budget freeze. The budget for 2001 foresees significant cuts in current spending, even though revenue projections are relatively optimistic. Finally, in order to meet deficit targets while avoiding difficult budgetary decisions, the authorities have tended to rely on the budget safeguard clauses, which allow wide discretion in implementing mid-year cuts in budget allocations. The continuous use of such contingency measures may lead to inefficiencies in the composition of public spending and should not be allowed to substitute for a more realistic budget planning process.

The 1999 outturn

The general government budget deficit narrowed to 2.0 per cent of GDP in 1999 (against 2.3 per cent in 1998), while the primary surplus stabilised,

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Table 9. **General government financial accounts**[1]
Per cent of GDP

	1995	1996	1997	1998	1999	2000		2001
						Budget	Outturn[2]	Budget
Current receipts	**38.4**	**39.4**	**39.5**	**40.0**	**41.3**	**43.0**	**42.8**	**43.1**
Direct taxes	9.3	9.8	10.1	10.0	10.5	10.9	10.8	10.9
Social security contributions	10.9	11.0	11.2	11.5	11.7	12.1	12.1	12.0
Indirect taxes	14.2	14.3	14.3	14.6	15.2	15.3	15.2	15.5
Other current receipts	4.0	4.2	3.9	4.0	3.9	4.6	4.7	4.7
Current disbursements	**39.7**	**39.6**	**38.5**	**38.1**	**39.0**	**40.7**	**40.7**	**40.2**
Government consumption	18.8	18.9	19.2	19.3	20.1	19.3	20.8	20.2
Subsidies	1.4	1.5	1.1	1.1	1.0	0.7	1.2	1.0
Interest on public debt	6.2	5.3	4.2	3.5	3.2	3.1	3.2	3.2
Other transfers paid	13.4	13.9	14.0	14.3	14.6	17.6	15.5	15.8
Current balance	**–1.3**	**–0.2**	**1.0**	**1.9**	**2.3**	**2.2**	**2.1**	**2.9**
Capital receipts	**1.9**	**2.1**	**2.4**	**1.9**	**2.2**	**3.3**	**2.6**	**2.6**
Capital outlays	**5.1**	**5.8**	**6.0**	**6.1**	**6.5**	**7.0**	**6.1**	**6.6**
Gross investment	3.7	4.1	4.4	4.0	4.2	4.7	4.3	4.4
Capital transfers	1.4	1.7	1.6	2.1	2.3	2.3	1.8	2.3
Overall budget balance	**–4.6**	**–4.0**	**–2.6**	**–2.3**	**–2.0**	**–1.5**	**–1.4**	**–1.1**
Memorandum items:								
Primary balance[3]	1.7	1.4	1.6	1.2	1.2	1.7	1.8	2.0
Primary current spending[3]	33.4	34.3	34.3	34.6	35.8	37.6	37.5	37.0

1. National accounts basis.
2. Estimate as of February 2001.
3. Excluding "interest on public debt".

Source: Ministry of Finance.

pointing to a broadly neutral fiscal stance (Table 9). As in previous years, the execution of the 1999 budget was made easier by a decline in public debt servicing costs and the buoyancy of current receipts. These favourable factors allowed fiscal targets to be met even though primary expenditures jumped by 1.6 percentage points of GDP. The decline in the central government's deficit – including the state, autonomous services (such as health) and social security institutions – was very marginal, with the largest adjustment occurring at the regional and local level (Table 10). Indeed, a new Law on Local Finances sharply increased revenue sharing. About half of the jump in transfers to local governments was assigned to a reduction in the borrowing requirement, with the rest used to boost current and capital spending, which increased by over 11 per cent compared with 1998.

State receipts increased by over 9 per cent in 1999, as a result of the buoyancy of domestic demand (especially consumption) and the effects of the fight against tax evasion, which helped speed up tax collection (Table 11).[14] Revenues

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Table 10. **Revenues and expenditure at different levels of the general government**[1]

Per cent of GDP

	1996	1997	1998	1999	2000[2]	2001 Budget
State						
Current receipts	23.5	23.6	23.6	24.4	25.1	25.8
Current expenditure	24.7	23.9	23.3	23.9	24.8	24.7
Net capital expenditure	3.1	3.0	2.9	3.0	2.4	2.7
Net lending	–4.2	–3.3	–2.6	–2.5	–2.0	–1.6
Autonomous services						
Current receipts	8.1	8.3	7.7	8.2	9.0	9.1
Current expenditure	8.1	8.1	7.8	8.5	9.2	8.7
Net capital expenditure	0.1	–0.5	–0.4	–0.6	–0.3	–0.2
Net lending	–0.1	0.7	0.3	0.4	0.1	0.6
Regional and local government						
Current receipts	3.5	3.7	3.9	4.3	4.1	4.1
Current expenditure	3.3	3.3	3.4	3.5	3.5	3.6
Net capital expenditure	0.6	0.9	0.7	0.8	0.7	0.8
Net lending	–0.3	–0.4	–0.2	0.0	–0.1	–0.1
Social security institutions						
Current receipts	13.5	13.4	14.0	14.1	14.8	14.7
Current expenditure	12.8	12.7	12.7	12.9	13.6	13.9
Net capital expenditure	0.0	0.2	0.9	1.1	0.8	0.8
Net lending	0.7	0.4	0.3	0.1	0.4	0.0

1. National accounts basis.
2. Outturn estimated in October 2000, at the time the 2001 Budget was being prepared.

Source: Ministry of Finance.

Table 11. **State tax receipts**[1]

Percentage changes

	1996 Billions of escudos	1997/1996	1998/1997	1999/1998	2000 Budget/1999	2000 Outturn[2]/1999	2001 Budget/2000 Outturn[2]
Direct taxation	**1 524.2**	**10.6**	**10.3**	**8.2**	**9.6**	**10.8**	**8.4**
Personal income tax (IRS)	1 022.6	2.9	6.1	7.4	8.1	12.3	8.5
Corporate income tax (IRC)	488.3	26.3	17.6	10.0	11.9	8.1	8.4
Other direct	13.3	24.1	10.3	–20.3	13.8	37.9	–2.5
Indirect taxation	**2 127.2**	**8.5**	**10.0**	**10.1**	**9.7**	**4.9**	**9.9**
Value added tax (IVA)[2]	1 131.1	13.5	10.4	12.4	10.9	10.3	10.2
Fuel tax (ISP)	448.3	–0.3	11.1	0.3	8.6	–12.5	5.6
Car tax (IA)	154.8	5.5	23.3	20.4	8.1	5.7	9.3
Tobacco tax	161.0	7.0	8.9	4.1	8.2	8.0	10.9
Stamp tax	184.4	1.2	–1.2	11.3	8.4	1.1	12.5
Other	47.6	14.5	–6.8	17.3	4.4	8.5	20.6
Total	**3 651.4**	**9.3**	**10.2**	**9.3**	**9.7**	**7.4**	**9.2**

1. Public accounts basis. The State excludes autonomous services, regional and local governments and social security institutions.
2. Outturn estimated in October 2000, at the time the 2001 Budget was being prepared.

Source: Ministry of Finance.

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from value-added and automobile excise taxes rose sharply; however, fuel tax receipts increased only slightly, as excise taxes on gasoline were lowered to offset most of the increase in international oil prices towards the end of 1999. Revenue from direct taxation also benefited from buoyant economic activity, which boosted profits and incomes, more than offsetting the net direct effect of tax reductions.[15]

On the expenditure side, state outlays increased by 10½ per cent, significantly above budget projections of 8 per cent, with current outlays growing even faster (Table 12). The wage bill jumped by almost 8 per cent, boosted by a grade

Table 12. **State expenditure**[1]
Percentage changes

	1996 Billions of escudos	1997/1996	1998/1997	1999/1998	2000 Budget/1999	2000 Outturn[2]/1999	2001 Budget/2000 Outturn[2]
	Economic classification						
Current expenditure	**4 232.5**	**4.4**	**5.0**	**11.8**	**8.2**	**7.7**	**7.3**
Wage bill	1 450.1	8.3	8.6	7.9	6.0	9.3	5.7
Purchase of goods and services	221.9	–8.4	1.8	9.8	12.2	10.0	–2.2
Interest payments	740.6	–8.3	–14.2	23.6	–0.8	–1.6	6.6
Transfers	1 688.3	8.9	8.1	11.9	13.0	9.6	9.8
To other public bodies	1 413.7	7.6	8.1	13.5	14.3	11.9	9.9
To other	274.6	15.7	8.1	4.3	6.2	–2.4	9.0
Subsidies	99.2	–8.2	26.1	13.0	4.1	3.4	6.5
Other	32.4	17.1	9.6	11.3	–5.8	–5.8	15.9
Capital expenditure	**539.3**	**8.2**	**11.1**	**2.4**	**15.7**	**–6.1**	**27.1**
Investments	133.3	6.0	–1.3	0.4	13.4	–26.9	43.3
Capital transfers	403.5	8.5	15.0	2.8	16.0	–0.6	23.9
To other public bodies	376.3	6.9	14.1	2.9	16.7	2.6	18.8
To other	27.2	30.4	25.4	2.2	9.5	–33.6	106.6
Other	2.5	64.4	17.1	14.6	38.2	1.3	19.6
Financial transactions	**14.0**	**13.5**	**3.1**	**–16.5**	**110.9**	**110.9**	**–4.2**
Total[3]	**4 866.8**	**4.9**	**5.7**	**10.6**	**9.3**	**6.3**	**9.3**
	Functional classification						
Defence and security	**758.4**	**1.7**	**6.9**	**8.8**	**8.6**	**9.5**	**3.4**
Social functions	**2 440.1**	**9.2**	**9.3**	**9.9**	**11.7**	**9.1**	**10.8**
Education	873.8	9.8	9.2	8.9	5.2	6.8	10.4
Health	753.0	6.4	7.1	14.3	13.2	8.3	11.6
Other	813.3	11.2	11.4	7.3	16.8	12.3	3.7
Economic functions	**383.1**	**–0.3**	**6.5**	**–2.4**	**9.9**	**–5.7**	**12.6**
Other	**1 204.3**	**–0.3**	**–3.4**	**18.0**	**3.8**	**1.2**	**8.7**

1. Public accounts basis. The State excludes autonomous services, regional and local governments and social security institutions.
2. Outturn estimated in October 2000, at the time the 2001 Budget was being prepared.
3. Includes "Reserve Clause" (*Cláusula de Reserva*) but not "Order Accounts" (*Contas de Ordem*).

Source: Ministry of Finance, State Budget.

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reclassification exercise affecting teachers and pay increases granted to certain categories of state employees (including the military, the police and the judiciary). Social spending grew sharply, in part as a result of significant overruns in health care spending. Outlays related to the minimum guaranteed income (representing about 5 per cent of total social spending) jumped by over 40 per cent, as the programme coverage was widened.

The 2000 budget: increasing implementation difficulties

The general government deficit is estimated to have fallen to 1.4 per cent of GDP in 2000, slightly better than the budget objective (Table 9). Both receipts and outlays have continued to increase strongly as a share of GDP. Contrary to previous years, debt-servicing costs remained broadly constant as a share of GDP, so the reduction in the budget deficit almost fully reflected the widening of the primary surplus, which reached 1.7 per cent of GDP. However, most of the improvement in the government accounts derived from exceptional revenues, as the sale of mobile phone concessions brought in the equivalent of 0.4 per cent of GDP. Abstracting from this sale, the reduction in the deficit – and the improvement in the primary balance – was only marginal. With the output gap remaining close to zero, this implied a broadly neutral fiscal stance.

The implementation of the 2000 budget presented some problems, with both spending and revenues falling below original budget estimates. Strong job creation and higher nominal wage growth continued to boost incomes and personal income tax receipts. Indirect taxes, on the other hand, grew by less than 5 per cent, below the growth rate of nominal GDP and significantly short of original budget estimates.[16] To the extent that excise taxes were reduced to limit the hike in domestic oil prices – international oil prices being significantly higher than budgeted – this implied a potential revenue shortfall equivalent to 0.5 per cent of GDP. As it became clear that receipts would undershoot and current spending pressures remain strong, a spending freeze was implemented at around mid-year. This, together with the late approval of the budget, led to an overall reduction in budget allocations for capital outlays, which were cut by over 10 per cent compared with original budget estimates (Box 1).[17]

State current outlays have continued to grow nonetheless, taking the increase for the year to close to 8 per cent. As in previous years, the main sources of spending pressure have been transfers to other public bodies, in particular to the health and social security sectors (up 12 per cent), and the sharp growth of the public sector wage bill (up 9 per cent). Concerning the latter, an increase in the compensation of teachers and some health professionals, plus the full-year effects of the previous year's reclassification exercise, explain most of the wage drift (see below). Social transfers also grew rapidly, exceeding initial appropriations, as spending related to the pensions paid by the non-contributory regime and

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Box 1. Safeguard clauses on Portuguese budgets

The state budget in Portugal contains safeguard clauses that can be invoked when unexpected circumstances threaten the achievement of the budget deficit target. These clauses empower the Executive Branch to freeze and eventually cut budget allocations. These contingent measures are specified *ex ante* in the budget and are the maximum amount that can be frozen by the Executive without parliamentary approval.

There are no specific trigger mechanisms governing the imposition of a budget freeze. The Executive (in practice the Ministry of Finance) uses its discretion as to whether a freeze is justified in light of the need to meet the deficit target. It also decides which expenditures will be frozen, both within and among spending categories. Typically, a freeze is seen as a pre-emptive action. It may or may not turn into a definite cut, depending on overall budgetary developments (on both the revenue and spending sides of the budget).

In the few years prior to 2000, budget freezes were used as a response to the overshooting of spending by some Ministries (especially health). They often affected less than the maximum authorised amount and were then partly (or mostly) reversed closer to year-end, as revenue windfalls offset overspending. This system explains to a large degree the tendency of budget deficit to turn out better than targeted during most of the 1990s, in spite of spending overruns.

In 2000, for the first time in recent years, the freeze was triggered by a combination of spending overruns and significant revenue shortfalls. The fact that revenue did not recover explains why most of the spending cuts were maintained, rather than reversed at year-end. Moreover, the 2000 budget allowed contingency measures significantly wider in scope than in previous years. Reaching a total of 0.5 per cent of GDP, they included:

- A freeze on 15 per cent of expenditures earmarked for the acquisition of goods and services, including capital goods.
- A freeze on 10 per cent of current transfers to the non-State parts of the general government.
- A reserve clause covering 8 per cent of expenditures budgeted for public investment, including military procurement.
- Restrictions on the hiring of civil servants.

the minimum-guaranteed income programme were stepped up. Moreover, cuts in capital spending by the State were broadly offset by an increase in investment by regional and local governments. As a result, general government capital outlays were roughly unchanged in nominal terms compared with the previous year – which implies a decline as a share of GDP. They remained however among the highest in the OECD, partly reflecting projects undertaken with co-financing from EU transfers. Government fixed capital formation alone amounted to 4.3 per cent of GDP.

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The 2001 budget: a further increase in tax pressure

The 2001 budget envisages a further reduction in the general government deficit to 1.1 per cent of GDP, as called for in the Stability and Growth Pact and the related 2001-2004 Programme prepared by the Portuguese authorities.[18] As in previous years, the authorities expect the reduction in the deficit to be achieved mostly through an increase in current revenue as a share of GDP, by 0.4 percentage points. Changes to the tax system introduced in the budget are assumed to be broadly revenue neutral, while the strengthening of tax administration and control is expected to boost revenue by curbing avoidance and evasion. Outlays are envisaged to remain broadly unchanged as a per cent share of GDP, although there will be a shift from current to capital spending. The underlying primary surplus is budgeted to increase by ¾ of a percentage point on a cyclically-adjusted basis and excluding the non-recurring receipts from the sale of mobile concessions in 2000, implying a significant fiscal policy tightening. Even though the budget does not contain explicit assumptions about oil prices, the revenue projection implies either a large reduction in international prices and/or a significant hike in domestic prices compared with the level prevailing in October 2000, when the budget was presented to Parliament.[19]

The buoyant growth of state capital spending (at 27 per cent on a public accounts basis) is a reflection of the restoration of the budget cuts made in mid 2000, as well as the programmed pick up in EU co-financed projects linked with CSF III (see Chapter IV). The wage bill will increase more slowly than in recent years while social spending is again a priority, with allocations to health and education increasing more than proportionately. Reflecting the implementation of a new "base law", which among other measures significantly raised the lowest pensions in the non-contributory system (see below), social security spending is also expected to grow rapidly. Conversely, transfers related to the minimum guaranteed income are budgeted to decelerate sharply, since authorities estimate the programme to have reached maturity.

Medium-term budget strategy

With the output gap closed, the 2001 budget deficit, targeted at 1.1 per cent of GDP, will be entirely structural. The authorities aim to eliminate this deficit by 2004. However, if growth is as strong as assumed in the Stability and Growth Programme, a surplus would be necessary by then in order to balance the budget over the cycle. Indeed, the pace of fiscal adjustment after 2001 is rather unambitious, even if is likely to lead to a declining debt to GDP ratio. This is especially the case since the budgetary challenges related to population ageing are still to be fully felt and issues of spending control remain to be addressed. Moreover, the decline in the budget deficit is predicated on a continuous increase in the tax pressure, which could have a negative effect on efficiency and competitiveness.

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The 2001-04 Stability and Growth Programme establishes guidelines for the design of a new framework law for the state budget which should, if approved as expected in mid-2001, refocus fiscal consolidation towards a more sustainable strategy based on better spending control. Its key features include the introduction of multi-annual financial programming and activity-based budgeting, as well as measures to strengthen audit and control and enhance transparency of financial management.

The Stability and Growth Programme

The EU Pact for Stability and Growth calls on EMU participants to submit their medium-term budget objectives for annual review. Portugal's 2001-2004 Programme, presented in January 2001, targets a balanced budget for 2004, which amounts to a reduction of 1.1 percentage points over three years (Table 13). Current non-interest spending/GDP ratio is programmed to decline only marginally, by 0.1 percentage points of GDP, while interest payments on public debt declines by 0.3 percentage points, these downward adjustments being offset by a 0.5 percentage point rise in net capital outlays. Receipts are to increase by 1.2 percentage points. The public debt is envisaged to fall to 48.1 per cent of GDP by 2004 from an expected 53.4 per cent in 2001.

Medium-term fiscal consolidation is thus based on higher tax revenues, which are assumed to grow by an average 1.5 percentage points a year faster than nominal GDP. This is consistent with the increase in "tax efficiency"[20] over recent years, the increase in tax receipts having exceeded GDP growth by an average of 2 percentage points annually between 1996 and 2000. Chapter III argues that there

Table 13. **The Stability and Growth Programme**
Per cent of GDP

	2000[2]	2001	2002	2003	2004
Fiscal targets[1]					
Deficit	1.4	1.1	0.7	0.3	0.0
Primary surplus	1.8	2.0	2.4	2.7	3.0
Interest payment	3.2	3.2	3.2	3.0	2.9
Current revenues	42.8	43.1	43.5	44.0	44.3
Current expenditure	40.7	40.2	40.2	40.1	39.8
Net capital outlays	3.5	4.0	4.1	4.3	4.5
Public debt	55.6	53.4	51.5	49.8	48.1
Macroeconomic assumptions					
Real GDP (percentage change)	3.2	3.3	3.2	3.2	3.2

1. General government.
2. Estimate as of February 2001.
Source: Ministry of Finance.

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is still scope for improving the efficiency of tax collection and spreading the tax burden more evenly. However, the assumptions behind the budget projections are that real output growth will be underpinned by strong exports and the buoyancy of revenues is likely to be reduced as personal consumption (which is relatively highly taxed) decelerates in favour of export-led growth. More fundamentally, if the revenue ratio does rise, this will represent a further increase in tax pressure, on top of the sharp rise in current revenues since the mid-1990s, which will add to costs and hinder competitiveness, jeopardising the necessary shift in growth momentum to the external sector. Adjustment through a faster decline in current spending would have been more consistent with strong growth based on an improving external performance.

Given annual output growth as strong as that assumed, the Programme also implies a rather slow pace of adjustment, which may be vulnerable to slippage. Based on unchanged policies, the OECD projects slower growth than the national authorities, implying the need for new measures to achieve official deficit targets. More seriously, the targets are vulnerable to the risk of a cyclical downturn. The official objective of balancing the budget by 2004 complies with the Stability and Growth Pact's requirements and in the event of normal cyclical variations in output should allow a sufficient safety margin for automatic stabilisers to come into play without breaching the budget deficit limit of 3 per cent of GDP.[21] It also ensures a steady decline in the debt/GDP ratio even if the privatisation revenues were nil, given present levels of real interest rates and output growth of around 3 per cent. Under these conditions, the primary surplus would be sufficient to lower the debt/GDP ratio as long as it does not fall below 1 per cent of GDP (and the general government deficit is no more than 2 per cent of GDP). But, if some of the downside growth risks arising from private sector indebtedness, noted in Chapter I, materialise, meeting the Programme's targets could prove difficult without disruptive and pro-cyclical corrective action. A strategy based on balancing the budget over the cycle, implying a surplus at the cyclical peak, would be a more adequate safeguard against these dangers.

Public debt and debt management

Gross public debt stood at an estimated 55.6 per cent of GDP at the end of 2000, roughly the same level as two years earlier. Until 1998, the decline in the general government borrowing requirement and significant privatisation revenues had led to a rapid drop in public debt (Figure 11). Subsequently, privatisation receipts earmarked for debt redemption have shrunk significantly, averaging 0.7 per cent of GDP per year in 1999 and 2000 (compared with an annual 2.2 per cent of GDP in the 1996-98 period). At the same time, the integration of off-budget liabilities into public debt, together with other regularisation operations, was particularly large in 1999. Most notably, the accumulated debt of the health sector *vis-à-vis* suppliers was absorbed by the state.

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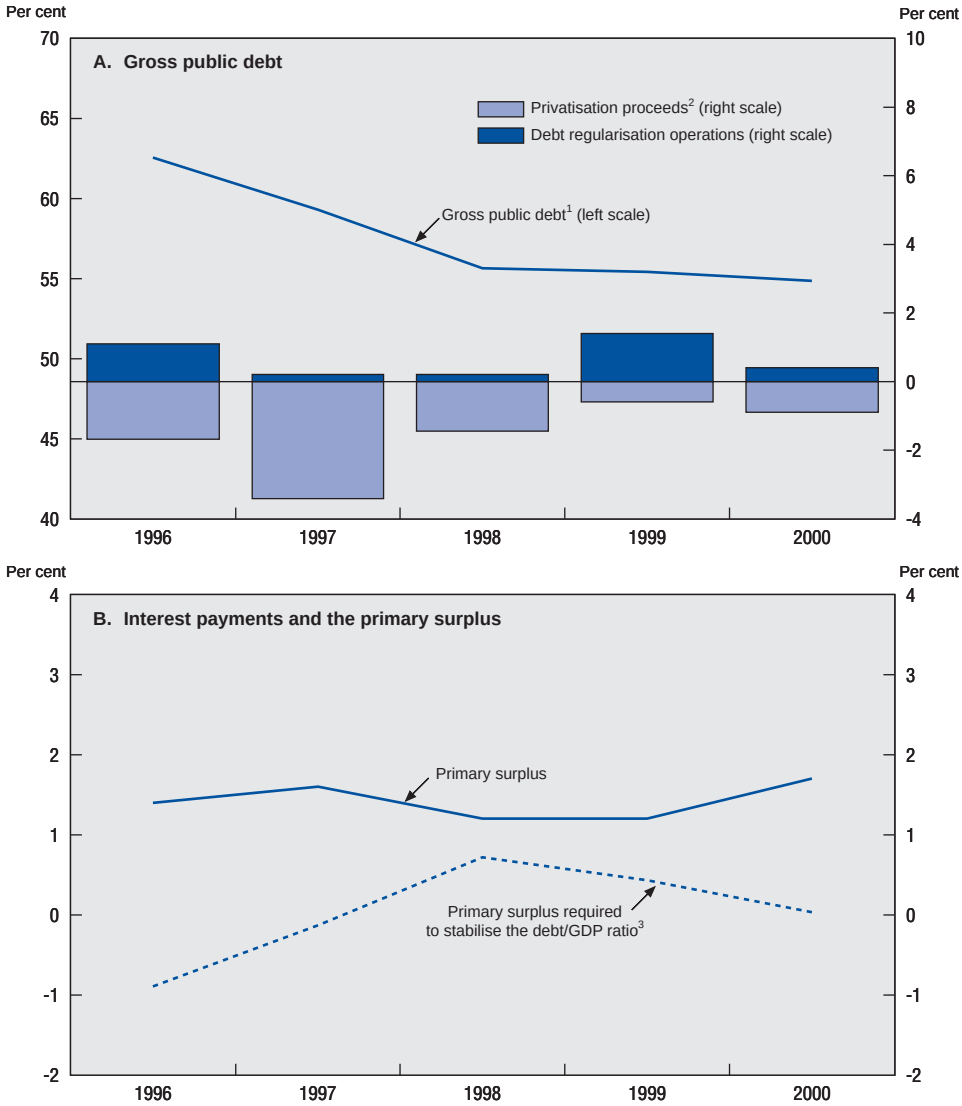
Figure 11. **Public debt and its servicing costs**
Per cent of GDP



1. Maastricht definition.
2. Includes only the proceeds earmarked for debt redemption.
3. Estimates. Excluding changes in general government net financial liabilities which do not arise from financial balances (*e.g.* privatisation proceeds earmarked for debt redemption and debt regularisation operations).

Source: Ministry of Finance; OECD.

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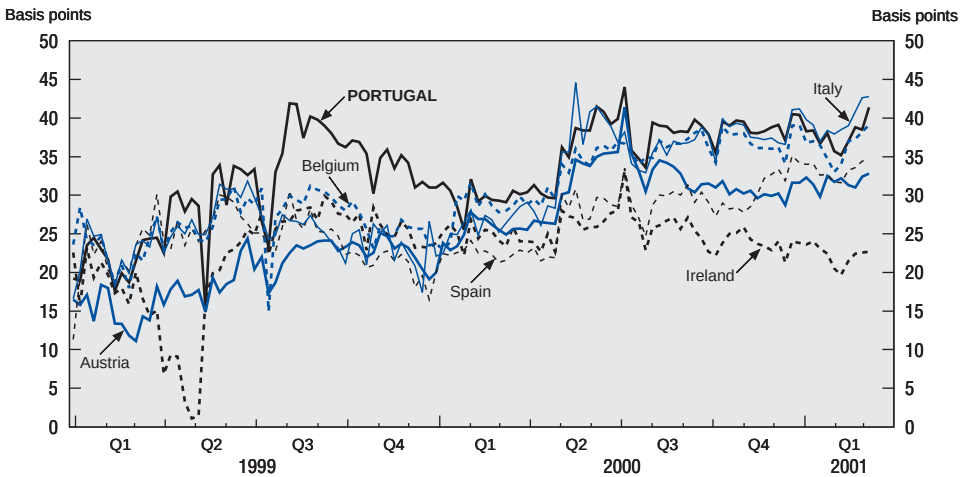
The composition of the state's debt has changed gradually, as a result of the debt management strategy followed since the mid-1990s.[22] The share of fixed-term instruments had increased to two-thirds of the total by August 2000, against less than half in December 1997, while the average maturity of the debt had moved up from 3.1 to 4.5 years (average residual term). Priority has continued to be given to the issuance of euro-denominated debt, which reached 97 per cent of total towards the end of 2000.[23] The strategy has helped Portugal minimise the effects of the rise in euro area interest rates (since late 1999) as well as the fall in the value of the euro against other major currencies. The effective interest rate on the general government debt did not increase in 2000.

The spread between Portuguese longer-term debt (10-year Treasury bonds) and its German equivalent has fluctuated between 20 and 40 basis points since the introduction of the euro in January 1999 (Figure 12). This spread, which is among the highest in the euro area, reflects in part the relatively low rating of Portuguese debt.[24] The liquidity effect, related to the relatively small size of Portuguese debt in international terms, seems to be the main factor explaining the spread. Aware of this constraint, the Portuguese debt agency (*Instituto de Gestão do Crédito Público*, IGCP) has reduced the number of debt instruments on offer in order to increase the size and liquidity of remaining issues, while implementing

Figure 12. **Government bond yield differentials**[1]
Basis points



1. Spread between 10-year government bonds and German government's 10-year bonds (Bunds).
Source: Bloomberg.

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an electronic system for bond auctions to improve the efficiency of the primary market. It has also taken measures to improve the tradability of the debt, including the development of a special market aimed at concentrating wholesale trading and the creation of a *repo* window of last resort to support it.[25]

Sources of spending pressures in the medium-term

Achieving the medium-term budget targets will require a significant improvement in spending control. Several reform measures have been taken to improve financial administration, enhance internal control and modernise accounting systems, but these measures have been relatively limited in scope and are unlikely to have a significant impact on spending in the short-run. The recent jump in primary current spending, by more than 4 percentage points of GDP between 1995 and 2000, has mainly been the result of structural factors, which are likely to persist over the next few years. Further measures to enhance control mechanisms are needed, including far-reaching structural reforms in several sectors. In that context, a new public spending consolidation programme is being drawn up, offering an opportunity for a restructuring of spending priorities. The programme is based on the reassessment of the merits of public expenditure on a cost-benefit basis, the rationalisation of management to improve efficiency in the delivery of public services, and the control of chronic deficit situations in state-run enterprises.

The steady increase in government consumption and income transfers in recent years has pushed the general government expenditure/GDP ratio in Portugal above the average for both the euro area and the OECD (Table 14). It has also led to a significant change in the composition of spending. State payroll expenditures and transfers to the health and social security sectors (including those related to the new minimum guaranteed revenue) rose from 45 to 55 per cent of total spending between 1995 and 2000. This more than matched the decline in interest payments on the public debt, which fell from 17 to 11 per cent of total (Figure 13). The shift has occurred not just because of changing priorities, but also because of trends related to, *inter alia*, population ageing, relative price changes and inadequate spending controls. The persistence of these trends will present an important challenge to fiscal policy in the future. Three main sources of spending pressure in the medium-term will be the public sector wage bill, the effects of ageing on the social security system and the health sector.

The public sector payroll

The general government's payroll has grown rapidly in the last few years, jumping by a cumulative 50 per cent in nominal terms between 1995 and 2000. By 2000, it had reached 15.1 per cent of GDP and 37.2 per cent of total current

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Table 14. **Structure of general government expenditure in OECD countries**

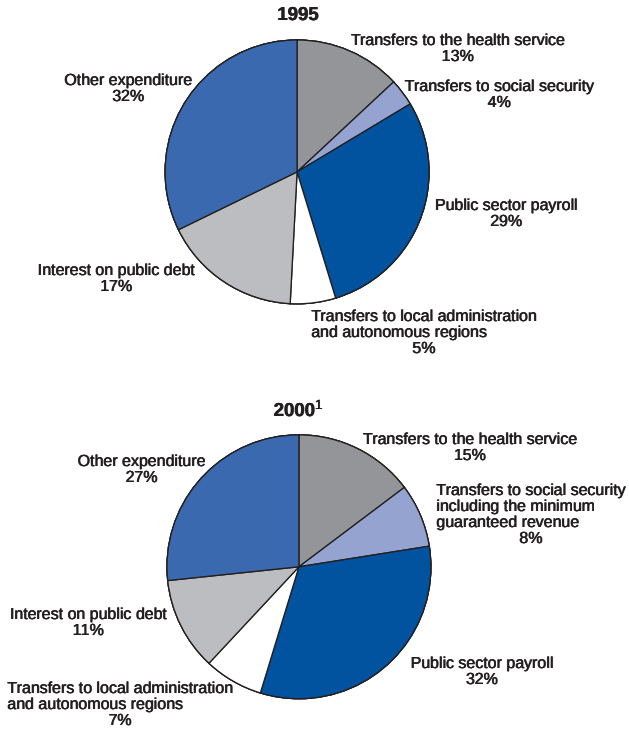
Per cent of GDP

	Consumption			Income transfers[1]			Interest payments			Net capital outlays			Total expenditure		
	1990	1995	2000[2]	1990	1995	2000[2]	1990	1995	2000[2]	1990	1995	2000[2]	1990	1995	2000[2]
Portugal[3]	**15.6**	**18.8**	**20.8**	**11.9**	**13.4**	**15.5**	**8.0**	**6.2**	**3.2**	**3.7**	**3.2**	**3.5**	**43.0**	**44.8**	**46.8**
Australia	18.7	18.9	18.1	8.3	10.4	10.3	3.7	4.1	2.1	1.5	0.9	0.4	33.5	35.5	32.1
Austria	18.8	20.4	19.4	20.0	22.3	21.0	4.0	4.4	3.8	2.6	2.6	2.8	48.5	52.6	49.6
Belgium	20.3	21.5	21.0	16.8	17.5	17.1	11.6	9.1	6.7	0.2	0.5	0.8	50.7	50.1	46.9
Canada	22.4	21.4	18.4	11.9	13.4	11.8	9.5	9.6	7.6	1.4	0.8	0.5	46.7	46.3	39.3
Denmark	25.6	25.8	25.6	19.6	22.6	20.4	7.3	6.4	4.3	1.2	1.7	1.6	56.0	59.0	54.2
Finland	21.6	22.8	20.4	16.5	24.0	19.1	1.4	4.0	3.1	1.9	0.7	0.4	44.4	54.3	44.5
France	22.3	23.9	23.4	18.0	20.1	19.8	2.9	3.7	3.1	4.6	4.4	3.3	49.6	53.5	50.9
Germany	18.0	19.8	18.8	18.9	19.3	20.2	2.5	3.7	3.4	2.4	1.4	0.9	43.8	46.3	45.1
Greece	15.1	15.3	14.7	15.7	16.4	17.5	8.7	11.1	7.2	7.0	3.3	3.8	47.8	46.6	43.4
Ireland	15.1	15.1	12.5	11.9	12.7	10.0	7.9	5.6	2.3	1.7	2.0	4.4	37.8	36.4	30.2
Italy	20.2	17.9	17.8	19.0	17.7	18.5	9.4	11.5	6.5	2.5	3.8	3.5	53.1	52.3	47.3
Japan	9.0	9.8	10.3	11.9	14.1	16.6	3.9	3.8	3.9	5.4	7.2	7.0	31.3	35.6	38.4
Korea	10.5	9.7	9.8	2.5	3.4	6.5	0.5	0.5	1.6	4.1	4.9	6.7	18.1	19.1	24.8
Netherlands	24.3	24.0	23.1	16.7	16.4	13.6	5.9	5.9	4.1	0.8	0.3	0.3	49.4	47.7	42.5
Norway	20.8	20.9	19.4	18.6	18.1	16.3	3.6	2.8	1.7	2.2	2.1	2.1	49.7	47.6	41.9
Spain	16.9	18.1	16.7	13.5	14.8	13.7	3.8	5.2	3.5	4.5	3.3	2.9	39.7	42.5	37.9
Sweden	27.7	26.3	26.4	19.9	24.1	20.7	4.8	6.8	4.9	0.3	1.5	0.7	56.2	62.4	54.5
United Kingdom	19.8	19.7	18.4	13.0	17.4	15.8	3.4	3.6	2.7	4.8	3.0	2.0	41.8	44.4	39.4
United States	16.6	15.3	14.2	10.0	11.8	10.5	5.1	4.8	3.5	1.4	0.7	1.0	33.6	32.9	29.5
Euro area[4]	19.3	20.3	19.4	16.3	17.9	16.9	5.7	6.0	4.0	2.5	2.2	2.3	46.0	48.2	44.2
OECD[4]	19.0	19.3	18.0	14.7	16.5	15.8	5.4	5.7	4.0	2.7	2.4	2.4	43.7	45.6	42.0

1. Social security and current transfers.
2. Estimates.
3. Data for 1990 are based on ESA 79, hence are not strictly comparable with subsequent data, based on ESA 95.
4. Unweighted average of countries shown above.

Source: OECD.

Figure 13. **State expenditures by main aggregate**
Per cent of total



1. Estimate.
Source: Ministry of Finance.

outlays (compared with 13.7 and 34.5 respectively five years earlier), representing the largest spending item in the budget. Although the size of the public sector labour force is close to the OECD average, its cost is among the highest in the area, and its speedy rise is a source of concern, especially since some of its underlying causes are unlikely to abate in the near future (Figure 14). The upward trend in payroll expenditures is explained by the steady increase in public sector employment and real wages, as well as by growing pressures from the civil servants' social security system. It has also been a function of inadequate spending control, since overruns have been the norm in recent years, often by a margin exceeding 3 percentage points.[26]

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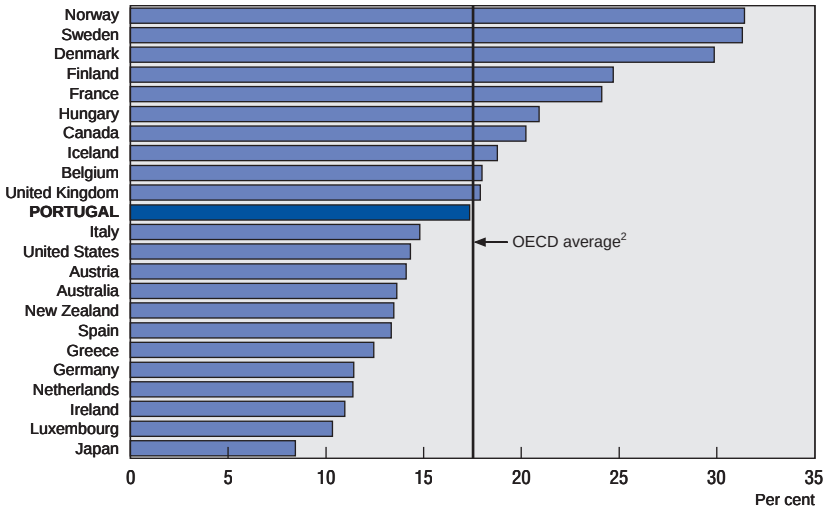
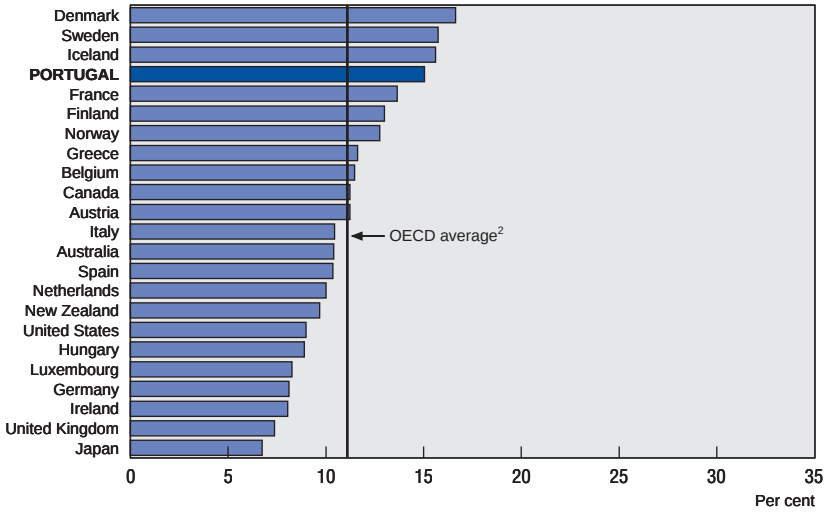
Figure 14. **General government employment and wage bill in OECD countries**[1]
Per cent

A. General government employment, as a percentage of total employment



B. General government wage bill, as a percentage of GDP[3]



1. 2000. Data are OECD estimates. Excluding public enterprises, except for Japan.
2. Unweighted average.
3. Wages and social security contributions.

Source: OECD.

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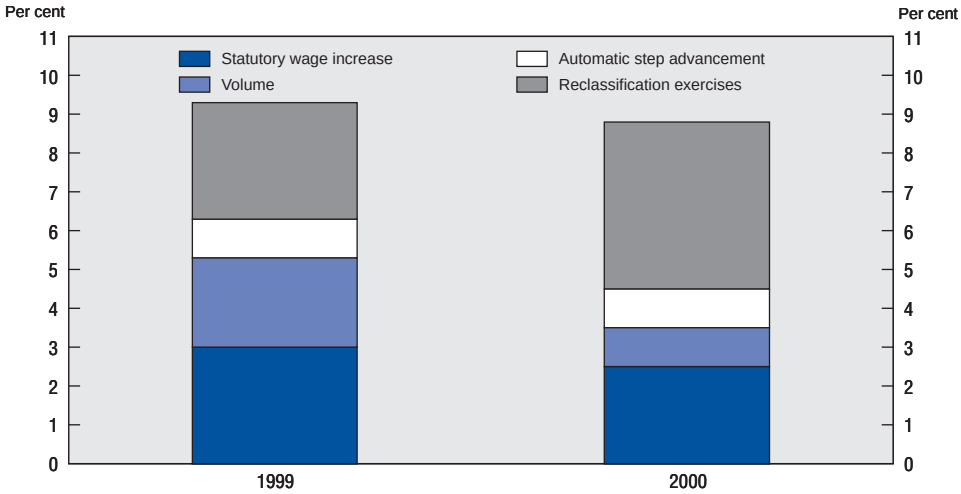
Figure 15. **The growth of the public sector wage bill**
Per cent



Source: Ministry of Finance.

Public sector employment grew by an estimated 10 per cent between 1995 and 2000, to reach over 650 000.[27] This was below the growth rate of total economy-wide employment, so that the share of government employment in total declined slightly. Most new entrants joined either the Ministries of Health or Education, which have experienced a gradual increase in staff.[28] More importantly, the average compensation in the public sector was increased by over a quarter in real terms in the same five-year period.[29] This was mostly a result of reclassification exercises and automatic step advancements, rather than generous statutory wage increases, which have tended to be broadly in line with inflation. Reclassification exercises led to a boost to the wage bill averaging 3½ per cent per year (Figure 15).

The civil servants' social security system is also facing significant strains, in large part related to ageing. The number of old-age pensioners more than doubled between 1987 and 1999, whereas the number of active contributors increased only by an estimated 16 per cent (Figure 16). By 2000, 20 per cent of state payroll expenditures was being spent on civil servants' pensions, and direct subsidies to the system had reached 2 per cent of GDP.

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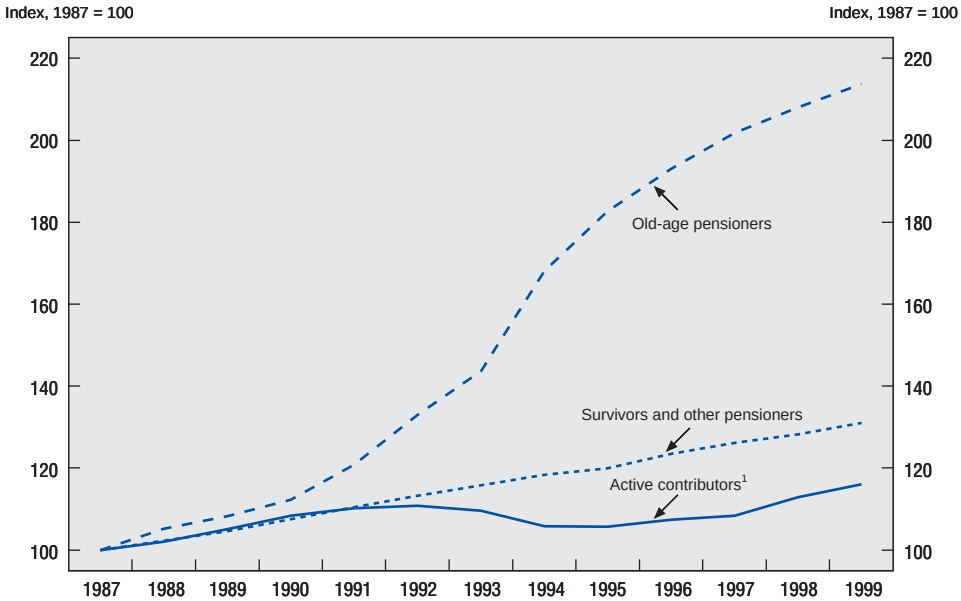
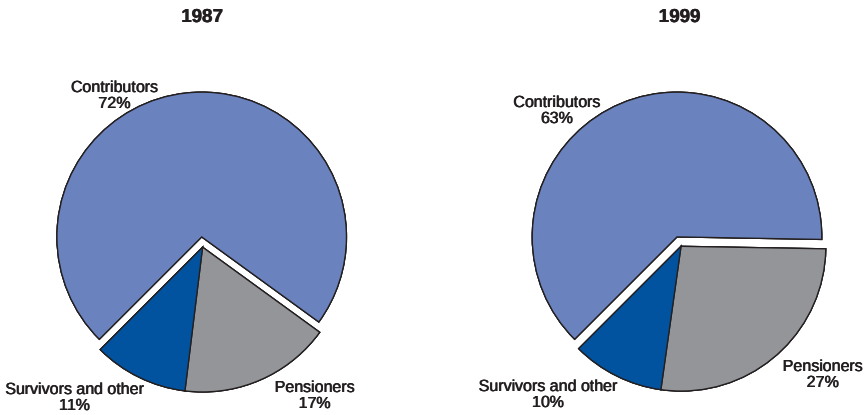
Figure 16. **Civil servants' social security scheme**





1. OECD estimate for 1999.
Source: Caixa Geral de Aposentações.

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The need for further increases in the public sector labour force should become less pressing, as the density of civil servants in the education and health sectors are now broadly in line with that of other OECD countries. Moreover, recent reforms of human resource management, once implemented, should lead to increased public servants' productivity.[30] But other factors that have led to the recent jump in payroll expenditures are likely to persist in the medium term. There are contagion risks, as some categories of civil servants have not yet benefited from the reclassification exercise and may demand to be included. The most significant pressure however, is likely to arise from the civil servants' social security scheme. The system is designed as a pay-as-you-go (PAYG) defined-benefit scheme, which is not actuarially balanced, making it particularly vulnerable to the effects of population ageing and the ensuing jump in internal dependency ratios. Moreover, the average pension is still to reflect the recent rapid jump in public sector wages. Several measures have been taken to address imbalances in the system, including making benefits less generous for those joining the civil service after 1993. But these are likely to bear fruit only in the longer-run.[31]

The general social security system

Portugal's general social security system applies to the great majority of private sector workers and, like the civil servants' scheme, it is also of the PAYG type.[32] The general system's main component is the contributory scheme, which provides old age, survivor and invalidity pensions as well as unemployment, sickness and maternity and family benefits. There is also a voluntary social insurance scheme – available to those not belonging to the resident labour force – and a non-contributory scheme that provides a minimum pension and several other allowances on a means-tested basis. Social security outlays have increased steadily in the last decade to over 14 per cent of GDP in 1999 (from about 8 per cent of GDP ten years earlier), of which about half are old-age and survivors' pensions.[33] Like the civil servants' regime, this component of social security expenditures will also be affected by demographic changes, as the old age dependency ratio is expected to double in the next 50 years (Figure 17).

Several measures have been taken recently to address the expected increase in the ratio between beneficiaries and employees and enhance the financial sustainability of the system. These have included an increase in retirement age for women to bring it in line with men's, the extension of the minimum contribution period and the reduction of the benefit accrual rate. A new law, approved in July 2000, has opened the possibility of capping both contributions and benefits as well as of revising the pension formula. These measures, if implemented, would lead to a more actuarially-balanced system.[34] On the other hand, the introduction of a higher minimum invalidity and old age pension benefit as

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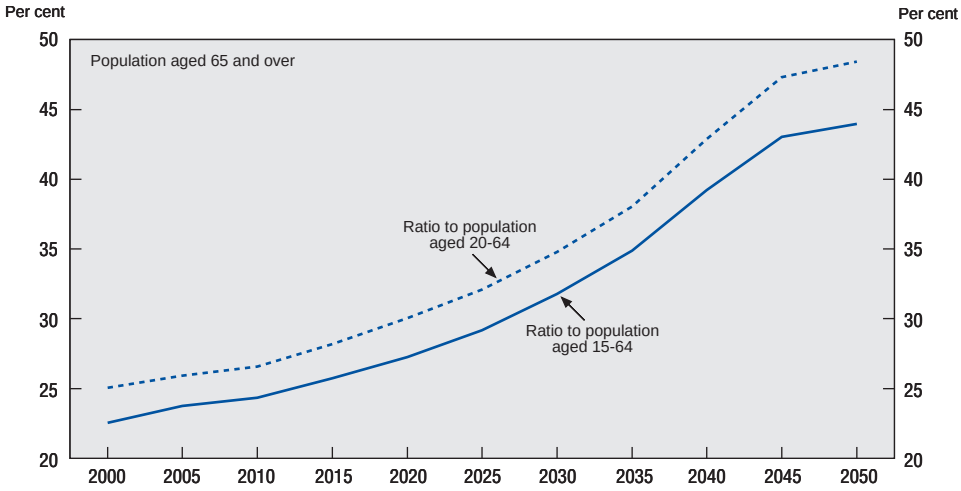
Figure 17. **Old-age dependency ratio**
Per cent



Source: Eurostat; OECD.

of 2003 will lead to extra spending. Recent simulations of the expected impact of some of these measures show that the system's imbalances may still widen sharply after 2015.[35] Further reform measures are thus likely to be necessary, especially if a further increase in social security contribution rates (at 34.8 per cent, they are among the highest in the OECD area) is to be avoided.

The health sector

Portugal's public spending on health care reached 5.2 per cent of GDP in 1998, from 3.7 per cent in 1980 (Table 15). This rise, accompanied by a steady increase in private outlays, has brought overall health spending close to the OECD average. Although this was associated with a significant improvement in health outcomes, Portugal's health performance still lags behind those of most other OECD countries (Figure 18), signalling the need for a continued quest for greater efficiency in this sector. In addition to the extension of coverage, the main underlying factors behind this rise in health expenditures have been demographic shifts and changes in relative prices. Both sources of pressure are expected to remain or

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even strengthen in the next few years. OECD simulations suggest that spending could rise by a further 3 percentage points of GDP by 2030 as a result of population ageing alone. Furthermore, the price of health services in Portugal remains below those in other EU countries. As non-tradeable prices converge within the euro area, a further increase in the relative price of health services seems likely.

Table 15. **Expenditure on health care**
Per cent of GDP

	Total				Public				Private			
	1970	1980	1990	1998	1970	1980	1990	1998	1970	1980	1990	1998
Portugal	**2.8**	**5.8**	**6.4**	**7.8**	**1.6**	**3.7**	**4.2**	**5.2**	**1.2**	**2.1**	**2.2**	**2.6**
Austria	5.3	7.7	7.2	8.2	3.4	5.3	5.3	5.8	1.9	2.4	1.9	2.4
Belgium	4.1	6.4	7.4	8.8	3.5	5.4	6.6	7.9	0.6	1.0	0.8	0.9
Denmark	. .	9.2	8.4	8.3	. .	8.1	7.0	6.8	. .	1.1	1.4	1.5
Finland	5.7	6.4	7.9	6.9	4.2	5.0	6.4	5.3	1.5	1.4	1.5	1.6
France	5.8	7.4	8.8	9.6	4.3	5.8	6.7	7.3	1.5	1.6	2.1	2.3
Germany	6.3	8.8	8.7	10.6	4.6	6.9	6.7	7.9	1.7	1.9	2.0	2.7
Greece	5.7	6.6	7.6	8.3	2.4	3.7	4.8	4.7	3.3	2.9	2.8	3.6
Ireland	5.3	8.7	7.0	6.4	4.3	7.1	5.0	4.8	1.0	1.6	2.0	1.6
Italy	5.2	7.0	8.1	8.4	4.5	5.6	6.3	5.7	0.7	1.4	1.8	2.7
Luxembourg	3.7	6.2	6.6	5.9	3.3	5.7	6.1	5.4	0.4	0.5	0.5	0.5
Netherlands	. .	8.3	8.8	8.6	5.0	5.9	6.1	6.0	. .	2.4	2.7	2.6
Spain	3.7	5.6	6.9	7.1	2.4	4.5	5.4	5.4	1.3	1.1	1.5	1.7
Sweden	7.1	9.4	8.8	8.4	6.1	8.7	7.9	7.0	1.0	0.7	0.9	1.4
United Kingdom	4.5	5.7	6.0	6.7	3.9	5.1	5.1	5.6	0.6	0.6	0.9	1.1
United States	7.1	8.9	12.4	13.6	2.6	3.7	4.9	6.1	4.5	5.2	7.5	7.5
EU average[1]	5.2	7.2	7.6	7.9	4.0	5.9	6.1	6.2	1.1	1.3	1.4	1.7
OECD average[1]	5.0	6.9	7.7	8.3	3.6	5.2	5.7	6.1	1.4	1.7	2.0	2.2

1. Unweighted arithmetic average. Due to lack of availability, Denmark, Greece, and the Netherlands are excluded from EU average. These countries plus the Czech Republic, Hungary, Mexico, Poland and Turkey are excluded from the OECD average.

Source: OECD *Health Data* 2000.

The health sector is also plagued by several structural problems which hamper spending control, but which have not been fully addressed by recent reforms (Box 2). As a result of a complex set of adverse incentives, health spending in Portugal is relatively inefficient. (See OECD *Economic Survey of Portugal* 1998.)

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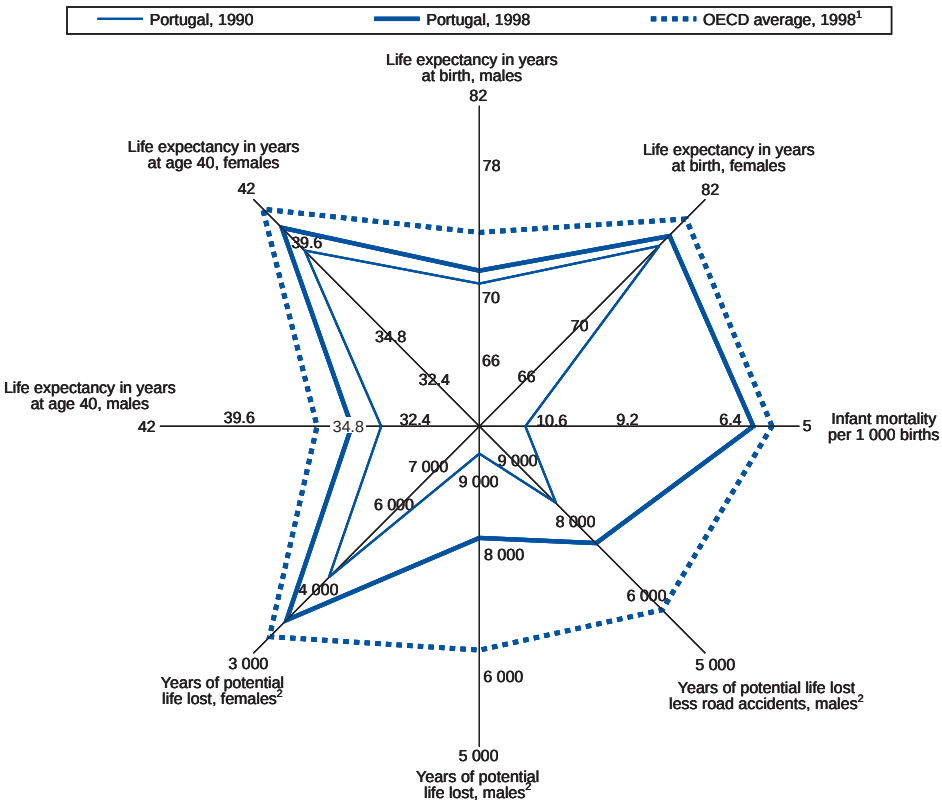
Figure 18. **Indicators of health outcomes**



Note: A larger surface denotes more favourable outcomes.
1. OECD average less Mexico and Turkey. When data for 1998 were not available, nearest year available.
2. Rate per 100 000 females/males.
Source: OECD Health Data 2000.

These inefficiencies derive from a multitude of factors, including overlapping insurance schemes, lack of management flexibility and accountability, inadequate co-ordination between public health institutions, an inefficient system of doctors' remuneration, and insufficient competition in health provision and the sale of pharmaceutical products. Barring the implementation of structural reforms, these deficiencies are likely to entail further spending overruns in the health sector.

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Box 2. The financing of public health spending

Public health expenditure is to a large extent tax financed, with the budget establishing a cash limit for total National Health System (NHS) spending.* However, this initial allocation is perceived to a large extent as indicative, and the need for supplementary budgets has been the norm in recent years. Inadequate spending control has been especially prevalent in hospitals, which face no effective hard budget constraints, and pharmaceutical expenditures, where several institutional features have favoured drug consumption.

In the case of hospitals, spending pressure arises generally from expenditures on private health provision that are facilitated by internal inefficiencies and a weak budget constraint. In fact, the NHS directly and passively covers unexpected hospital outlays. In the case of pharmaceuticals, the main factors boosting spending have included low effective co-payments, tax deductibility provisions of the personal income tax (made less generous in 1999) and NHS reimbursement for drugs prescribed under private treatment.

* The NHS also has own receipts, mostly generated by hospitals charging fees for services. Typically, these represent between 5 and 10 per cent of NHS revenues.

Assessment

While Portugal has made considerable progress in fiscal consolidation since the beginning of the present economic expansion, this has been achieved largely through a reduction in public debt servicing costs, due to declining interest rates and an ambitious privatisation programme. Buoyant economic growth and strong job creation, complemented by measures to fight evasion have boosted tax and social security receipts. But total receipts and primary outlays have each expanded by an amount equivalent to 5 percentage points of GDP. In the process, the primary surplus has remained broadly unchanged and the favourable opportunity for more rapid consolidation has not been exploited. More rapid consolidation would also have served a counter-cyclical purpose, given short-term trends in the economy.

As it is, Portugal now finds itself in a relatively difficult budgetary situation, insofar as its unambitious fiscal targets are vulnerable to slippage and may require painful spending decisions to achieve. The factors that have facilitated fiscal adjustment in the late 1990s are likely to diminish in strength in the next few years. The 2000-01 period may be a watershed in this respect, as receipts increase by much less than in previous years, with domestic demand growth slowing to

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more sustainable rates and the fight against tax evasion bringing diminishing returns. The effects of higher international oil prices and the authorities' reluctance to pass the increase on to domestic consumers was also a major factor in the failure of current revenues to increase as much as expected in 2000. Moreover, interest rates in the euro area started to move up in late 1999, with the effect that public debt servicing costs stopped falling as a percentage of GDP. The authorities responded to these less favourable developments by scaling back spending from mid-2000. But cuts have tended to fall disproportionally on capital outlays, with primary current spending being allowed to increase by 1.7 percentage points of GDP in 2000 alone. Even though there is no doubt about the commitment to the budget deficit targets, which are in line with the requirements of the Stability and Growth Pact, the implementation path continues to be more difficult than it need be. Moreover, given the need for stronger support from fiscal policy in addressing macroeconomic imbalances, the objective of achieving budget balance by 2004 needs to be brought forward.

Finally, fiscal adjustment is expected to continue to come mostly through a further increase in tax pressure. Although the next chapter will argue that there is some room for widening the tax base, any overall increase in the tax burden would be undesirable on overall economic efficiency and competitiveness grounds, and as such, could attenuate the necessary shift in growth momentum towards the external sector. Instead, it would be preferable that budget targets be met through better spending control, which should be complemented by more comprehensive plans to address longer-term pressures likely to arise from ageing, public sector payroll and health spending. To this end, the proposed measures to reinforce spending control should be implemented without delay.

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III. Reforming the tax system

Over the past decade, Portugal's tax system has developed along lines similar to other OECD countries. Following the 1989 tax reform, tax bases were broadened and rates lowered, thereby reducing the economic costs of taxation. More focus has also been placed on the redistributive role of the tax system. At 34 per cent of GDP, the overall tax burden (total tax revenue/GDP) is not high by international comparison or out of line with other OECD countries with similar per capita incomes (Figure 19).[36] However, the system has been criticised for a number of features – many of which are legacies of the past – which continue to add to the complexity of the system and make tax administration difficult, thereby creating loopholes which hamper efficiency and equity. There have been some changes since 1998,[37] but tax reform is back on the political agenda, government proposals having been put forward for a reform strategy to be implemented in two stages, beginning with the recently-approved December 2000 Tax Reform Act and the 2001 Budget Law, and finishing in the first half of 2002. The momentum for reform comes not just from the need to widen the tax base and strengthen the tax administration, but also from the need to address concerns raised by the tendency for tax bases to become increasingly mobile internationally. Against this background, this chapter first discusses the key forces shaping tax policy in Portugal. This is followed by an overview of the main features of the tax system, identifying its main weaknesses. The third section provides a review of the key issues that need to be addressed in improving the system, while the final section outlines the main options for reform.

Forces shaping the system

Administrative inadequacies and weak compliance

The Portuguese tax system, which was created in its current form in 1989,[38] aims both at satisfying the financial needs of the country and at income redistribution. According to the 1976 Constitution, all income should have been subject to a progressive and comprehensive income tax in order to satisfy the ability-to-pay principle.[39] However, while the legislation opted for a progressive taxation of labour income, taxation of many types of non-labour income was subjected to a

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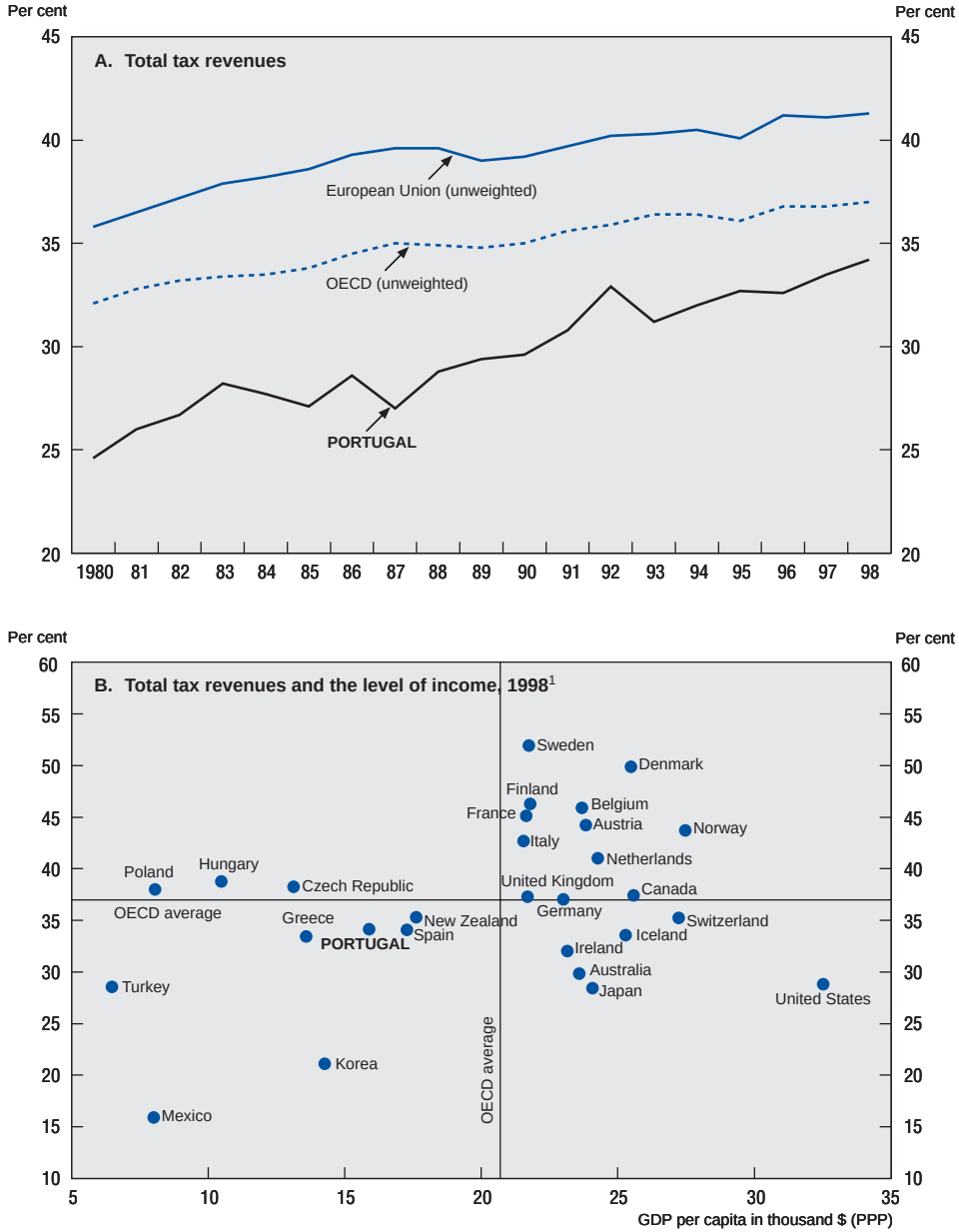
Figure 19. **Tax/GDP ratios in OECD countries**



1. 1998 or nearest year available.
Source : OECD (1999*b*); OECD, *National Accounts.*

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flat rate withheld at source. At the same time, the numerous allowances and exemptions inherited from the previous regime were left into place: as a consequence, different sources of income were subject to different effective tax rates. The distribution of income widened throughout the 1990s, putting the social and political acceptance of the tax system at serious risk.

The fact that the tax system in Portugal has not met with social and political acceptance partly explains the long-standing history of poor compliance. The informal economy is estimated to generate output equivalent to anything from 24 to 30 per cent of GDP,[40] tax collection being hampered by many factors: a workforce with a large share of self-employed; inefficiencies in tax administration; the lack of a modern and up-to-date land register; stringent bank secrecy for tax purposes; and the slow development of cross-checking information between the different tax authorities and between the tax and social security records. The complexity of tax laws, exacerbated by the frequent revisions and amendments that followed the 1989 tax reform, together with leniency of the laws against tax evasion, have also discouraged taxpayers' compliance.

Pressures from public spending and fiscal consolidation

The tax-to-GDP ratio has increased markedly over the past 20 years. Between 1980 and 1995, the overall tax burden, which was among the lowest in the OECD, rose by 9 percentage points, with taxes on goods and services and income taxes sharing equally in the increase. The steady expansion in public spending, particularly commitments to the development of welfare provision, was part of the dynamic behind this rise. The period also saw marked reductions in the budget deficit and inflation tax, for which more orthodox tax sources needed to substitute.[41] In the period following 1995, pressure to reduce the deficit increased in the run-up to monetary union, while primary spending continued to grow, and has continued to do so despite the post-1997 commitment to the Stability and Growth Pact (see Chapter II). Tax revenues reached 38.6 per cent of GDP in 1999. Growth occurred mainly in corporate income tax revenues, as a result of the reduction of some tax incentives and deductible costs, and in consumption taxes thanks to the strong contribution of domestic demand to GDP growth (Figure 20). Moreover, improved tax collection and some recovery of tax and social security arrears thanks to the *Mateus Plan*[42] contributed to the recent increase in tax revenues.

In the medium and long-term, the tax system will face increasing pressure from growing expenditures and further reduced reliance on deficit finance. The Stability and Growth programme implies the need to cut the structural deficit by around 2 percentage points of GDP over the next four years. Over the longer-term horizon, population ageing will, in the absence of reforms, raise public spending on pensions and health care. As indicated in Chapter II, in the absence of reforms on the spending side (entitlements to, and generosity of benefits), population

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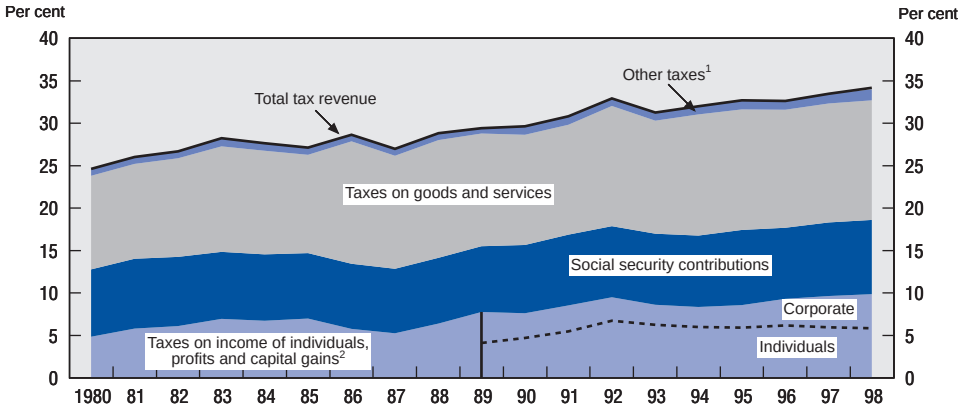
Figure 20. **The evolution of tax revenue in Portugal**
Per cent of GDP



1. Includes taxes on property.
2. The system in place prior to 1989 relied on a turnover tax and schedular taxes, whereby different sources of income were assessed and taxed at different rates according to family situation and other parameters.

Source: OECD (1999*b*).

ageing may require raising the level of taxation. The extra tax burden would be likely to fall, *ceteris paribus*, mostly on labour, since pensions are mainly financed through wage-based contributions and capital is an increasing mobile base. Future enlargement of the EU would also imply smaller net transfers receipts, since additional net transfers to new members are expected to be partly financed by cuts in structural funds to current recipients and by savings associated with the common agricultural policy reform.

Mobility of the tax base

Pressures for reform will intensify because capital, consumption and corporate tax bases are becoming more vulnerable to erosion. Tax base erosion pressures are likely to intensify with respect to the border with Spain, which has a lower effective tax rate on consumer goods. In addition, the trend toward globalisation in financial markets and the advent of cheap and rapid electronic links to overseas financial markets make it possible for investors and savers to shop around, and increasingly difficult to tax capital income effectively. In Portugal, inadequate information flows between financial intermediaries and tax administration – including the past stringency of bank secrecy rules – have made it difficult to fight against tax evasion. An aggravating factor is the development of

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offshore capital investment via the Internet, although security problems and a relatively low penetration of Internet in Portugal still limit the expansion of these financial transactions. However, they are likely to expand rapidly in the medium-run, compounding problems related to the free-trade zones of Madeira and the Azores (see below). The advent of "smart" mobile phones, free Internet access, and cheaper telecom tariffs, are expected to boost e-commerce transactions.

Main features of the system[43]

A distinctive characteristic of the Portuguese tax system is the relatively heavy reliance on consumption taxes, which now account for 41 per cent of total tax revenue, much above OECD and EU averages (Table 16). This outcome was reached following the introduction of the VAT system and a subsequent broadening of its base, and is also due to a steady growth in excise taxes, especially taxes on petroleum products, motor vehicles and tobacco. The corporate income tax has also increased substantially in the past five years or so and its share is above the OECD average. Conversely, revenue from the personal income tax accounts for a smaller share of total revenues than in most other OECD countries, as do property taxes.

Table 16. **The structure of taxation by type of tax**
1998

	Corporate income taxes	Individual income tax	Social security and payroll taxes	Consumption taxes	Other taxes, including property taxes
	In per cent of total tax revenue				
Portugal	**11.6**	**17.1**	**25.5**	**41.3**	**4.4**
Canada	10.0	37.8	15.8	24.7	11.8
France	5.9	17.4	38.5	26.6	11.6
Germany	4.4	25.0	40.4	27.4	2.8
Greece[1]	6.4	13.2	32.2	41.0	7.2
Ireland	10.7	30.9	13.8	38.7	6.0
Italy	7.0	25.0	29.5	27.4	11.0
Japan	13.3	18.8	38.4	18.8	10.8
Spain	7.3	20.8	35.2	29.4	7.3
United Kingdom	11.0	27.5	17.6	32.6	11.3
United States	9.0	40.5	23.7	16.2	10.6
OECD average, unweighted	8.8	27.1	25.9	30.7	7.5
OECD average, weighted	8.8	29.1	27.8	24.0	10.3
EU average, unweighted	8.5	25.5	28.9	30.4	6.6
EU average, weighted	7.1	23.9	32.5	28.8	7.7

Note: Consumption taxes equal taxes on goods and services less "profits of fiscal monopolies" and "other taxes".
1. 1997 data.
Source: OECD (1999*b*).

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Table 17. **Personal income taxation in selected OECD countries**

1999

	Portugal[1]	Canada	France	Germany	Greece[1]	Italy	Ireland	Japan[2]	Spain	United Kingdom	United States
Labour income:											
Taxes raised by central government											
Range of statutory rates (per cent)	**14-40**	17.51-31.3	10.5-54	0-53	5-45	18.5-45.5	24-46	10-37	15-39.6	20-40	15-39.6
Number of tax schedules[3]	**5**	4	6	4	5	5	2	4	6	3	5
Rates of sub-national taxes (per cent)	**. .**	22.8	. .	. .	. .	0.5	. .	5-13	8.4	. .	0-11.6
Marginal "all-in" tax rate for top income earners[4] (per cent)	**46.6**	54.1	62.9	55.9	53.7	50.8	50.25	50	48	40	48.1
Tax threshold (per cent of APW income)[5]	**0.7**	0.03	0.2	0.21	0.6	0.02	0.20	0.09	0.21	0.24	0.24
Highest rate starts at (proportion of APW income)[5]	**4.3**	1.8	2.2	2.1	4.7	3.5	0.7	7	4.6	1.8	9.7
Tax rates on capital income:											
Interest from bank deposits	**20**	54.1	25	55.9	15	27	24	20	48	40	46.6
Dividends	**30**[6]	54.1	61.2	55.9	0	12.5	46	50	48	40	46.6
Financial capital gains	**0**[7]	54.1	26	0	0	12.5	40	26	20	40	20

1. Statutory rates also apply in 2000.
2. Tax on dividends depends on the size of distribution. Tax credit is not included.
3. Excluding zero band or basic allowance.
4. It includes sub-national tax rates and employee's social security contributions.
5. APW = average production worker in manufacturing, single, no children. APW salary is for 1998 and 2000, respectively, for Greece and Portugal.
6. Includes the gift and inheritance tax of 5 per cent. For listed shares, only 60 per cent of total dividends are subject to taxation in 2000 (and 80 per cent in 2001).
7. Capital gains resulting from the alienation of corporate rights (shares) and other marketable securities are liable to a 10 per cent withholding tax if shares are owned for less than twelve months.

Source: OECD, Tax database, 1999; OECD (2000*a*); Dalsgaard *et al.* (2000).

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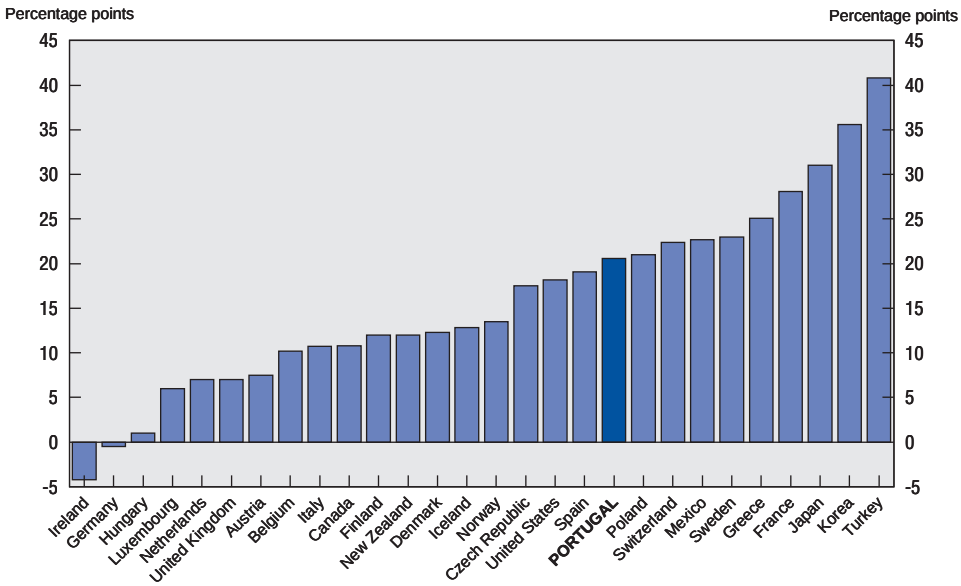
Limited progressivity and complexity of the personal income tax system

Both employees and independent workers pay the personal income tax, which applies a progressive schedule to all earned income net of the standard deduction and of deductible expenses. The current range of statutory tax rates, at 12 to 40 per cent, is nearer to the United Kingdom and Spain than to the core EMU economies (Table 17), while progressivity is average, measured as the difference between the marginal "all-in" tax rate faced by a top wage earner and the marginal "all-in" tax rate for an average production worker (Figure 21). In this context, the highest rate begins to operate only at a relatively high level of income. Moreover, this crude measure of progressivity does not take into consideration the wide range of generous tax deductions and credits[44] that undermine effective progressivity in the personal income tax system. In 1998, only 60 per cent of the gross income declared by households was taxable[45] and a large share of tax expenditures went to taxpayers belonging to the highest income categories (Figure 22).

Figure 21. **Progressivity in the rate structure of the personal income tax**[1]
In selected OECD countries, 1999



1. Progressivity is measured as the difference between the marginal "all-in" tax rate faced by a top wage earner and the marginal "all-in" tax rate for an average production worker. "All-in" rates include employees' social security contributions, surcharges and local taxes when applicable.

Source: OECD (2000*a*); OECD.

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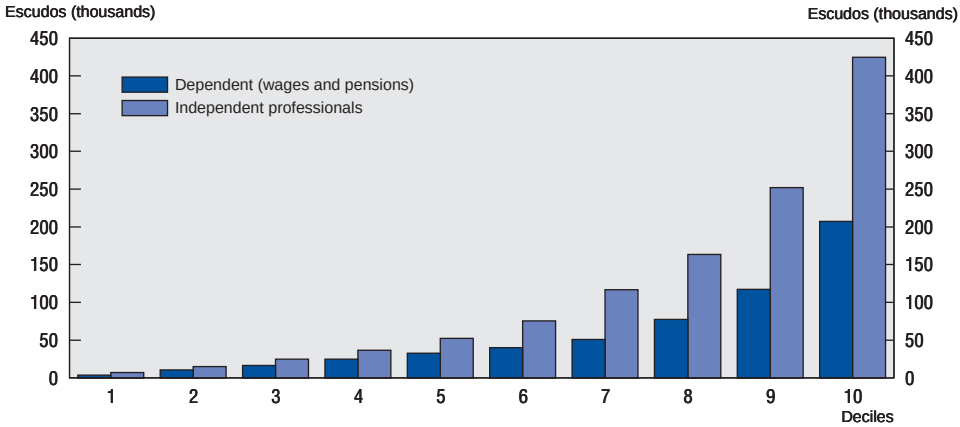
Figure 22. **Tax expenditure by type and level of personal income**

Average tax expenditure by decile, 1997[1]



1. Average tax expenditure by decile is calculated as the difference between average tax revenues, including allowances and credits, and average tax revenues, net of allowances and credits, within each decile. In 1997, an average production worker, whose gross salary was estimated at 1 388 thousand escudos, belonged to the third decile.

Source: Reis (2000*a*).

Table 18. **Social security contributions of top wage income earners**

2000 (as of 1 January)

	Employees' contributions		Employers' contributions	
	Statutory rate	Net rate[1]	Statutory rate	Net rate[1]
Portugal[2]	**11.0**	**6.6**	**23.7**	**15.4**
Canada	6.5	cap	7.7	cap
France[2]	0.9	0.3	20.2	12.5
Germany[2]	20.5	cap	20.5	cap
Greece[2]	15.9	8.7	28.0	16.8
Ireland	2.0	2.0	12.0	cap
Italy[2]	10.2	5.4	39.9	25.2
Japan	12.8	cap	27.7	13.9
Spain[2]	6.4	cap	31.8	cap
United Kingdom	10.0	cap	12.2	8.5
United States	1.5	1.5	1.5	0.9

1. The net rate differs from the legal rate when employees' contributions are deductible from the personal income tax or when employers' contributions are deductible from the corporate income tax. Where a ceiling applies to all contributions, the legal rate indicates the contribution rate just before the cap applies.
2. In addition to these rates, employees and employers have to make contributions to occupational pension plans (shared equally between employers and employees).

Source: OECD, Tax database; De Sampayo Ribeiro (2000).

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The different tax treatment for income from different sources and types of activity, although partly explained by the specificity of their nature, facilitates tax avoidance and evasion, and results in lower horizontal and vertical equity. According to Ministry of Finance estimates, 26 per cent of the self-employed, who often overstate business costs and understate revenues, declare taxable income below the minimum national salary.[46] Combined with the taxation of income from capital (*i.e.* interest payments and capital gains), which is considerably below the top rate in the progressive rate schedule, income taxation achieves little in the way of income redistribution. Indeed, Portugal has one of the widest after-tax income distributions among OECD countries.[47]

Box 3. The impact of taxes and benefits on labour supply

The interaction of social benefits and labour income taxes may yield high marginal effective tax rates that discourage labour market participation especially at the lower end of the wage scale. Tax and benefit systems can interact, especially, to prevent formal part-time work, and thereby encourage fraud and long-term benefit dependency (OECD, 1997).[1]

Low-income households which receive social benefits often face a marginal effective tax rate above 100 per cent. In Portugal, this may be the case for a family with two children and no secondary earner, when the principal earner starts part-time work (OECD, 1999*c*). This result derives in part from the fact that after-tax replacement rate is fairly high even though eligibility rules are tight. This is mainly due to a generous benefit system, which is withdrawn as soon as a job is taken up, the marginal effective tax rate per se for a household earning two-thirds of the salary of an average production worker (APW) being only 11 per cent. An unemployed person is granted an average net replacement rate of 70 per cent of the last net salary. This entitlement is granted for up to five years of unemployment and is exempt from taxes and social security contributions. Although Portugal retains a relatively high employment rate, it is recognised that a relatively large share of the population is employed in the informal economy, estimates of its size range from 24 to 30 per cent of GDP. The generous untaxed benefits for households with children, in particular, may create unemployment traps with marginal tax rates close to or in excess of 100 per cent, even though certain features of the system minimise this risk in Portugal.[2]

1. A recent survey of the ways in which benefits in EU countries (including Portugal) may influence the rate at which individuals exit from unemployment can be found in *europa.eu.int/comm/employment_social/soc-prot/missoc99/*.
2. Low-income families are guaranteed a minimum income (RMG) which is based on the minimum social pension. In 2000, a family with three children and unemployed parents is entitled to a monthly RMG of 87 500 escudos that is above the monthly national minimum salary (63 800 escudos). See Chapter IV, for other details.

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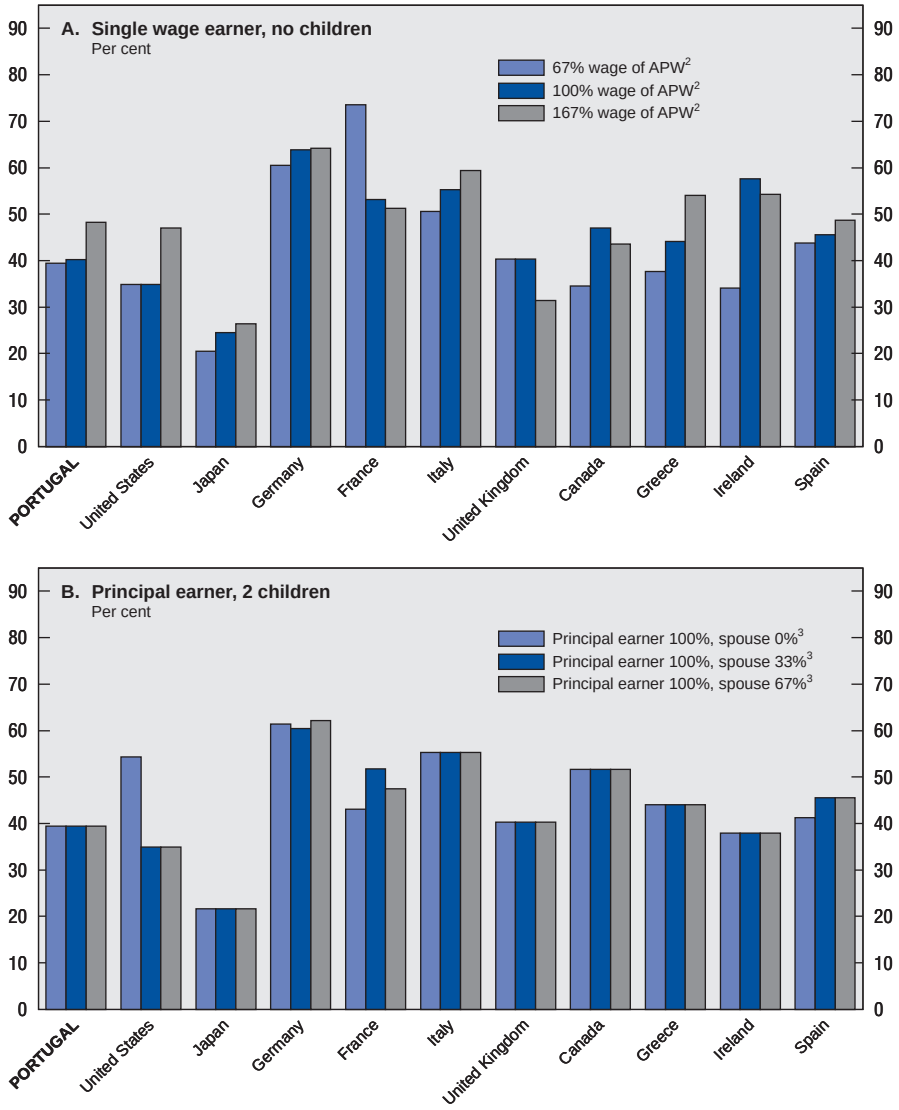
Figure 23. **Marginal tax wedge by family types and wage levels**[1]
1999



1. Marginal tax rates covering employees' and employers' social security contributions and personal income taxes; they do not report indirect taxes and are therefore biaised to different degrees across countries.
2. APW: Average production worker in manufacturing.
3. Refers to proportion of wage of APW.

Source: OECD (2000*a*).

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A positive element is that tax distortions in the labour market are limited. The combination of personal income and social security taxes creates a wedge between the cost of labour to the employer and the net take-home pay of the employee that, depending on its size and incidence, may have an adverse impact on the demand and supply of labour. In Portugal, though, both statutory and net (*i.e.* including the income tax deductibility) contribution rates fall within the range for OECD countries (Table 18),[48] while marginal tax wedges on labour income are somewhat below the OECD average for most wage and family situations (Figure 23). This implies that low and middle labour income earners, at least, are not abnormally discouraged by high marginal taxes.[49] The tax system also does not seem to discourage second-earner participation for all family income levels.[50] However, it is possible that the joint effects of the tax and transfer system create unemployment traps (Box 3). Moreover, while on sick-leave an employee is guaranteed revenues at an average replacement rate of 85 per cent of net salary and is relieved of the obligation to contribute to the social security system; at the same time the employer pays lower social security contributions and is dispensed from paying a salary. This can be used as a "safety-net" during economic downturns (employers may grant a sick leave instead of dismissing employees), especially since dismissal costs are relatively high and rules are stringent (Chapter IV).

The corporate income tax lacks a level playing field

As noted above, the corporate income tax has contributed considerably to the increase of total tax revenues often exceeding budget-targets over the past five years or so. The burden, however, falls on a very small number of companies (Table 19).[51] Due to the difficulty of assessing revenues and costs of small companies, the infrequent controls on companies' books and abusive tax-avoidance practices, roughly a third of companies present losses for tax purposes (Table 20). In 1998, about 14 per cent of all companies declared no profit (a significant part of which may correspond to the large amount of inactive companies), while 50 per cent of those that did exercise an activity declared earnings below 30 million escudos (150 000 euros). Only 4.5 per cent of the total number of companies declared total profits above 500 million escudos (2.5 million euros) and of these 50 contributed 45 per cent of total corporate income tax revenues.

Portugal displays a statutory rate for corporate income tax of 35.2 per cent (32 per cent plus a surcharge collected by municipalities), which is close to the EU average. However, as a result of a wide range of tax incentives and tax evasion practices, the effective tax rate is much lower than the statutory rate: some estimates for the manufacturing sector suggest that the discrepancy between the statutory rate and the effective rate could have been larger than 20 percentage points over the 1990-1996 period, which was higher than the average tax relief in the

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Table 19. **Corporate income tax (CIT) revenues by company size**
1998

Number of companies	CIT revenues (cumulative)	
	Amount (billion escudos)	Per cent of total
5 biggest	159	28
10 biggest	187	33
20 biggest	213	37
50 biggest	254	45
100 biggest	293	51
Total national	569	100

Source: Ministry of Finance (Tax Department).

Table 20. **Companies presenting tax losses**

	Total companies	Companies with tax losses	
	Number (1 000)	Number (1 000)	In per cent of total companies
1996	233	92	39
1997	230	89	37
1998	248	85	34

Source: Ministry of Finance (Tax Department).

European Union (Figure 24).[52] Nevertheless, measuring effective tax rates is a complex exercise and international comparisons in this area should be interpreted with care. Tax incentives, which are equivalent to tax expenditures, can be used to correct market failures faced by specific sectors or disadvantaged regions. However, to be effective they require precise definition and tight monitoring, which are both very difficult to achieve, otherwise they may distort resource allocation (Box 4). In Portugal the major corporate tax incentives are provided on a regional and sectoral basis. They include investment tax credits, partial or total exemption of the tax base, lower statutory rates for micro-companies and companies operating in the region of the Azores, while entities registered in the free-trade zones of Madeira and the Azores are tax exempt. The main beneficiaries are SMEs, all resident entities investing in R&D (a feature common to most OECD countries), undertaking large commercial and manufacturing projects (of at least 1 billion escudos) or projects designed to internationalise the Portuguese economy, and companies operating in financial markets. Total tax expenditures accruing to the corporate sector, including those related to the free-trade zones of Madeira and the Azores amounted to 1 per

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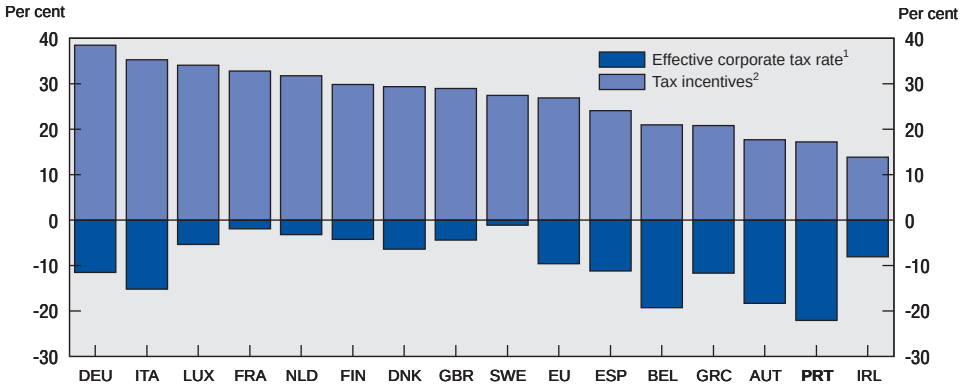
Figure 24. **Effective corporate taxation in the European Union**
Average 1990-96



1. Estimates are drawn from the consolidated financial statement data of a panel of 2 118 EU manufacturing companies excluding therefore important sectors such as insurance and financial services. As data are drawn from income settlements published by the firms in the sample, cross-country differences in effective tax rate may also partly reflect differences in accounting practices.
2. Difference between the effective corporate tax rate and the statutory corporate tax rate.

Source: Buijink *et al.* (1999).

cent of GDP in 1999 (Table 21). However, tax exemptions in relation to the free-trade zones of Madeira and the Azores correspond to an effective tax expenditure only in part: without the tax exemption, there would probably be little income to tax. This is higher than in other OECD countries, even those with a tradition of high tax incentives; in Korea, for example, the figure is 0.6 per cent.[53]

The free-trade zones of Madeira and the Azores may become a problem for the Portuguese tax authorities. Under the state-aid rules of the European Union, Portugal was authorised to enact a special tax regime for some industry sectors (*e.g.* shipping and insurance companies) aimed at overcoming the structural under-development of the autonomous regions of Madeira and the Azores (see Annex II for details). Although these incentives have attracted an increasing number of new businesses to the regions, they have not had a proportional effect on the number of jobs,[54] while large amounts of tax revenues (about 0.8 per cent of GDP in 1998) are not collected. Moreover, the government has expressed its worries about tax-avoidance practices that emerge from the combination of these special tax regimes and inadequate auditing of inter-company practices such as *transfer-pricing* (Box 5). Finally, there is the possibility that these preferential regimes have an effect outside Portugal. The OECD Committee on Fiscal Affairs is currently examining these regimes under the recently adopted Guidelines for Dealing with Harmful Preferential Tax Regimes in the OECD member countries.[55]

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Box 4. Adverse economic effects of tax incentives to the business sector

While investors base their investment decisions on expected after-tax returns, the value to the whole economy of an investment is determined by its pre-tax return. If some investments are more lightly taxed than others, differences arise between the pre- and post-tax rankings of investment, resulting in investment patterns that do not generate the highest return from a national viewpoint. Lower and more even tax rates across investments (as well as organisational forms) reduce this distortion. Differences in marginal effective tax rates mainly arise due to varying depreciation rules and other tax concessions. Targeted tax incentives for certain sectors or activities are particularly harmful to the economy since they:

- Are difficult to target appropriately. Ideally tax incentives seek to remedy market failures, for instance perceived under-investment in R&D, but to identify such failures requires more information than is normally available or obtainable. The result is that incentives are often given too widely, which is overly expensive, or too narrowly, whereby they may have little effect.
- Encourage unassisted sectors to waste effort (from the viewpoint of the whole economy) in lobbying for concessions for themselves.
- Lead to increased avoidance and evasion (and costly administrative counter-measures) by attempts to characterise otherwise non-qualifying income or expenditure so that it qualifies for the concession. Therefore, subsidies may flow to unintended activities, persons or companies.
- Subsidise activity that would take place anyway.
- Imply a loss of revenue that is difficult to control.
- Are less transparent than explicit subsidies.

Table 21. **Tax expenditure related to the corporate sector**
1999 (provisional)

Incentives	Tax expenditure	
	Billion escudos	Per cent of GDP
Dividends from shares	7.6	0.0
Public debt interest	1.2	0.0
Investment incentives	9.0	0.0
Sub-total	17.8	0.1
Free zone of Madeira and Azores[1]		
Temporary exemptions	28.8	0.1
Permanent exemption	162.9	0.8
Total tax expenditure	209.5	1.0

1. Tax expenditure for the year 1998.
Source: Ministry of Finance, State Budget for 2000 and Tax Department.

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Box 5. Anti-avoidance measures for international inter-companies activities

As for most other OECD countries, Portugal has in place anti-avoidance rules to counteract the incentives for residents to divert income through low-tax foreign entities as well as the free-trade zones of Madeira and the Azores, via practices such as *transfer-pricing*, *thin-capitalisation* and controlled foreign companies (CFC). Anti-avoidance measures are difficult to apply because, for example, no market against which assess the price of inter-company transfers of goods and services exists, and therefore their application requires highly qualified and experienced tax-inspectors who, at present, do not represent the majority of tax inspectors in Portugal.

Transfer-pricing

In general the *arm's length* principle governs transfer pricing in all transactions. Prices agreed between related parties that differ from prices contracted with independent customers in similar commercial transactions may be adjusted by the General Directorate of Taxes. Companies can, however, dispute this treatment if they properly document their transfer prices. There are no provisions regarding advanced price agreements.

Thin-capitalisation

When a company's debt to equity ratio exceeds prescribed limits, thin capitalisation rules may limit the deductibility of interest charges on loans. Interest paid on foreign loans provided by related parties in excess of the ratio 2:1 between the aggregate value of foreign debt and all equity of the company is not deductible for tax purposes. However, excessive debt is deductible if the taxpayer can prove that the loan conditions are comparable to those agreed by non-related trading partners in comparable transactions under the same circumstances.

Controlled foreign companies

Under CFC rules, corporations are subject to tax on their pro-rata share of the annual total income of CFCs (whether or not distributed) in which they own 25 per cent or more of a foreign affiliate; or 10 per cent or more of a foreign affiliate and at the same time 50 per cent or more of the shares of the corporation are owned (directly or indirectly) by residents in Portugal. Income in such corporations is taxed annually under the same general rules applied to income from domestic corporations and foreign branches. Residents may claim tax credits for foreign income taxes paid by CFCs up to the amount of tax that is payable under Portuguese law.

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An important role for consumption taxes

VAT efficiency has improved dramatically in the past few years, thanks to a shift in household consumption preferences towards standard-rated goods and the *Mateus Plan* to recover tax liabilities. Both the effective VAT rate (the ratio of VAT revenue to consumption) and its productivity, measured as the ratio of the effective to the standard rate, are well above the OECD average (Table 22).[56] VAT was introduced in 1986 with an initial standard rate of 16 per cent, and subsequently raised to 17 per cent, which is close to the OECD average. Prior to 1992, besides the standard rate, there were a zero rate, a low rate of 8 per cent and a higher rate of 30 per cent. In 1992, the zero and the 8 per cent rate were replaced by a single reduced rate of 5 per cent. In 1995, the 30 per cent rate was abolished. Finally, an intermediate rate (12 per cent) was introduced in 1996. This was with a view to making sectors such as tourism more competitive *vis-à-vis* its nearest neighbour Spain, where the VAT rates are lower, and granting a tax relief for some socially-sensitive goods. As in several other EU member countries, at the beginning of 2000 the low rate was extended to activities deemed "labour-intensive" and where it is common practice to evade VAT, such as building renovation. This was mainly to improve the collection of VAT from small businesses that represent a problem for the tax authorities (Box 6).

Excise taxes – estimated at 24 per cent of total revenues in 1999 – are also a major source of consumption tax revenues. These are levied on petroleum products, alcoholic beverages, tobacco, cars, trucks and motorcycles. With the exception of excises on vehicles and motorcycles, tax legislation has been harmonised with the associated EU directives. Consumption taxes (such as those on petroleum products) have sometimes played a role as a short-term instrument for smoothing inflation in Portugal (see Chapter I). However, indirect taxes by their nature have essentially transitory effects on inflation.

Environmentally-related taxes are ineffective for pollution control

Environmentally-related tax revenues are among the highest in the OECD as a share of GDP, but this is mainly due to fuel tax receipts (Figure 25); they are not effective as economic instruments for pollution control and are not well geared to controlling environmental pressures arising from industrial development and the fast growing transport, energy and tourism sectors.[57] Electricity for industrial usage is exempt and the tax on diesel is well below the tax on gasoline – the CO_2 content of gasoline is higher than diesel, but other environmental costs associated with diesel are larger.[58] As with energy, water pricing does not succeed in internalising environmental externalities or in reflecting its relative scarcity. Pressures on available water mainly result from increasing use for irrigation and, to a lesser extent, from households. Households pay some charges

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Table 22. **Value-added tax**

A. VAT in international comparison, 1998

	Value-added tax revenue	Standard rate[1]	Effective VAT rate[2]	Productivity[2]
	In per cent of GDP	Per cent		
		A	B	B/A
Portugal	**8.2**	**17.0**	**10.5**	**61.5**
Canada	2.6	7.0	3.4	49.2
Denmark	9.8	25.0	14.6	58.3
France	7.7	20.6	10.9	53.0
Germany	6.6	16.0	9.4	59.0
Greece[3]	8.2	18.0	9.5	53.0
Ireland	7.2	21.0	12.2	58.2
Italy	6.1	20.0	8.5	42.7
Japan	2.6	5.0	3.7	73.7
Spain	5.7	16.0	8.0	49.7
United Kingdom	6.7	17.5	8.8	50.1
OECD average[4]	6.7	17.7	9.7	56.3
EU average[4]	7.2	19.4	10.5	54.2

B. Effective VAT rate in per cent of standard rate

	1990	1995	1998
Portugal	**46.0**	**59.0**	**61.5**
Canada	46.2	44.4	49.2
Denmark	53.0	57.2	58.3
France	61.1	50.4	53.0
Germany	63.8	63.4	59.0
Greece[3]	50.6	48.7	53.0
Ireland	43.6	51.9	58.2
Italy	41.7	42.2	42.7
Japan	68.2	73.0	73.7
Spain	60.1	44.8	49.7
United Kingdom	53.1	50.6	50.1
Average of above countries[4]	53.5	52.8	55.0

1. Position as of 1 January 1998.
2. Effective VAT rate is VAT revenue divided by base (*i.e.* consumption exclusive of VAT), productivity is the ratio of the effective over the standard rate. For Portugal, estimates for 1999 show that the effective rate was then 10.8 per cent and its productivity 63.7 per cent.
3. For 1998, VAT revenues are from national accounts.
4. Simple average over available countries.

Source: OECD (1999*b*); OECD (1999*d*).

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Box 6. Small businesses pay little VAT

A major concern for the government is that only a small share of businesses pays VAT. In 1998, the number of VAT taxpayers was 1 366 890. Among small VAT taxpayers (*i.e.* those without regular accounting books), around 25 000 were covered by the small retailer simplified regime, while 486 497 – about a third of the total number of VAT taxpayers – fell into the special exemption scheme. Overall, around 50 per cent of taxpayers were entitled to special schemes, either for their alleged small size, or for carrying out VAT-exempt operations.[1] The other half was subject to the normal regime.

When VAT collection is disaggregated by turnover brackets, it becomes evident that a large share of VAT revenues is paid by a reduced number of taxpayers – only 0.1 per cent of total liable entities (661) declared a turnover above 250 million escudos (about 1.25 million euros) and these paid more than 50 per cent of the VAT collected in 1998. Around 91 per cent of tax revenues were paid by 40 000 taxable enterprises, representing only 6.3 per cent of all taxpayers who submitted periodical tax returns. The large majority of taxable small retailers that is 650 000 (93.7 per cent of the total), declared a turnover below 2.5 million escudos (about 12 500 euros) and paid only 8.8 per cent of tax. This, together with figures above, gives an indication of the potentially significant level of tax avoidance among small businesses.[2]

Improving the collection process

Besides the administrative difficulty of controlling and auditing such a large number of small taxpayers, the problem might be worsened by the mistrust towards a tax administration, which has the reputation of being slow and cumbersome in repaying tax credits. Among the OECD countries that are characterised by a large number of small businesses and self-employed, several countries (*e.g.* Greece and Italy) have a lower turnover threshold for VAT exemption. Moreover, Italy has introduced the *versamento unificato* as a measure to speed up the collection process, increase auditing of returns and reduce the incentives to cheat (OECD, 2000*c*). This is a single form of tax declaration for all taxpayers registered with the VAT registry. From the viewpoint of the taxpayer, the main attraction is the opportunity to offset tax credits against any tax liability in a single tax form. This simplifies the refund procedure and reduces the time lag between the claim and the actual refund. At the same time, the Government has reached an agreement with banks and post offices by which they can collect tax payments and communicate the related pieces of information to the fiscal authority electronically within up to seven days from the date of payment.

1. Small retailers with a turnover below 10 million escudos (about 50 000 euros) per year pay quarterly 25 per cent of the VAT included in the value of their purchases. Taxpayers with a turnover below 2 million escudos (about 10 000 euros) per year are exempt on sales (exemption regime).
2. This can be aggravated by the problem of collecting corporate income tax (above) and income tax from the self-employed (below).

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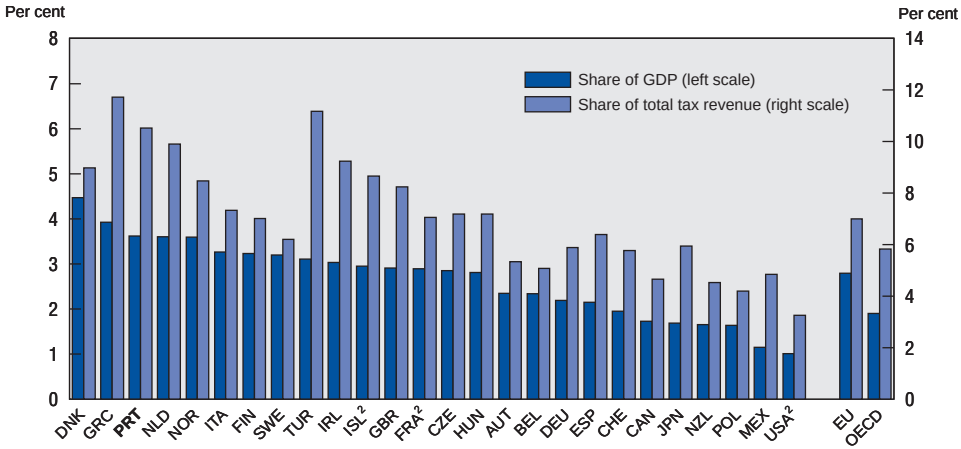
Figure 25. **Revenues from environmentally-related taxes**[1]
In per cent of GDP and total tax revenue, 1997



1. These data do not reflect environmentally-related provisions in other taxes, including personal and corporate income-taxes, such as accelerated provisions or tax credits for energy-saving and pollution-reducing equipment.
2. 1995 instead of 1997.

Source: Environmentally-related taxes database, OECD.

on water consumption. Farmers are not charged either for the extraction of irrigation water or for the significant pollution of ground and surface water resources caused by a generally intensive use of pesticides and fertilisers.[59] Wastewater charges apply only to industries in areas equipped with treatment plants, and a flat rate charge is calculated on the volume of effluents rather than on pollution or toxic load, thus providing no incentive for industry to adopt production processes that minimise effluents.

Property taxation is unfair and revenue ineffective

The taxation of immovable property is highly inefficient and unfair. The municipal tax on property transactions (SISA) and local tax on the value of real estate (*Contribuição Autárquica*, CA) account for 90 per cent of total property tax revenue. Other components include the central government gift and inheritance tax that is levied on the transfer of both immovable and movable property. However, despite high statutory rates, property taxation accounts for only 0.8 per cent of GDP, well below the OECD average (Figure 26). The complex web of tax rules and generous tax breaks, the widespread practice of both buyers and sellers to under-state the value of real estate transactions to minimise SISA payments

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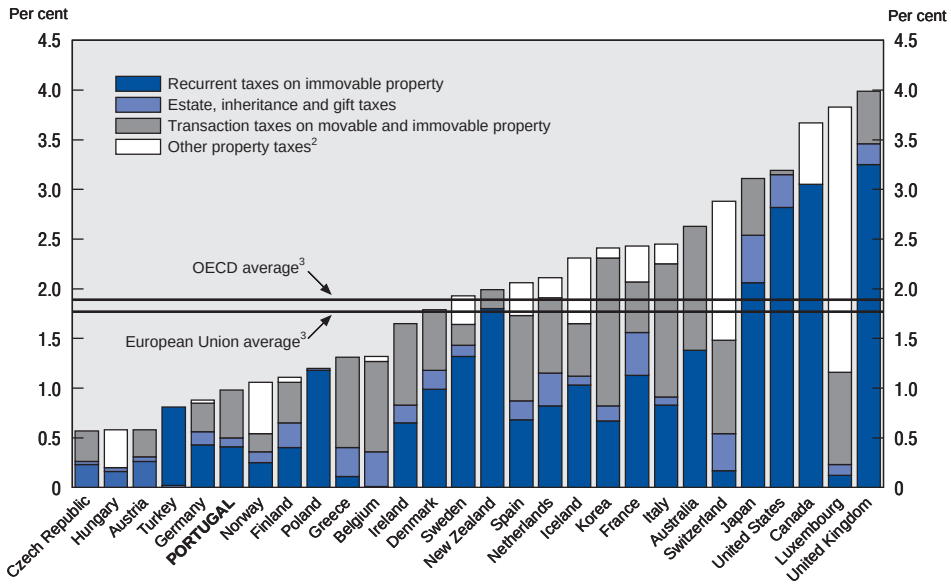
Figure 26. **Property taxation in OECD countries**
Per cent of GDP, 1998[1]



1. 1997 data for Greece.
2. Including recurrent taxes on net wealth and some non-recurrent taxes on property (for instance land development permission charges).
3. Unweighted.

Source: OECD (1999*b*).

and the lack of an up-to-date national land and real estate registry can explain the poor performance of property taxes, but also the popular perception of their unfairness.[60] Moreover, transactions taxes tend to hinder mobility. Since 1996, the taxation of immovable property has been the object of a wide, technical and political discussion, but no final consensus on how to deal with it has been reached (Box 7).

Local governments have limited tax autonomy

Excluding the autonomous regions of the Azores and Madeira,[61] local governments have very limited tax and spending autonomy. In 1998, the own-taxes of sub-central levels of government accounted for only 6 per cent of total tax revenues (including social security contributions). That is among the lowest in the

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Box 7. Problems and issues relating to the taxation of immovable property

The taxation of immovable property has been the object of extensive technical and political discussion at national level since 1996. Debate has been mainly based on the report submitted by the Government to the Parliament, as well as on an independent report (the Medina Carreira report) prepared for the Commission on the Reform of Net Wealth Taxation. In the first quarter of 2001, the Government is planning to submit a proposal for taxation of urban immovable property, as well as a schedule for its implementation expected by the beginning of 2002.

The main criticisms addressed against the present system are based on the fact that real estate valuation for tax purposes has no link with real market values, being based on lease market values that do not reflect the movement in house prices in recent years. Property taxation has evolved into a complex, inefficient and unequal system characterised by high legal rates and narrow bases. However, while there is general consensus on the urgent need to reformulate the taxation of immovable property, there is no consensus on how to reform it.

The proposals and models so far analysed and submitted to Parliament for public discussion are four:

- ***Proposal* I**
  Re-assessment of the entire real estate stock. This would be the main way to produce a comparatively reliable result. However, the task seems virtually unfeasible in a short period of time, since there are already 17 million properties on the real estate register in Portugal.

- ***Proposal* II**
  Re-evaluation of new immovable property and updating of old property by reference to broad adjustment coefficients. This proposal would be easier to implement and would offer the advantage of reducing the present gap between new property and old property values.

- ***Proposal* III**
  Creation of a single tax on net wealth to replace the tax on property transactions (SISA), the tax on the value of real estates (CA), the gift and inheritance tax, the tax on motor vehicles and the levy for sewerage maintenance (known as the Medina Carreira proposal). Together with movable and immovable property, the tax base would include private vehicles, credit entitlements of individuals, bank deposits and the net worth of enterprises and corporations. Criticism has mainly focused on the risk of double taxation of capital (shareholders would have to pay a tax on the ownership and the income) and the negative impact on small savings. Implementation would also need a proper revaluation of property.

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Box 7. **Problems and issues relating to the taxation of immovable property** (*cont.*)

– ***Proposal* IV**
Imposition of VAT on the sale price of new property, while abolishing SISA and simplifying CA. The simplification of the CA would occur by splitting it into two parts – a fixed rate (lump sum) for each owner and a variable rate applicable to the real estate value as calculated in conformity with coefficients established by law and dependent on factors such as the location, age and type of use of the estates. This is an innovative proposal (known as the Sidónio Pardal proposal) both in its targets and technical coefficients that would endorse the *exemption method*, prescribed in the Sixth Directive of the EU. Lack of previous experience and absence of an efficient tax administration could be the main hindrances. Also, depending on the structure of the new VAT system and on the elasticity of the demand of new buildings vs. old ones, the new system may introduce distortions into the housing market. Moreover, strict enforcement of the system would be required to reduce the risks of tax evasion.*

* Under the *exemption method*, prescribed in the Sixth Directive of the EU, the sale and rental of immovable property is, in principle, exempt, but newly-constructed buildings, as well as alterations and maintenance of the existing building stock, are taxable while VAT on inputs can be recovered. The *exemption method* needs a definition of specified non-residential use, such as hotel accommodation, boarding houses, camping facilities, and parking space, all of which are taxable. Furthermore, since commercial use and sale of existing immovable property are exempt, an opportunity for optional registration must be provided to avoid potential discrimination and cumulating tax (OECD, 1998*b*). The application of this directive varies from country to country. No EU member seems to apply the pure exemption method, with the exception of the Netherlands. According to the European Mortgage Federation (1997) several countries, such as Denmark, Germany, Greece, Ireland and Finland do not levy VAT on the sale of residential housing.

OECD (Table 23). Local authorities seem to prefer to pay a commission to the central tax administration to manage and collect their tax revenues and hence collect an even smaller part of that amount directly. Local taxes include, *inter alia*, a surcharge on the Corporate Income Tax (*Derrama*), the CA and the SISA. Local authority finances largely depend on grants that do not provide adequate incentives to contain spending.[62] This has not been a problem so far, thanks to close monitoring by the central government: there is tight regulation of local provision of health care, education and social services. The government has, however, started a slow process of decentralising government competencies, so far largely limited to spending powers. Policy aims at improving public administration and the efficiency of public goods delivery, and at a better relationship between

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Table 23. **Tax revenues by level of government**
Per cent of total tax revenues

	Central government			Local government			Social security funds		
	1985	1995	1998	1985	1995	1998	1985	1995	1998
Portugal	**70.6**	**66.6**	**66.6**	**3.5**	**5.6**	**6.1**	**25.9**	**27.9**	**26.7**
Czech Republic	. .	46.2	43.9	. .	12.9	11.9	. .	40.8	44.1
Denmark	69.1	65.6	64.7	28.4	31.3	31.8	2.5	3.1	3.1
Finland	55.8	48.9	52.4	22.4	21.9	22.1	21.8	29.2	25.2
France	47.8	43.9	44.1	8.7	10.4	10.4	43.5	45.7	45.2
Greece[1]	63.4	69.3	68.8	1.3	1.2	1.2	35.3	29.5	30.0
Hungary	. .	63.8	62.5	. .	2.5	4.5	. .	33.6	33.0
Iceland	81.4	79.6	77.1	18.6	20.4	22.9	. .	. .	. .
Ireland	84.1	84.8	86.0	2.3	2.4	2.0	13.6	12.8	11.1
Italy	63.0	63.1	58.6	2.3	5.4	11.7	34.7	31.5	29.4
Japan	43.7	39.5	36.2	26.0	24.2	25.4	30.3	36.2	38.4
Korea	. .	73.2	71.4	. .	19.8	17.6	. .	7.0	11.1
Luxembourg	67.7	67.2	68.4	6.5	6.4	6.2	25.8	26.4	25.1
Netherlands	53.3	55.4	55.8	2.4	2.7	3.0	44.3	41.9	39.9
New Zealand	93.5	94.7	94.2	6.5	5.3	5.8	0.0	0.0	0.0
Norway	59.7	58.1	59.4	17.7	19.6	18.3	22.7	22.3	22.2
Poland	. .	62.1	58.8	. .	7.5	9.0	. .	30.4	32.3
Spain	47.8	50.9	47.8	11.2	13.3	16.9	41.0	35.8	34.9
Sweden	54.1	44.4	58.2	30.4	32.6	30.4	15.6	22.9	11.0
Turkey	75.5	75.1	69.1	10.2	12.8	16.6	14.3	12.1	14.3
United Kingdom	72.0	78.6	78.0	10.3	3.9	3.8	17.8	17.5	17.6
Unweighted average	64.8	63.4	62.9	12.3	12.5	13.2	24.3	25.3	24.7

1. 1997.
Source: OECD (1999*b*).

citizens and the State. This raises questions about potential imbalances between spending and revenue-raising responsibilities at the sub-national government and whether bolder moves towards tax decentralisation would be desirable to ensure local authority accountability *vis-à-vis* its voters. At present, there are three levels of sub-national governments with spending responsibilities that overlap across levels of governments (including the central government). The risk is that weak co-ordination and overlapping competencies create excessive expenditure that are unchecked by limited incentives to raise revenues at the local level.

Economic and administrative issues

Based on the above analysis, the tax/GDP ratio in Portugal seems to be in line with other OECD countries. Moreover, the fact that the tax mix is clearly biased towards indirect taxes (with consumption taxes accounting for

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10 percentage points more in the total tax take than in other European countries)[63] can be regarded as a positive feature from an economic perspective, given the greater neutrality of consumption taxes *vis-à-vis* savings, investment and labour-market decisions. Most positively, the tax and benefit system does not seem to be a big impediment to labour market participation. However, the system has important flaws which have significant economic implications:

i) The complexity and inequity of the income tax system biases activity towards self-employment and small businesses;

ii) The corporate tax system contains features which might adversely affect the allocation of labour and capital inputs;

iii) The ineffectiveness and inequity of the taxation of immovable property throws up similar allocation problems.

These issues are discussed in detail below. There then follows a discussion of the extent to which these problems can be dealt with by further strengthening the tax administration, notwithstanding the measures introduced over the past years.

Need for increased tax neutrality

While statutory rates on most bases are at the same level in Portugal as in the majority of OECD countries, average tax rates are generally low when measured in effective terms, because of relatively narrow tax bases. In general, low average effective tax rates should help limit the overall tax-induced distortions to factor allocations, savings and investment. However, to the extent that they are the result of evasion and avoidance – a point emphasised earlier – this does not follow. Moreover, wide differences in the tax treatment of various sources of income can significantly distort economic choices and erode allocative efficiency.

Bias in favour of self-employed and small businesses

Estimates for 2000 show that the average statutory tax rate (including employee and self-employed social security contributions) depends heavily upon the source and level of income (Figure 27, Panel A). Wages and income of the self-employed are taxed at the highest rate, while interest payments bear the lowest rate.[64] When employers' social security and corporate income taxes are included (Panel B),[65] interest payments are still taxed at the lowest rate, while the next least taxed are the earnings of the self-employed. In this case, the average statutory tax rate on self-employment income is substantially lower than that on wages for all levels of income. The difference stems principally from the fact that the self-employed pay low social security contributions,[66] this being reflected in a low proportion of self-employed contributions in the total (6.5 per cent) (Figure 28).

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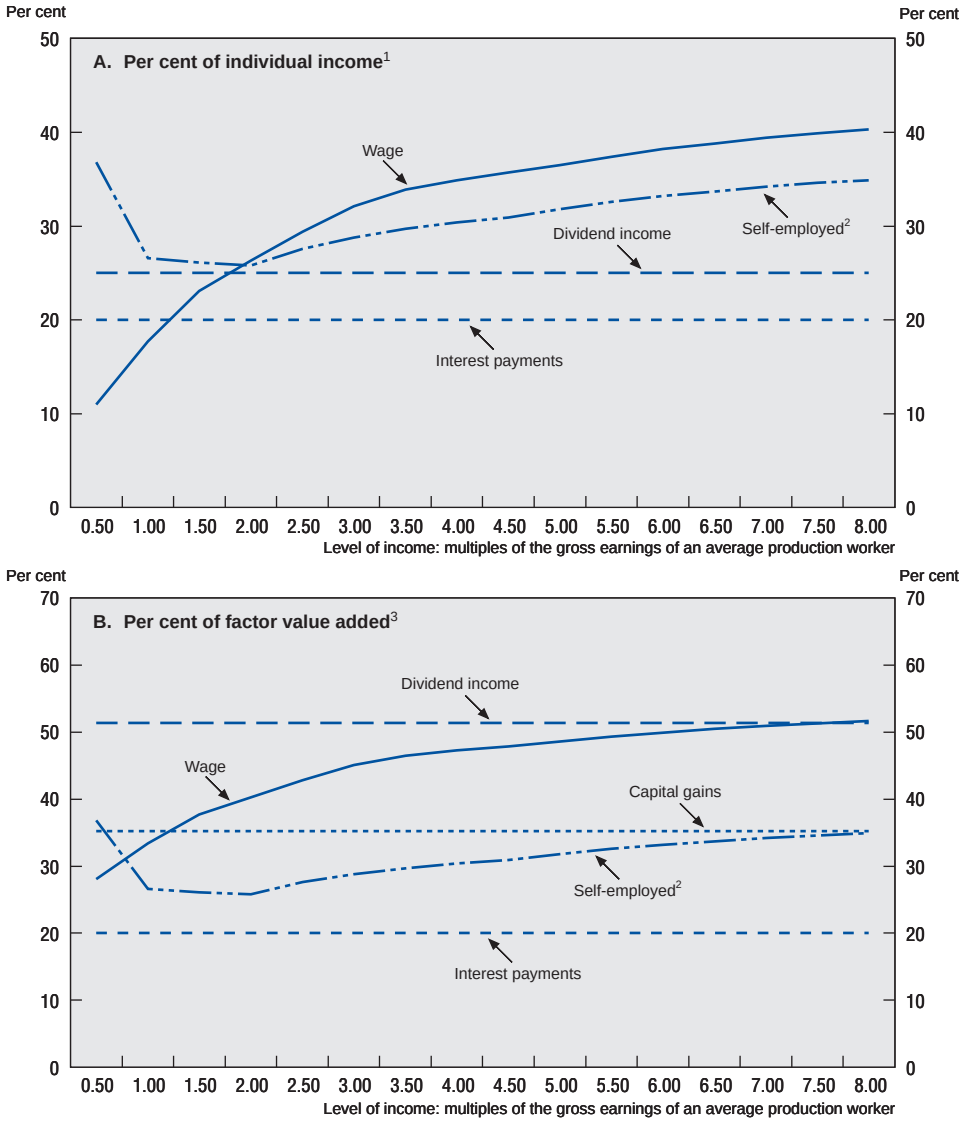
Figure 27. **Average statutory tax rates by level and type of income**
2000



1. Includes personal income taxes paid by the employees and the self-employed.
2. It is assumed that self-employed pay 32 per cent rate on a monthly base equivalent to the minimum national monthly remuneration (63 000 escudos in 2000).
3. Includes personal income taxes and social security contributions paid by the employees, the employers and the self-employed.

Source: OECD.

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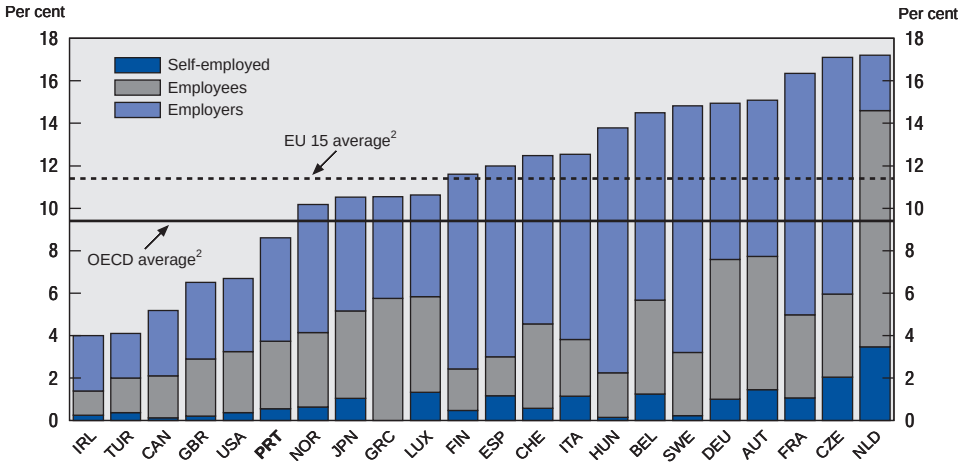
Figure 28. **Social security contributions**
Per cent of GDP, 1998[1]



1. 1997 for Greece and the Netherlands.
2. Unweighted average.
Source: OECD (1999*b*).

The bias in favour of the self-employed may in part explain why their share in total employment has remained one of the highest in the OECD area. This factor is compounded by ease of evasion and a relatively tight employment-protection legislation.[67] It is also commonplace for senior employees of Portuguese firms to set themselves up as independent consultants or independent workers. Companies can afford to pay them more at no additional cost, while they continue to work for the same employer. More generally, the tax system favours activities undertaken by the self-employed because, as in other OECD countries, they are more difficult to tax and can thus under-report business activity with a low probability of sanction (Box 8). Besides the revenue forgone, this creates a sense of unfairness among taxpayers that may lower the degree of social and political acceptance of the tax system and encourages non-compliance.

The taxation of capital is uneven

Different forms of capital income are taxed at significantly different rates (Figure 27). With the exception of rents from land and buildings, income from capital accruing to individual savers is taxed under a separate flat-rate regime at rates ranging between 0 and 25 per cent, depending on the manner in which the

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Box 8. The taxation of the self-employed

The self-employed are not required to keep separate bank accounts (one private and one for the professional activity). They can evade taxes through the deduction of some of their private consumption as business expenses, as well as benefit from most of the tax allowance granted to incorporated companies.* Moreover, subject to certain turnover limits (20 times the national minimum wage), book-keeping is not compulsory for the self-employed.

Although the Ministry of Finance has no estimate of the degree of compliance among the self-employed, the level of under-declared income is likely to be high. In 1998, dependent workers and pensioners, who account for three-quarters of taxpayers, contributed 90 per cent of personal income tax revenues. The average yearly revenue of independent workers and small business activities ranged between 400 000 escudos in agriculture to 800 000 escudos in professional services, while the corresponding average revenue for dependent workers was around 2.2 million escudos. Almost all independent workers (99.6 per cent) were able to keep simplified accounting books for their transactions and operations and 18 per cent of the total presented negative returns.

* For example, as for the business sector, depreciation allowances are available for tangible and intangible assets and losses for tax purposes can be carried over for six years (see Annex II). It is also common among the self-employed to try to deduct private costs as professional costs, and in any case the self-employed remain, as in other OECD countries, the most difficult tax group to audit.

income is invested and distributed to the final investor. Such disparities tend to affect both the allocation of capital and firms' financing decisions.[68] The difference between the effective tax rate on distributed earnings from equity holdings and interest payments is a case in point. It arises from two principal sources: *i*) the personal income tax rate levied on different forms of income from capital, and *ii*) the extent to which these earnings are subject to corporate income taxation (directly or indirectly through deductions allowed for some kinds of distribution). Depending on the manner in which earnings are distributed, they are taxed at any rate between 20 and 59.6 per cent (Table 24). Interest payments from both bank deposits and bonds are taxed at a flat rate of 20 per cent, being fully deductible from the base of the corporate income tax. The overall tax paid on equity holdings that are distributed through dividends is exceptionally high and depends upon the route that the dividend takes before arriving in the hands of the individual shareholder or an investment fund. The rate is 51.4 per cent in the case of dividends paid directly to a shareholder. The distribution is subject to a second round

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Table 24. **Taxation of capital income by type of distribution**
Rates applicable in 2000

	Dividends[1]				Financial capital gains[7]	Interest payments	
	Direct	Qualifying participation[2]	Non-qualifying participation[2]	Mutual funds[2]		Bank deposits	Government and corporate bonds
Corporate income tax[3]	35.2	35.2	35.2	35.2	35.2	0	0
Initial distribution[4]	25	2	17	25	0	20	20
Subsequent distribution[5]	n.a.	25	25	0	n.a.	n.a.	n.a.
Overall tax rates[6]	51.4	52.3	59.6	51.4	35.2	20	20

n.a. Not applicable.
1. Dividends are distributed from a non-listed company. Calculations assume that the shareholder opts for the flat rate on dividends.
2. It is assumed that dividends flow through a different company or mutual and pension fund before reaching the final shareholder, while capital gains are from the sale of a stock held for more than twelve months.
3. As a per cent of pre-tax profit (excluding interest payments and the inheritance and gift tax).
4. As a per cent of profit net of corporate income tax.
5. As a per cent of distributed profits to the final shareholder.
6. As a per cent of pre-tax profit under the assumption that all profit is distributed.
7. Financial gains are from the sale of shares held for more than twelve months.

Source: OECD.

of taxation when dividend payments pass through a second firm and the overall rate rises especially in the case of a non-qualifying participation. This difference in rates may create an incentive to concentrate risk in the hands of few shareholders and may hinder the widening of share ownership and the reallocation of funds from mature, slow-growing companies to more innovative firms.[69] Financial capital gains, which are taxed at 10 per cent (or exempt if shares are held for more than twelve months) at the level of the individual, are among the next most favoured forms of passing on profits.

Bias in favour of debt finance

Compared with other OECD countries, the tax system shows a relatively strong degree of discrimination across sources of finance (Table 25).[70] The overall standard deviation, which is a rough measure of non-neutrality, across corporate financing, is high in Portugal.[71] As with most OECD tax systems, Portugal favours debt finance, since corporate interest payments – as opposed to distributed profits – are deductible from the corporate tax base and this heavily penalises new equity finance.[72] With respect to investment, machinery and equipment are taxed at relatively low marginal rates, which is mainly due to a shorter depreciation period. Inventories are more heavily taxed (as indeed they are in most countries) because they do not benefit from any depreciation allowance.[73]

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Table 25. **Marginal effective tax wedges in manufacturing – selected OECD countries**[1]

1999, percentages

	Sources of financing[2]				Type of assets[3]				Overall	
	Retained earnings	New equity	Debt	Standard deviation	Machinery	Building	Inventories	Standard deviation	Average[4]	Standard deviation
Portugal	**1.13**	**2.50**	**–0.25**	**1.12**	**0.48**	**0.94**	**1.26**	**0.32**	**0.78**	**0.83**
Canada	4.48	5.63	1.98	1.52	2.74	4.21	5.33	1.06	3.72	1.31
France	3.58	7.72	0.67	2.89	2.25	3.45	4.02	0.74	2.98	2.14
Germany	0.89	2.53	1.28	0.70	1.05	1.50	1.11	0.20	1.19	0.54
Greece	0.92	0.92	–0.58	0.71	0.15	0.34	1.03	0.38	0.40	0.57
Ireland	1.52	4.12	0.69	1.46	1.15	1.45	2.32	0.49	1.49	1.12
Italy	1.27	1.27	0.39	0.41	0.72	1.18	1.23	0.23	0.96	0.34
Japan	3.30	5.50	–0.09	2.30	1.41	3.74	2.64	0.95	2.33	1.77
Spain	3.20	2.23	1.65	0.64	2.36	2.72	2.81	0.20	2.56	0.49
United Kingdom	2.88	2.40	1.55	0.55	1.99	2.31	3.30	0.56	2.37	0.57
United States	1.66	4.79	1.42	1.54	1.48	2.50	2.04	0.42	1.89	1.17
OECD average, unweighted	1.81	2.81	1.01	0.74	1.25	1.78	2.33	0.44	1.63	0.61

1. These indicators show the degree to which the personal and corporate tax systems scale up (or down) the real pre-tax rate of return that must be earned on an investment, given that the household can earn a 4 per cent real rate of return on a demand deposit. Wealth taxes are excluded. See OECD (1991) for a discussion of the methodology. Calculations are based on an inflation rate of 2 per cent.
2. The weighted average uses the following weights: machinery 50 per cent, buildings 28 per cent, inventories 22 per cent.
3. The weighted average uses the following weights: retained earnings 55 per cent, new equity 10 per cent, debt 35 per cent.
4. The weighted average uses weights indicated above (footnotes 2 and 3).

Source: OECD.

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Investment in owner-occupied housing also receives a preferential tax treatment. As in most OECD economies, the imputed rent on an owner-occupied dwelling is tax exempt. In addition, although subject to relatively low ceilings, 30 per cent of mortgage interest or related expenses is creditable against the personal income tax liability, while money invested in housing saving accounts gives the right to a 25 per cent tax credit. Finally, net gains from the sale of property are tax exempt if re-invested with the same purpose. These incentives, along with the absence of an effective and developed house-renting market (largely due to an old inheritance of restrictive house rent legislation), are reflected in a very high share of owner-occupied housing in the residential housing stock.[74] Such tax breaks may pose some problems. First, they have questionable distributional consequences since they benefit medium and higher income groups. Second, given the low responsiveness of housing supply to demand – partly reflecting the scarcity of residential land near urban areas – tax incentives have probably largely been capitalised into higher land and housing prices, diverting capital from more productive physical investments and raising incentives to property tax evasion. Finally, tax advantages for owner-occupied housing are likely to lower the mobility of workers.

Tax administration is slowly moving in the right direction

While the wide disparity in average effective taxation across sources of income and economic sectors is partly due to the statutory design of the system, it also reflects poor tax administration and compliance enforcement. A number of measures have been implemented in the past few years to enhance tax administration (Box 9). A new supervisory body, the General Tax Administration was created in 1999 and the structure of the overall tax administration was completely reorganised with the aim of improving its effectiveness. Finally, recently approved changes include partial easing of bank secrecy for tax purposes (see below). Although these modifications are already achieving results, some measures have not been fully implemented as yet and several deficiencies are still in place.[75] The tax law is subject to frequent revisions and amendments that have not simplified the system; tax court trials are slow (36 to 69 months), while tax evasion can only be pursued subject to invalidation by prescription that takes place after a lapse of four years.[76] There is still no cross-checking between income taxes and social security registers, and no updated national land registry. Moreover, auditing resources are mainly concentrated on large companies. Finally, there are not enough tax inspectors with the expertise to tackle difficult international cases (such as those related to transfer-pricing and thin-capitalisation practices), so it is not unlikely that a large share of corporate profits remains untaxed. These features increase opportunities for tax-expenditure abuses, while discouraging tax compliance and making tax collection inefficient.[77]

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Box 9. Recent changes in tax administration

Changes made to improve tax administration include: the *Mateus Plan* to recover tax arrears; the unification into one register of separate direct taxes (excluding social security contributions) and VAT (which has facilitated the introduction of a tax identification number and its association to the taxpayer's address); and the introduction of an automated taxpayer database system (RITTA) in 1996. Measures specifically aimed at enhancing taxpayer services, such as the Virtual Tax Office, which permits access to a wide number of services on line, have also been put into place.

In September 1999 a new tax administration body, the General Tax Administration (AGT), was created (nominations took place in July 2000). The main purpose of this body is to co-ordinate auditing, training and the strategic planning of the three general tax directorates (Directorate General for Taxation (DGCI); Directorate General for Customs and Excise Taxes (DGAIEC) and Directorate General for Information Assistance to Taxation and Customs Services (DGITA)). At the same time, the internal organisations of DGCI and DGAIEC were radically changed from a tax-specific structure (personal income taxes, corporate taxes, consumption taxes) to a functional structure (assessment, collection, auditing, taxpayer services and tax justice). This follows the approach adopted in several other OECD countries.

The Tax Training Institute has been reformed and training is now provided for tax inspectors in new areas of taxation and customs policy and in the planning of information systems. About 2000 highly-qualified tax employees have been hired, of which 250 are tax inspectors. This is part of the objective of renewing the tax administration staff, in terms of age and qualifications, in order to meet personnel needs in areas such as tax auditing and fiscal justice.

Assessment and agenda for reform

Reform of the tax system has become a policy priority of the Portuguese government. In November 2000, it put forward a tax reform proposal which was approved in December. The tax reform is implemented in two phases. In the first phase, changes in the personal income tax (IRS) the corporate Income Tax (IRC) and tax Incentives statute (EBF) have been approved in the budget for 2001 and in the 2000 Tax Reform Act. The aims are to reduce the tax burden on dependent workers and low-to-medium income families and complying companies and to promote a more competitive tax environment to support rapid and sustainable growth. The second phase of the reform is expected to be completed by the end of June 2001 and will cover two main aspects, the taxation of immovable property and energy and vehicle taxation. The actions taken so far should be seen as only first steps. Further options for reform are discussed in the second part of this section.

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Recent reform initiatives

Details of the 2000 Tax Reform Act and 2001 Budget tax measures are given in Box 10. In summary, the Act aims to simplify the personal income tax system, limiting excessive cost deductions and introducing a single income category for incomes derived from business activities and independent workers and subject to the same assessment regime. A minimum taxable income will be introduced for independent workers and small individual businesses; and tax auditing will be supported by the expedient of assessing personal taxable income against an income presumption deduced from wealth indications. As of 1 January 2002, financial capital gains and dividends will be taxed as ordinary income under the progressive income tax schedule. As for the corporation tax, the tax rate will be reduced to 30 per cent in 2002, the objective being to bring the rate down to 25 per cent in 2005. A simplified tax regime for the determination of taxable profits, similar to that applying to individuals, will be available for small businesses. In general, access to any information protected by professional secrecy or bank secrecy will still require legal authorisation. This protection is, however, considerably diluted where it is not possible to substantiate and have a direct appraisal of taxable income, where declared income is incongruent with income standards, where there is circumstantial evidence of malicious fraud (*dolus*), or where there is a need to give proof of application of public grants or aids. For instance, there will be no need for authorisation if the taxpayer refuses to present documented proof of his accounting records.

Further options for reform

Improving tax compliance and enforcement

Steps towards raising tax compliance have been taken in recent years and have been reflected in higher revenues. However, tax evasion is still deemed to be high and Portugal still faces important challenges in terms of applying tax laws even-handedly while raising compliance. The government needs to take further steps to enhance tax enforcement and redress the fairness and non-transparency of the tax system. Every year, taxpayers and tax administrators are faced with several revisions and amendments to the tax legislation. It can thus be difficult for businesses and citizens to identify the full requirements of the law. In order to reduce the extent of uncertainty and raise the predictability of the tax system's administration, clearer and definitive rules should be introduced guiding the tax administration, including tax cost and deduction rules. Moreover, court processes should be speeded-up. The recent government initiative to set deadlines for the resolution of claims could be a move in the right direction if it is complemented by a more efficient performance of tax administration services. To

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Box 10. Tax policy measures for 2001

The 2001 Budget Law

The 2001 budget marks the first stage of the reform and includes the following provisions:

- An increase in family tax benefits (*e.g.* the tax credit for each dependent child will go up by 33 per cent and a similar rise will take place for education tax credits) with the main purpose of improving family protection and fostering savings and housing.
- Changes in the income schedule with a reduction of the tax rate mainly for the lowest brackets (Annex II).

The December 2000 Tax Reform Act

Personal income tax (IRS)

The main features of the personal income tax reform are as follows:

- In order to simplify the system and limit excessive cost deductions, incomes derived from business activities and independent personal services will be assessed under a single income category and subject to the same assessment regime. Agricultural income is excluded from taxation when yearly gross amount is below the national minimum wage.
- Independent workers and business activities with yearly incomes below 30 million escudos or services supplied for a value inferior to 20 million escudos will be subject to a simplified IRS tax regime – a minimum taxable income – based on coefficients fixed by law. A floor equivalent to 50 per cent of the yearly national minimum wage applies. Those who so desire can opt for keeping accounting books and related tax obligations subject to general rules.
- Tax auditing will be facilitated by the possibility of assessing taxable income against an income presumption deduced from wealth indications: indirect evaluation in case of non-submission of the tax return or where the declared income and lifestyle appear incompatible (*i.e.* declared income is less than 50 per cent of purchased assets such as property, cars, boats, planes). In these cases the taxpayer is allowed to produce substantiated evidence.
- Financial capital gains (as 1st January 2001) and dividends (as 1st January 2002) will be taxed as ordinary income under the progressive income tax schedule. As far as capital gains are concerned, only 75 per cent of the net gain is subject to taxation if the stock is held for less than 12 months; 60 per cent between 12 and 24 months; 40 per cent between two and five years and 30 per cent over five years. More restrictive conditions will apply to net gains distributed to non-residents for exemption purposes.

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Box 10. **Tax policy measures for 2001** (*cont.*)

***Corporate income tax* (IRC)**

The principal elements of the corporation tax reform are as follows:

- The corporate income tax rate will be reduced to 30 per cent in 2002. Depending on the tax base, a progressive reduction will follow to reach 25 per cent in 2005.
- A simplified tax regime for the determination of taxable profits under IRC similar to the one that applies to individuals will be in force for small businesses with yearly profits not exceeding 30 million escudos.
- Introduction of a number of rules and methods for determining prices for tax purposes in inter-company transactions (transfer pricing), including transactions with non-resident entities subject to "privileged tax regimes".
- Change from a consolidated tax regime to a less permissive tax integrated regime as far as the method of tax assessment for company groups is concerned: taxable profits will be the sum of net profits (or losses) realised by each company within the same group.
- Creation of an Investment Tax Credit (those previously in force having ceased) together with a legislative authorisation in order to encourage investments in R&D.
- Holding companies (SGPS): abolition of the *de facto* exemption of re-invested financial capital gains – they are now taxed in a deferred way according to equal amounts distributed by a 10 year period (for capital gains realised before 2001), and a five-years period after that.

Free Zone of Madeira (and the Azores)

- Greater precision and accuracy as far as it concerns the definition of non-residents as well as operations carried out by entities operating in Madeira Free Zone with non-residents. Certification of eligibility as non-resident is required.
- Gradual introduction of taxation financial activities via a moderate tax rate.

Bank secrecy

- Access to any information protected by professional secrecy or bank secrecy will still require tax court authorisation. The novelty is that there will be no need for authorisation and no suspensive measure will take place in case of the taxpayer's disagreement if the taxpayer benefits from tax incentives or he/she refuses to present documents supporting accounting records. However, the taxpayer will be entitled to judicial appeal with suspensive effect when the tax administration requires to lift bank secrecy as a consequence of the following facts:
  - it is not possible to substantiate and have a direct appraisal of taxable income;

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Box 10. **Tax policy measures for 2001** (*cont.*)

- income subject to IRS is incongruent with income standards;
- there is circumstantial evidence of malicious fraud (*dolus*), namely fake invoices;
- there is a need to give proof of application of public grants or aids.

Announced measures to be completed in 2001

Taxation of immovable property

– Elimination of the municipal tax on transfer of properties (SISA) planned to enter into force on 1st January 2002.

– Elimination of the gift and inheritance tax, *Ibiden*.

– Re-examination of the local tax on real estate (CA), revised measures will be implemented in 2002.

Energy and vehicle taxation

– Assessment of measures concerning the energy sector in view of harmonisation with the EU directives.

– Replacement of the present tax on motor vehicles (IA) (effectively levied on the buyers of new vehicles) with two new taxes: a "registration tax" (levied at purchase – similar to old IA but with lower rates) and an annual "circulation tax" (levied on old and new vehicles).

remove the perception of taxpayers, and in particular of the large group of the self-employed and small businesses, that the probability of being investigated for infringements of the tax law is low, tax evasion should be prosecuted effectively.

As noted, the government's approach to the non-compliance issue is based on the introduction of a simplified tax assessment system. However, the tax administration should not rely wholly on the newly-approved pre-determined formulae and criteria to determine a taxpayer's tax liability. More frequent and comprehensive tax auditing is also needed. The necessary steps towards greater fairness and efficiency would include: *i*) the updating of a land and property register to improve cross-checking; *ii*) giving priority to the tax auditing of all businesses, putting in place cross-checking of the personal income tax and the social security register (this is technically feasible thanks to the new data base system RITTA but not implemented as yet); *iii*) imposing separate bank accounts for individual companies (one for private and one for business purposes);

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iv) making effective use of the new possibility to access bank information for tax purposes and taking further steps in this direction. The reform in progress can thus be regarded only as an interim step towards a comprehensive administrative overhaul.

Broadening the income tax base

Further re-evaluating and reducing allowances and credits, as well as improving the taxation of the self-employed and capital income, should be a government priority. This would broaden the personal income tax base and eliminate some market distortions. The wide family tax credits along with the recently approved lowering of tax rates for the lowest brackets, should be sufficient to keep a substantial proportion of low income earners out of the income tax net, as at present, but in a more simple and efficient manner. Allowances and credits are generally aimed at legitimate social and political purposes, such as stimulating family formation, encouraging long-term savings and human capital investment. However, low-income groups do not have sufficient tax liability that can be set off against these (unrefundable) tax breaks. It is therefore unclear whether these objectives are achieved in the most efficient way, if achieved at all, and the benefits should be tested against the social cost of high tax rates. In ma ny cases, they add to the complexity of the tax system. Moreover tax expenditures have inherent disadvantages over direct expenditures as instruments of policy. Their cost in terms of revenue forgone is more difficult to estimate because the value of the subsidy to taxpayers is indeterminate, so that budgetary oversight tends to be lacking. In general, they do not enable the same degree of agency discretion as direct programs do, largely because they are provided automatically and are not means-tested.

The difficulty of taxing the self-employed and small businesses on an equal basis with dependent workers is common to OECD countries. The seriousness of the problem depends on the share of the self-employed and small businesses in the total labour force, the tax rules applied to them and the enforcement of their income reporting. Portugal's tax base is particularly exposed to this problems: the number of self-employed and small (micro) businesses is large; they receive several tax incentives that include a lower statutory tax rate of 25 per cent; and enforcement has been lax. The government approach to this problem includes the possibility of bolstering the tax auditing process by evaluating taxable income against certain wealth indicators, with the burden of proof on the taxpayer. The introduction of the simplified regime is meant to serve the same objective. An alternative approach could be the promotion of self-employment assessment and reliable book-keeping through tax credits. The *versamento unificato* system in Italy (see Box 6) and the "blue return" system in Japan[78] have had some success in encouraging the self-employed and small businesses to keep regular

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books. The possibility of setting all tax credits against tax liability in the same year may encourage self-employed and small businesses to report close-to-truth taxable income and VAT liabilities. To facilitate tax auditing, this system could be complemented by what in Italy is known as *Studio di Settore*; its success rests in the agreement between the tax administration and professional associations to co-operate through exchanges of information (OECD, 2000*c*). Finally, the turnover thresholds for VAT exemption could be lowered to bring in more small businesses into the tax base.

Social security charges on the self-employed should be levied as a proportion of their net earnings (or at least their labour component). At present the employer's and employee's combined social security contribution rate for a skilled worker is around 34 per cent and the total (wage and non-wage) cost of employing an average production worker is 1.2 times his gross salary. The self-employed normally contribute the equivalent of 16 per cent of the gross salary of an average production worker. In addition to reducing the bias in favour of self-employment, the broadening of the tax base would permit a lowering in social security taxes, removing some of the incentive to work in the underground economy and the possibility of unemployment traps.

Achieving greater neutrality in investment and savings

Reducing and strictly regulating the tax incentives given to the business sector would broaden the corporate tax base and help to achieve greater neutrality. Moreover, incentives complicate tax administration and tax laws, increase compliance costs and pave the way for unintended loopholes, abuse and evasion. Above all, tax incentives are difficult to target and their budgetary cost is difficult to quantify unless tax expenditure ceilings are imposed. Tax incentives in Portugal should be limited to a strict minimum and only provided in areas, such as generic R&D and training, where there is evidence that market failures may lead to under-investment.[79]

The presence of a separate incentive regime for the free-trade zone of the regions of Madeira and the Azores (shipping companies and offshore companies) should also be reconsidered to take account of both domestic and international concerns. They represent a further distorting feature of the Portuguese corporate tax system and should be phased-out to minimise incentives for tax-planning by companies or investors that are in a position to choose between these regimes. The potential base–broadening that would arise from reforming the system of corporate tax incentives would enhance the efforts made by the government to reduce the corporate tax rate.[80] A lowering of the corporate income tax rate would make the system more neutral by reducing the existing rate differentiation in favour of both small companies and the autonomous regions; it would also reduce tax avoidance incentives.

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One important issue for tax reform in Portugal is how to achieve a more neutral taxation of capital income. A solution that would preserve the advantages of the current system's reliance on easy-to-administer withholding taxes might be envisaged. One possibility, which has been applied in some OECD countries (for instance, in Norway and Finland), would be to equalise the overall tax rate on capital income. This could be achieved by exempting dividends from personal taxation and setting the withholding tax on interest income equal to the corporate income tax rate. In this way, all three forms of income from capital (*i.e.* dividends, interest and capital gains) would be taxed at the same rate.[81] Dividends and interest distributed from pension funds and collective investment institutions should also be subject to the same overall tax rate. An alternative solution would subject all income (both capital and labour earnings) to the same progressive income tax schedule, improving vertical and horizontal equity, by offering tax credits to individuals equal to the amount of taxes withheld at the firm level. While perhaps technically superior, this would be much more difficult to administer.[82] In its tax reform, the Portuguese government has made some moves towards the second approach by subjecting dividends and a share of net capital gains from the sale of securities to the progressive income tax schedule, but they have worsened the bias in favour of debt finance, since interest payments remain taxed under the flat rate regime.

The generosity of tax-breaks for owner-occupied dwellings should also be reconsidered. Given the practical difficulty of taxing imputed rents for owner-occupied dwellings, the general trend is to phase out the mortgage interest relief. The United Kingdom has already phased it out in full, progress is more modest in Denmark, France, the Netherlands, and Spain. A phasing-out of tax incentives to owner-occupied housing would help remove underlying distortions in the allocation of savings. Priority could be given to progressively removing the possibility of crediting mortgage interest against personal income tax liabilities. This may induce a more even distribution of its burden, as these tax privileges benefit the medium-high income taxpayers. Finally, this could provide an impetus to the development of the rental housing market and take away some of the pressure on house prices especially in urban areas.

Property taxes should be reconsidered. At present the government is considering replacing the inefficient and costly tax on transactions (SISA) with VAT (allowing for deduction of input VAT) and at the same time to simplify the CA system. In this light, the rapid updating of the National Land Registry with an accurate record of all real estate in the country and market valuation of land and buildings would be desirable. The CA could then be levied on close-to-real value assets and its base be broadened. At the same time, the revenue-raising power of local governments would rise and the link with their spending powers and local accountability improve. The introduction of a VAT system for new residential buildings could represent an improvement towards horizontal equity and neutrality of the taxation of property.

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However, its implementation is not easy, and an optional registration must be provided to avoid potential discrimination and cumulation of tax.[83]

Relying more on environmental taxes to strengthen local government finances

Taxing powers of local governments could also be improved by relying more on the "user/polluter pays" principle (*e.g.* for example for wastewater). The tax base should be fixed at the national level but the rates applied for localised polluting activities (that have no spillovers to other regions) should be set locally so as to reflect local tastes and the carrying capacity of local environment. Better pricing should go hand in hand with the simplification of administrative procedures (*e.g.* to grant wastewater discharge permits) and preferential tax treatment granted to heavy polluters, in particular agriculture and energy-intensive manufacturing industries, should be removed. Charges on industrial electricity could be introduced and differentiated by carbon content and the taxation of diesel could be brought in line with gasoline. Lasting and effective implementation of energy policies may encourage the development and use of energy-efficient technology. Also water charges should be based, where possible, on pollutant load and toxicity to provide incentives for industry and agriculture to adopt production processes that minimise effluents.

Summing up

The Portuguese tax system contains some commendable features that contribute to limiting non-neutralities and distortions to incentives. The overall tax burden is not high by international comparison and the tax mix relies on the more neutral consumption taxes. Moreover, statutory average tax wedges on labour income are relatively modest for most wage levels and family types and steps towards further simplification of tax administration have been taken. However, further reforms should be envisaged to make the system more neutral, efficient, and equitable. As Portugal cannot afford to reduce taxes without reconsidering expenditure, and needs to avoid further increases in tax pressure, the main options for a revenue-neutral tax reform should include actions on a wide front. Transparency and reliability of the tax system should be further improved, while giving priority to a lower frequency of tax changes. The taxation of dependent workers should be made more equitable and less onerous *vis-à-vis* the self-employed and small businesses. Promoting a higher degree of tax compliance should also be a priority. Some of the tax burden could be shifted to other types of income, such as immovable property (property taxes are usually residence based and less difficult to evade) and income from savings. The base of the corporate income tax should be broadened and its rate lowered. This can be achieved by more tax neutrality across saving instruments and corporate tax regimes, and enhancing the effectiveness of tax incentives to investment. Box 11 summarises the main tax policy recommendations.

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Box 11. Synopsis of options for reforming the tax system

Enhancing tax administration and tax compliance

- *Refrain from making numerous revisions to the tax legislation*. This would make the tax system simpler to deal with and more certain.
- *The tax system should be made clearer and definitive*. This would help businesses and individuals to identify the full requirements of the law and reduce enforcement and compliance costs.
- *Require separate bank accounts for individual businesses*. This should eliminate the current practice to boost the deduction of business expenses with private deductions and facilitate tax auditing.
- *Court processes should be faster*. This should improve incentives to comply.
- *Make effective use of the new possibility to access bank information for tax purposes and take further steps in this direction*. This would involve cross-checking personal taxable income with withheld tax on interest income and other sources of information on taxpayers assets – including the land and real estate register, once in place.
- *Give priority to tax auditing*. This is a necessary step to make any tax system work with some success, and also to broaden the income tax base, while taking advantage of enhanced possibilities for cross-checking provided by the automated taxpayer database system (RITTA).

Broaden the tax base of direct taxes

- *Evaluate tax expenditures and streamline tax allowances and credits to broaden the tax base and reduce distortions*. Revenues from tax base broadening would permit a lowering of tax rates. This in turn could result into a more equitable system and would help to improve compliance.
- *Phase-in book-keeping for micro businesses and self-employed with the possibility of deducting* VAT *credits against other tax liabilities* and at the same time lower the turnover threshold for VAT exemption. This should facilitate tax auditing, broaden the VAT base for small businesses and reduce the widespread perception of an unfair tax system.
- *Eliminate the social security bias in favour of the self-employed*. The low contribution of the self-employed earners to the social security system introduces a serious bias in favour of this work form. Social security charges should be levied as a proportional share of the net earnings of the self-employed. This would also allow a reduction of social security contributions and reduce the incentive to work in the informal economy.
- *Limit the wide range of tax incentive for the business sector to a strict minimum*. They should be replaced by a more transparent tax scheme that targets only the areas where market failure is evident. The potential revenues that would arise could be used to lower the standard corporate income tax rate and therefore reduce the bias in favour of small businesses.

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Box 11. **Synopsis of options for reforming the tax system** (*cont.*)

Make the system more neutral towards saving and investment decisions

- *Harmonise the overall tax rates on capital income and bring interest income taxation in line with other capital income taxes.* This would enhance tax neutrality towards corporate financing. It would yield extra revenue that might help to reduce the corporate tax rate and also to tax labour income more lightly.
- *Phase out tax incentives to housing.* This would improve the allocation of savings and reduce the pressure on house prices.
- *Review the regimes for Madeira and the Azores.* Reforms of these regimes should be designed to reduce the opportunities for tax-planning at the national and international levels.

Strengthen local government finances

- *Increase sub-national government revenue-raising power* by allowing them more flexibility in setting property taxes and by relying more on environmentally related charges and user fees, rather than on transfers from central government. Greater tax decentralisation would give a better incentive to local authorities to grow their tax base and to be more responsive to the concerns of local voters.
- *Streamline property taxes.* The National Land Registry should be updated. This should provide an accurate record of all the real estates in the country and market valuation of land and buildings. The local tax (CA) on property could then be based on the real value of the assets. The inefficient tax on transactions SISA should be removed and could be replaced by a new VAT system on immovable property. Reforms must be carefully designed to avoid introducing new distortions in the property market, whilst the transition should be smooth so as to avoid disruptive effects on property prices.

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IV. Structural reform for sustaining high growth

Portugal's longer-term performance

The Portuguese economy has achieved an average annual growth rate of 3½ per cent over the past fifteen years, 1 percentage point above the average for the euro area (Figure 29). The catch-up in terms of real GDP per head was even more rapid (3.4 per cent compared with 1.8 per cent).[84] During the current upswing, which began in 1994, Portugal has maintained the same GDP growth differential with the area, while inflation has converged towards the euro area average (although the last two years have seen a setback in this regard) and unemployment has fallen to a low rate. Among the array of factors that have contributed to Portugal's good performance has been the broad range of structural reforms taken over the past ten to fifteen years. Progress in developing physical infrastructure and human capital has been impressive, helped by sizeable structural transfers from the EU (on a scale equivalent to more than 3 per cent of GDP per year since 1994). In addition to measures directly aimed at the labour market, the authorities have undertaken reforms on a wide front, including far-reaching privatisation and deregulation, as well as the liberalisation of network industries (telecommunications, in particular) and the financial sector, where synergies with the rest of the economy are large.

Although standards of living are much improved, Portugal has some way to go before catching up with the European average. Labour productivity, measured as the annual output per worker, is less than half the EU average, having increased at a moderate pace. A shift towards service activities is underway, heightening the need for better skills and competencies.[85] And Portugal's trade specialisation and industrial structure have been shifting away from traditional goods, such as clothing and footwear, where they were heavily concentrated in the early 1990s, towards other goods – which tend to require higher skills.[86] This restructuring necessitates a strong adaptability of the labour force and an upgrading of workers' qualifications based on large investments in human capital. Moreover, in order to continue to improve living standards, it will be necessary to make further advances on the supply side of the economy. Even where structural changes have delivered notable results, there is a need to deepen the reform

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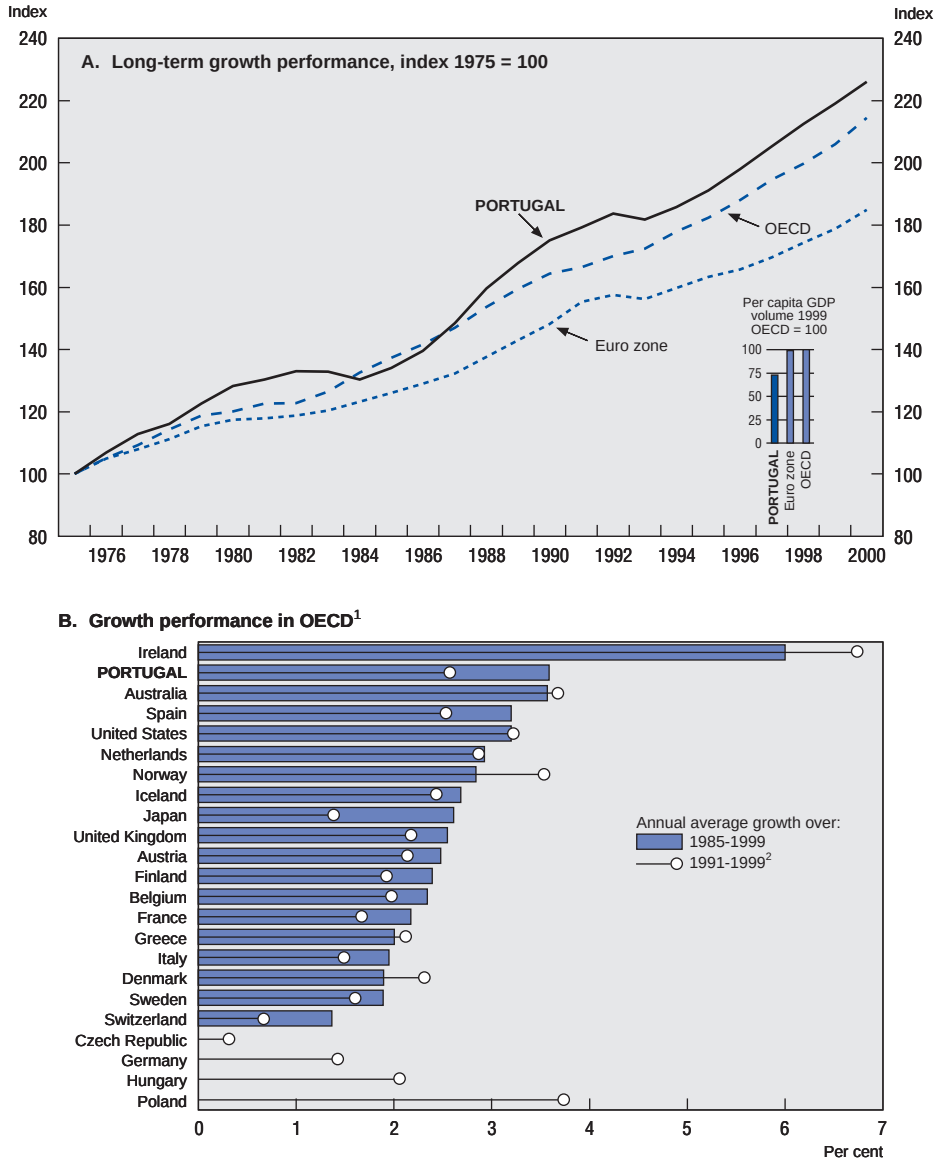
Figure 29. **Portugal's growth performance in comparison**
Measured by the real GDP



1. The series for the Czech Republic, Germany (due to unification), Hungary and Poland are incomplete before 1991. These countries are ranked according to alphabetical order.
2. For the Czech Republic, Germany and Hungary data refer to 1992-1999.

Source: OECD, *Main Economic Indicators*; OECD, *National Accounts*.

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process, while there is much unfinished business to address in a number of areas. The chapter focuses on four areas that have high policy priority: labour market performance, including human capital development; economic infrastructure and the climate for business growth; competition in product markets; and the efficiency of the financial sector. A summary of OECD recommendations and of recent progress made in structural reform is given in Table 26.

Human capital and labour-market policies

Labour market outcomes have improved with the sustained growth of the past seven years. Labour force participation rates have increased, together with the employment/population ratio, and both these ratios are now close to the OECD average, which is higher than that of the EU. Overall, unemployment has declined to below 4 per cent (3 points down from its last peak in the mid 1990s).[87] In recent years, youths and long-term unemployed, the categories most at risk, have also seen their situation improve. The rate of youth unemployment, which reached the relatively high level of over 16 per cent in 1996, had fallen to 8.7 per cent by 1999. Over the same period, the rate of youth unemployment in OECD Europe declined by 3 percentage points only, to around 16 per cent. The share of long-term unemployment has also declined significantly in Portugal: by 1999, it had fallen to 41 per cent of total unemployment, below the average for Europe, after being among the highest in the area three years earlier. These outcomes reflect to some extent the favourable impact of policy measures to facilitate employment (or re-employment), among which measures targeted at the young and long-term unemployed have been prominent.

In line with the strategy adopted by the EU countries, Portugal introduced in 1998 a National Action Plan for Employment. The Plan has followed four broad objectives: to improve employability; to foster a climate favourable to entrepreneurship; to enhance workers' and business adaptability; and to promote equal opportunities. These lines of action are in accordance with the recommendations made by the OECD, in the context of the *Jobs Strategy*, in past *Economic Surveys of Portugal*. The National Action Plan was defined for a period of five years, but in several areas there has been an anticipated implementation and the targets were met ahead of time. The Plan is reviewed every year. In 2000, the Portuguese government evaluated the results obtained with a view to identifying good practices and adjusting the guidelines. The updated version follows the same broad strategy as the original Plan; it identifies a number of specific areas for special attention: *i*) continuing to improve the education and training systems, with a specific focus on developing computer knowledge and skills; *ii*) stimulating entrepreneurship and job creation in the service sector; and *iii*) encouraging agreements between social partners with a view to modernise work organisation.

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Table 26. **Progress in structural reform: an overview**

Proposals[1]	Action taken	OECD Assessment and Recommendations
I. Improve labour-force skills and competencies		
• Ensure that all school leavers have a qualification	Special training programmes for the young. Development of 9 years of schooling + 1 (of schooling and training)	Continue with implementation
• Raise the quality of formal education, including vocational and technical programmes	Revision of school curriculum. Development of information technology in schooling and professional training	Continue to broaden access to higher education
II. Make active labour-market policies more efficient		
• Improve effectiveness of reinsertion programmes	Earlier intervention of Public Employment services; enhanced partnership with private agents at regional level	Continue with implementation
• Tailor programmes more closely to the needs of targeted groups	Vocational training for young unemployed; individual follow-up for all	Continue to evaluate and rationalise ALMP measures
III. Promote labour-market flexibility and labour mobility		
• Establish legal framework for workers with no formal contracts	Legislation to reduce disguised self-employment passed	Implement legislation
• Reduce obstacles to "atypical" work contracts	Easier access to temporary contracts and part-time work	Evaluate the efficiency of subsidies for the transformation of fixed-term into long-term contracts for target groups
• Ease employment protection legislation and apply it uniformly	Stricter application of labour norms with stronger sanctions	Ensure that employment protection legislation is not an obstacle to hiring
• Improve safety net while strengthening incentives to work	Reform of unemployment scheme, helping to "make work pay"	Continue to ensure consistency between income support and incentives to job search
IV. Improve the infrastructure and the climate for entrepreneurship		
• Improve infrastructure	Completion of large projects; new projects starting (with EU financing)	Consolidate improvements in implementation
• Stimulate research and development	Steps taken in high school, university and to promote technology diffusion in business sector, including SMEs	Continue with implementation and evaluation
• Cut back red tape and shorten procedures for business start-ups	Creation of a network of "one-stop shops"	Continue with implementation

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Table 26. **Progress in structural reform: an overview** (*cont.*)

Proposals[1]	Action taken	OECD Assessment and Recommendations
V. Increase product-market competition		
• Reform institutional arrangements	No action	Give the Competition Authority greater autonomy
• Remove entry barriers and introduce regulatory reform	Liberalisation of electricity and telecommunications. Introduction of regulatory framework for railway sector	Revise price structure for electricity generators. Create regulatory agency for oil and gas sector. Abolish price controls for unleaded petrol and diesel fuel. Split up the dominant provider of rail transport services
• Continue privatisation	Sale of some state-owned enterprises	Widen scope of privatisation programme
VI. Enhance the efficiency of the financial sector		
• Improve co-ordination among supervisory agencies	Creation of a National Council of Supervisors	Consolidate progress
• Facilitate the restructuring of the banking sector	No action taken	Consider privatisations; ease transferability rules of pensions
• Address concerns of a prudential nature	Creation of the legal framework for "securitisation" and increase in the risk weight of mortgage lending	Continue to monitor domestic credit and household indebtedness

1. Proposals are based on detailed analysis provided in previous *Economic Surveys*. Tax reform proposals are discussed in detail in Chapter III of the present *Survey*.
Source: OECD.

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Enhancing labour-force skills and competencies

Upgrading skills and competencies is one of the most important labour market challenges facing Portugal in its adaptation to a competitive environment. Together with Ireland and Spain, it has made sizeable progress in this direction, although the other two have gone further in completing the transition to an advanced, skill-based economy. The productive structure of Portugal continues to absorb less-skilled labour, so that unemployment among the population with low education attainments tends to be below the average unemployment rate. In terms of employment growth, job creation has been strong for all educational levels, except for workers with less than a complete first cycle of basic education. The scarcity of specialised labour has become acute not only in high-tech sectors, but also in more traditional sectors. This to a large extent reflects the current cyclical position of an economy which is close to full employment.[88] Both in the short- and longer term, the requirements are clear: sustaining non-inflationary growth will require continued high investment in human resources.

The share of resources that Portugal devotes to education increased significantly during the 1990s. As a proportion of GDP, total spending on education rose from 4.3 per cent at the start of the decade to reach almost 6 per cent in 1998, a ratio comparable to the OECD average (Figure 30). For those currently in the education system, the expected duration of learning is on a par with the situation in other OECD countries. The number of years of schooling that students can be expected to attend under current conditions has risen by more than three years since the start of the decade, for all levels of education, including lifelong education: Portugal has thus progressed from being among the lowest performing OECD countries in 1990 to a better-than-average position in 1999. Impressive advances have been made in modernising the schooling curriculum, in particular in boosting technical courses to give greater emphasis to information and communication technology. A network of Internet terminals in schools is being developed.[89] The extension of schooling facilities has been such that nine years of basic education and training can now be provided to all youngsters, while the range of courses offered has been widened, with the objective of reducing drop-out rates. Those who finish basic schooling with a view to entering the labour market have access to vocational training, through the enlargement of a recently-introduced project, the "nine plus one" years of schooling, where the additional year is for schooling or training and which also gives access to upper secondary education.

Nevertheless, the shortfall in the education level of the population at large is still considerable, as a result of an accumulated lack of schooling over past decades. Despite recent improvements in educational attainment, two-thirds of the population aged 25 to 64 have completed no more than the primary education cycle. In the OECD at large, the proportion is less than one quarter of this. Even among young people, aged 20 to 24, where progress has been particularly rapid, Portugal remains below the OECD average: in 1998, about half of the people in

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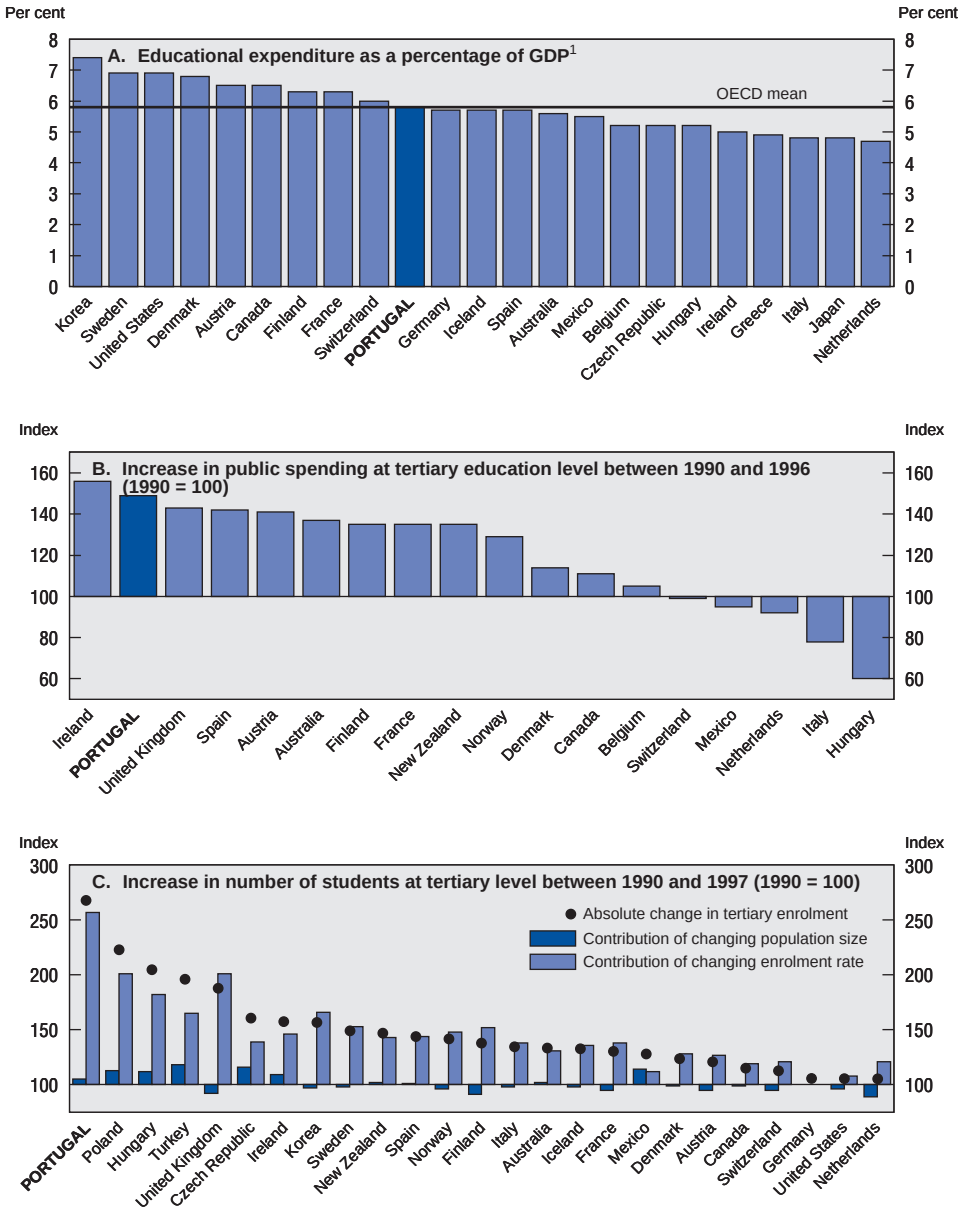
Figure 30. **Education indicators**



1. Total expenditure from both public and private sources.
Source: OECD, *Education at a Glance*, June 2000.

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that age-group were neither enrolled in upper secondary education nor had completed the cycle (compared with 20 per cent in the OECD, Table 27). Graduation rates after completing upper secondary schooling are still among the lowest in the OECD (56 per cent in Portugal, compared with rates close to 80 per cent for most other countries). Portugal is also situated at the low end, in terms of enrolment rates at the tertiary level, although for this segment the increase since 1990 has been among the largest in the area (Figure 30, Panel C). A further problem at upper levels of education (both secondary and tertiary) has been the traditional bias in favour of general education, rather than occupationally-specific streams.

To facilitate youth entry into the workforce, the apprenticeship system has been expanded, the number of annual places increasing at close to 30 per cent per year in the last three years. The share of students in a specialised secondary

Table 27. **Access to education**

	Percentage of young people who have "dropped out" of upper secondary education[1]	Ratio of upper secondary graduates to total population at typical age of graduation[2]		Orientation in upper secondary		
		Total	General programmes	General[3]	Occupational specific[4]	Other programmes[5]
Portugal	**51**	**56**	**44**	**73.6**	**18.4**	**8.1**
Austria	. .	96	17	44.1	47.3	8.6
Denmark	24	. .	. .	48.2	. .	51.8
Finland	9	89	54	. .	. .	. .
France	17	87	35	57.8	8.8	33.4
Germany	. .	93	34	35.4	64.6	. .
Greece	. .	83	56	67.4	. .	32.6
Ireland	. .	87	80	79.5	. .	20.5
Italy	32	. .	. .	80.5	1.2	18.3
Netherlands	21	93	37	72.2	. .	27.8
Spain	32	67	43	78.5	. .	21.5
Switzerland	11	84	. .	30.1	60.4	9.5
Turkey	62	46	. .	. .	. .	. .
OECD[6]	20	79	42	64.8	9.5	25.6

1. 1998. Percentage of people aged 20 to 24 who are neither enrolled in nor have completed upper secondary education.
2. 1998. Total is the sum of general programmes and pre-vocational/vocational programmes.
3. Programmes designed to provide direct access to theory-based tertiary programmes, intended to provide sufficient qualifications to gain entry into advanced research programmes and professions with high-skill requirements (ISCED 3A).
4. Programmes designed to provide direct access to tertiary programmes with focus on occupationally-specific skills (ISCED 3B).
5. Programmes designed to prepare students directly for the labour market, post-secondary non-tertiary programmes or other upper secondary programmes (ISCED 3C).
6. Data for OECD are the mean of available data, including several countries not shown in the table.

Source: OECD, *Education at a Glance*, 2000.

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education stream – technological or vocational – is to be brought up to 40 per cent of total enrolment by 2003. The government's aim is to offer employment-relevant training to all youths (under age 21) who are registered in employment centres. At the same time, to bridge the generation gap in terms of lower educational attainment of those already at work, the importance of lifelong training is being stressed to maintain the adaptability of the workforce in a changing environment. Interactions between formal training institutions and enterprises have been enhanced; and the 1998 National Plan has set quantitative goals, including the target of providing training to 10 per cent of all workers by 2002.[90] The share of workers receiving in-firm training has increased, but the Plan is too recent for substantial progress to already have been made.

Active labour-market policies

The scale of active labour market policy measures (ALMP) has been expanding and now bears comparison with the situation in other EU countries (Table 28). The relative importance of these actions, and their potential impact,

Table 28. **Expenditure on active labour-market policies in selected OECD countries**
1998

	Total expenditure on labour-market policies	Expenditure on active labour-market measures	Unemployment	Expenditure intensity[1]	
	Per cent of GDP		Per cent of labour force	Total labour-market policies	Active labour-market measures
Portugal	**1.66**	**0.86**	**5.2**	**0.32**	**0.17**
Austria	1.71	0.44	5.5	0.31	0.08
Belgium	3.85	1.34	9.4	0.41	0.14
Denmark	5.04	1.67	5.1	0.99	0.33
Finland	3.97	1.39	11.6	0.34	0.12
France	3.13	1.33	11.9	0.26	0.11
Germany	3.54	1.26	9.3	0.38	0.14
Greece (1997)	0.85	0.35	9.8	0.09	0.04
Ireland (1996)	4.07	1.66	12.0	0.34	0.14
Italy	1.83	1.12	12.3	0.15	0.09
Netherlands	4.72	1.74	4.4	1.07	0.40
Spain	2.24	0.68	18.8	0.12	0.04
Switzerland	1.77	0.77	3.7	0.48	0.21
United Kingdom	1.19	0.37	6.2	0.19	0.06
Average of the above (unweighted)	**2.83**	**1.07**	**8.9**	**0.39**	**0.15**

1. Expenditure as a percentage of GDP divided by the rate of unemployment.
Source: Ministry of Labour and Solidarity; OECD, *Employment Outlook*, June 2000.

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should be evaluated against the background of a relatively low overall unemployment rate and small share of spending on unemployment benefits, the latter reflecting rather stringent eligibility rules. Specific measures have been introduced over the years to improve employability of population groups at risk, youths and the long-term unemployed in particular.[91] The instruments used have tended to be more closely tailored to the needs of the targeted groups and are increasingly based on individual tracking. The "personalised" follow-up by employment services, combined with the early approach inherent in some of the programmes, is an important element that explains the achievements of ALMP. Evaluation studies of the impact of the two main insertion programmes show encouraging results. Their effectiveness, in terms of increasing the employability of those participating in the programmes, appears to have been significant (although success has been uneven in getting those who qualify to enlist in the process). The decentralisation of public employment services, which was completed with the creation of Regional Employment Networks, is also among factors helping in the process. The larger role given to regional services and more intense partnership with private agents have both contributed to improve the effectiveness of employment services in a number of ways: by facilitating the dissemination of information; by helping to identify the specific employment problems of the various regions; by matching training needs and employment opportunities, and by assisting in the co-ordination of the various agents involved at the local level – firms, job-seekers and training providers.

Balancing social protection and incentives to work

The interaction of labour market institutions and social protection has an important impact on labour market outcomes. In this area, several measures have been taken aimed at strengthening social protection while preserving work incentives and labour market flexibility. As the unemployment insurance scheme was reinforced, mechanisms were introduced to allow beneficiaries to cumulate unemployment benefit with part-time work or training allowances during a certain period. By "making work pay" these provisions are helpful in reducing work disincentives. While the existence of a minimum guaranteed income, such as has recently been introduced in Portugal, might also lead to the creation of work disincentives (unemployment trap effects), certain features minimise this risk in Portugal: first, the minimum income is relatively low (less than half the minimum wage for an individual with no dependants, with the minimum wage being low relative to the average wage);[92] second, eligibility criteria are strict; third, the system is fully integrated with employment services, as beneficiaries are required to accept job offers or engage in training, unless their inability to work is recognised. However, there are problems related to the tax treatment of transfers: since no taxes or social security contributions are levied on unemployment benefits and social transfers, recipients who enter the workforce are likely to face high

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marginal effective tax rates in a number of cases, which tends to lower incentives to take on a "declared" job (see Chapter III).

To adjust labour legislation to new forms of employment, such as part-time work and short-duration employment which are becoming more widespread, the relevant legal framework was revised and updated in 1999. The aim is to facilitate the use of contracts adapted to them, so as to ensure that workers involved in such arrangements are legally protected. The National Action Plan was designed with this dual objective, giving some prominence to the adaptability of working practices, and reinforcing the fight against illegal employment. Changes have recently been introduced to allow "atypical" work organisation in the public sector, through increased use of part-time work, in particular. This has two main objectives: first to give more flexibility for renewing the workforce; second, to serve as an example that might be emulated by the private sector. However, due to the short period which has elapsed since their introduction, the new possibilities have not yet been used on a significant scale. Increased flexibility has also been provided by some provisions of the 1999 social security reform, regarding older workers who wish to remain in activity. These workers can cumulate pension benefits and work compensation; moreover, for their employers, contributions to social security have been reduced.

Overall, the actions taken over recent years to make employment protection legislation (EPL) more flexible have been quite limited in scope. A comparison of provisions regulating dismissals in a number of OECD countries for the period leading to 1998 shows that Portugal still ranked among the European countries where EPL was most restrictive (Table 29). Tight regulations in this area can create obstacles to the hiring of workers on long-duration or indefinite contracts. However, some easing in the legislation occurred in 1999, with the reduction of severance payments in case of layoffs. Efforts to bring more flexibility to the legal framework for hiring and firing through an agreement with social partners could contribute to further improving labour market outcomes.

In September 2000, the Minister of Labour and Solidarity proposed a package of measures which introduces a "new phase" of employment policy. Some of the measures are aimed at reinforcing the employability of the labour force and facilitating entry (or re-entry) into the labour market, thus following the strategy outlined in the National Employment Plan. Others suggest some shift of priorities to put more focus on employment quality. One such measure is the introduction of incentives, via a one-year exemption from social security contributions, for employers to transform fixed-term into indefinite contracts at the end of the term for groups who encounter particular difficulties on the labour market (youths or long-term unemployed). This measure, which is aimed at specific categories of workers, is considered by the authorities to be a complement to the broader strategy seeking to promote labour market flexibility. Its effectiveness will need to

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Table 29. **Employment protection legislation: selected OECD countries**[1]

	Procedural inconveniences[2]				Notice and severance pay for no-fault individual dismissal (in months)[3]								Difficulty of (unfair) dismissal					
	Procedures[4] (Scale 0 to 3)		Days to start of notice[5]		Notice period after				Severance pay after				Definition of unfairness[6]		Extent of reinstatement[7]		Compensation after 20 years of tenure[3]	
					9 months		20 years		9 months		20 years		(Scale 0 to 3)				(Months)	
	Late 80s	1998	Late 80s	1998	Late 80s	1998	Late 80s	1998	Late 80s	1998	Late 80s	1998	Late 80s	1998	Late 80s	1998	Late 80s	1998
Portugal	**2.5**	**2.0**	**21.0**	**21.0**	**2.0**	**2.0**	**2.0**	**2.0**	**3.0**	**3.0**	**20.0**	**20.0**	**3.0**	**2.0**	**3.0**	**2.5**	**20.0**	**20.0**
Austria	2.0	2.0	9.0	9.0	1.0	1.0	2.5	2.5	0	0	9.0	9.0	1.0	1.0	1.0	1.0	15.0	15.0
Belgium	0.5	0.5	1.5	1.5	2.0	2.0	9.0	9.0	0	0	0	0	0	0	0	0	12.5	15.0
Denmark	0.5	0.5	1.0	1.0	1.6	1.8	5.0	4.3	0	0	1.5	1.5	0	0	1.5	1.5	1.0	1.0
France	1.5	1.8	12.0	12.0	1.0	1.0	2.0	2.0	0	0	2.7	2.7	1.5	1.5	0	0	15.0	15.0
Germany	2.5	2.5	17.0	17.0	1.0	1.0	4.5	7.0	0	0	0	0	2.0	2.0	1.5	1.5	24.0	24.0
Greece	2.0	2.0	1.0	1.0	0.6	0.5	9.0	8.0	0.3	0.3	4.6	5.8	0.5	0.5	2.0	2.0	15.0	15.8
Ireland	1.5	1.5	4.5	4.5	0.2	0.3	2.0	2.0	0	0	2.2	2.2	0	0	1.0	1.0	24.0	24.0
Italy	1.5	1.5	1.0	1.0	0.3	0.3	2.2	2.2	0.7	0.7	18.0	18.0	0	0	2.0	2.0	32.5	32.5
Netherlands	3.0	3.0	38.0	31.0	0.6	1.0	5.3	3.0	0	0	0	0	1.5	1.5	1.0	1.0	6.0	18.0
Spain	2.3	2.0	40.0	1.0	1.0	1.0	3.0	1.0	0.5	0.5	12.0	12.0	2.0	2.0	0	0	35.0	22.0
Sweden	2.0	2.0	15.0	15.0	1.0	1.0	6.0	6.0	0	0	0	0	2.0	2.0	1.0	1.0	32.0	32.0
Switzerland	0.5	0.5	1.0	1.0	1.0	1.0	3.0	3.0	0	0	2.0	2.0	0	0	0	0	6.0	6.0
Turkey	2.0	2.0	1.0	1.0	. .	1.0	. .	2.0	. .	0	. .	20.0	. .	0	. .	0	. .	26.0
United Kingdom	1.0	1.0	2.0	2.0	0.2	0.2	2.8	2.8	0	0	2.4	2.4	0	0	0	0	8.0	8.0

1. Applicable to regular employment, see Nicoletti, G., S. Scarpetta and O. Boylaud (1999), "Summary of indicators of product market regulation with an extension to employment protection legislation", *Economics Department Working Paper* No. 226, OECD, Paris.
2. Procedures and delays are either legislated, set through collective bargaining or generally considered necessary, because without them the employer's case would be weakened before the court in the event of a claim of unfair dismissal.
3. Where relevant, calculations assume that the worker was 35 years old at start of employment. Averages are taken where different situations apply (*e.g.* blue-collar and white-collar workers).
4. Scored 1 when a written statement of the reason for dismissal must be supplied to the worker; 2 when a third party (work council or competent labour authority) must be notified; 3 when the dismissal requires authorisation from a third party.
5. Includes an assumption of 6 days in case of required warning procedure prior to dismissal. One day is counted when dismissal can be notified orally; 2 when a letter needs to be sent by mail; 3 when a registered letter needs to be sent.
6. Scored 0 when worker capability or redundancy of the job are sufficient grounds for dismissal; 1 when social considerations, age or job tenure influence the choice of which worker to dismiss; 2 when transfer and/or retraining of worker must be attempted before dismissal; 3 when worker capability cannot be a ground for dismissal.
7. Based on whether, after a finding of unfair dismissal, the worker has the option of reinstatement into his previous job even if this is against the employer's wish. Scored from 1, when option is rarely made available, to 3 where it is always made available.

Source: OECD.

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be carefully monitored. Experience in other OECD countries shows that increased use of atypical contracts can facilitate the entry into the job market of categories at risk. Offering incentives to indefinite contracts in a phase of labour-market tightness may reduce the flexibility of response to future downturns. And the need for such incentives may be an indication that employment protection legislation is an obstacle to hiring on "regular" contracts. Such incentives apply only for certain categories. But if job protection legislation is too restrictive and does reduce the number of permanent contracts below what would be expected, it would be preferable to ease the legal framework rather than to compensate for this through the fiscal system. In that regard, a dialogue has begun between social partners aimed at reviewing labour-market legislation in the wider context of work organisation, wages and productivity.

Improving the infrastructure and the climate for entrepreneurship

EU *structural funds for development*

Over the last decade, Portugal has received sizeable transfers from the EU, in the context of successive *Community Support Frameworks* (CSF), which include both structural funding and cohesion funding.[93] The CSF funds, which averaged more than 3.2 per cent of GDP per year in the six years to 1999, have played an important role in the modernisation and restructuring of the Portuguese economy, allowing advances in the convergence process. These transfers have had a significant impact on infrastructure development. The density of motorways doubled between 1994 and 2000 and a significant proportion of railway lines were electrified.[94] However, the results have been less visible in the domain of innovation and R&D (see section below). Attempting to fill this gap, CSF III will provide €23.8 billion between 2000 and 2006, equivalent to about 3 per cent of GDP per year, giving particular attention to the development of information and communication technology (ICT). The new framework defines four priority areas for policy action: raising the qualification level of human resources, while promoting employment and social cohesion; facilitating the adjustment of the productive structure to the challenges of the information society; favouring a more sustainable development of the country; and promoting more balanced growth across regions.

Investment projects co-financed by CSF III funds are expected to represent about 20 per cent of total investment.[95] Within infrastructure, priority will be given to the transport system, which will receive about 10 per cent of total funds. The "Accessibility and Transport" action plan foresees the enhancing of interconnections with Iberian and trans-European Networks, the expansion of intermodal transport facilities, and more generally the improvement of the quality and safety of the system.[96] Furthermore, the recourse to private sources of financing

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through public-private partnerships is expected to continue. This is often used as a means both of raising more funds for investment and benefiting from private sector expertise. However, experience in other countries shows that contracts need to be well designed to insulate the budget from the risk of project failure.[97]

Fostering a knowledge-based economy

To remain competitive, Portugal needs to move forward in the production, diffusion and use of R&D and technological innovation. Its performance in this regard still lags behind other OECD countries, although it is growing at a faster-than-average pace. Portugal ranks just above Greece, Turkey and Mexico in terms of spending and people engaged in R&D activities. Even the shift of Portuguese exports towards higher-technology goods still appears to be less advanced than in most other OECD countries (Figure 31). Portugal's trade with the rest of the EU is mainly intra-industry, but its specialisation remains far from up-market goods (as measured by unit values of traded goods). The share of knowledge-based industries in value-added, at about one-third in the mid-1990s, has been among the lowest in the OECD; the average share in the OECD was close to 50 per cent at the time. The gap remains the same both when medium- and high-technology goods are considered, and when including service activities, such as communications, finance, insurance and other business services, which tend to be large users of high technology or to employ highly-skilled workers. In more recent years, although quantitative evidence is incomplete, these activities are likely to have continued to expand in Portugal as in other OECD countries.

The importance of "up-market" goods and services depends on factors such as R&D spending and labour qualifications, two domains where public policies can influence outcomes. The government finances about 70 per cent of total R&D spending. As in other less-advanced OECD countries, most R&D activities are performed by the government and higher-education institutions, while only a small proportion (23 per cent) is performed by the business sector. Portugal, like most other OECD countries, has tax incentives for R&D investment by the private sector. The scale on which these instruments are applied has been considerably enlarged in the 1990s: by 1998, it stood as one of the highest in proportion to R&D spending – Portugal ranking just below Spain and Canada, when considering subsidies to large firms. Recognising the key role that public policies can play, the budget allocated to the Ministry of Science and Technology has been increased since 1995. *The Operational Programme for Science, Technology and Innovation*, 2000-2006, introduced in the context of the CSF III, has among its objectives to further increase the budget for R&D, as well as raise the number of researchers in the labour force. The current strategy for human capital development, as discussed above, has an explicit focus on developing competencies in Information and Communication Technologies (ICT) at various levels, including education and training as well as lifelong learning for adults.

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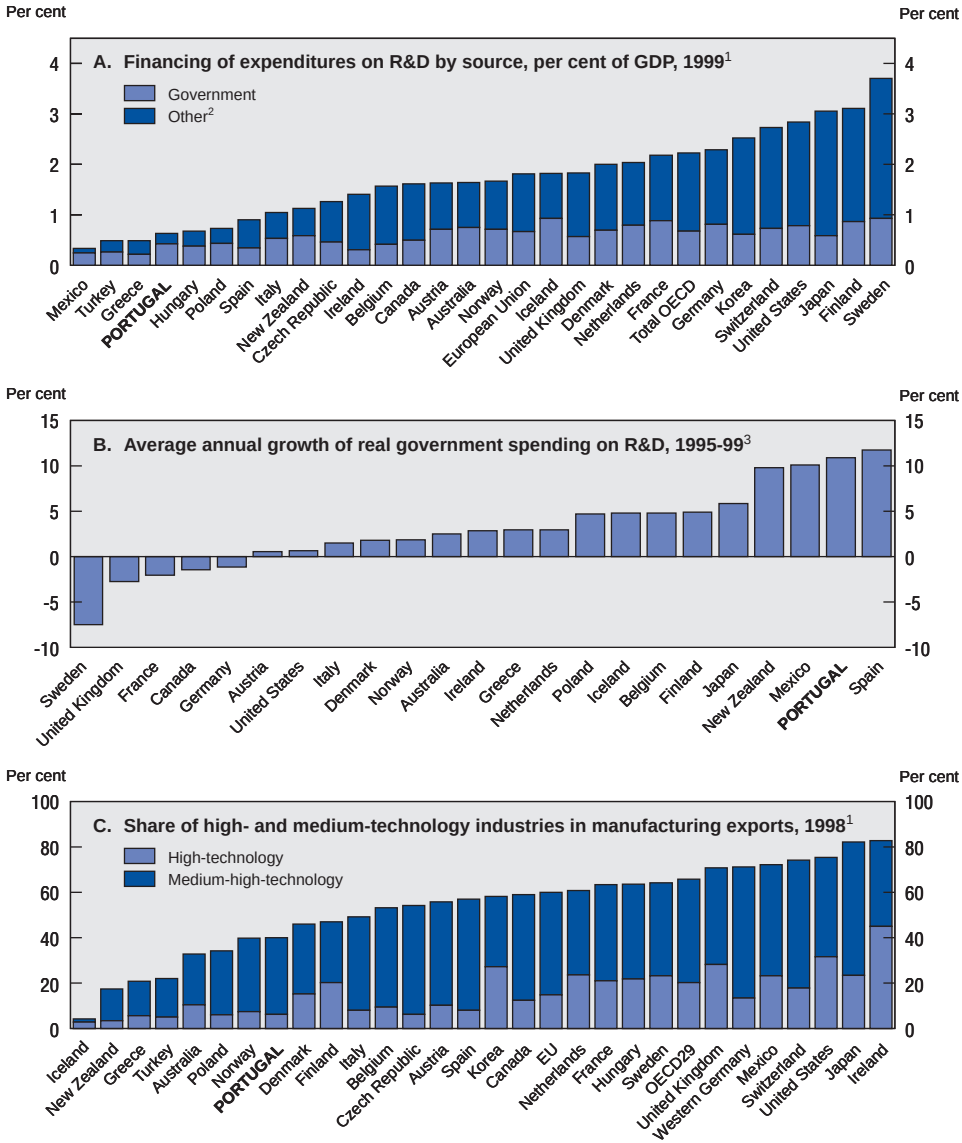
Figure 31. **Science and technology indicators**
Per cent



1. Or latest year available.
2. Business enterprise, other national sources and abroad.
3. Or latest year available. Total government budget appropriations for R&D deflated by the producer price index.

Source: OECD, *Science, Technology and Industry Outlook 2000.*

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Despite the progress made, Portugal remains far from EU averages with regard to the development of ICT: Internet access is still relatively limited and costs are high. A number of incentives have been recently introduced, including a flat access rate, which should boost performance in this area. To expand the role of the ICT sector, which has a high competitiveness and employment potential, programmes such as the "New National Electronic Trade Initiative" and "Internet Initiative" were launched in 2000. The "Internet Initiative" sets out a number of objectives: to connect all schools to the Internet by the end of 2001; to reach a penetration rate of 50 per cent of the population by 2003; to increase Portuguese content on the Internet over the next three years.[98]

Promoting a business-friendly environment

Promoting a business-friendly environment is an important component of Portugal's strategy to strengthen competitiveness and efficiency. The *Operational Programme for the Economy* 2000-2006 (POE), launched in the context of the CSF III, aims at providing financial and technical support for the development of an entrepreneurial culture. It gives special attention to small and medium-size enterprises, which predominate in Portugal's productive structure, especially with regard to employment.[99] An important objective is to promote the absorption of technology and enhance the capacity for innovation; to this end it foresees specific support for investment projects in ICT sectors. The programme will also facilitate SME access to financing, to help them gain access to foreign markets and facilitate technological transfers. The complexity of the legal and administrative framework and the lack of information impose a heavy burden on SMEs. To reduce this burden, a network of Business Formalities Centres (BFC) has been operating since 1998, concentrating in a single place the various agencies involved in the process of business incorporation. Since its creation, the network has been expanded and is now operating in all regions, helping to reduce delays and alleviate red tape. The time required to set up a new company has been brought down from five to six months to less than a month (14 to 26 days). Additional measures have been taken since 1998 to reduce bureaucracy, including the abolition of some notarial procedures and the establishment of a new legal framework for the use of venture capital.

Improving the efficiency of the public administration is part of the effort to make the economy more competitive. To address this concern, "Citizen Shops" were created in 1999. These bodies have a similar function to the Business Formality Centres, but apply to individuals rather than businesses. By regrouping the main public services and public utilities in one place, the "shops" aim to simplify procedures, enhancing co-operation and synergies among different services and bringing more transparency to the relationship between the administration and the citizen.[100] Furthermore, in the last few years, the government has

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introduced a set of measures to promote the dissemination of public information through the Internet,[101] to develop electronic data transfers within the public administration, and to encourage the use of electronic commerce in the public procurement process. It is still too early to verify, however, whether the measures will fulfil their purpose overall.

Increasing product-market competition

After the significant progress made in liberalising product markets in the early and mid-1990s, the pace of reform has slowed somewhat in more recent years. The privatisation programme has continued, but no major enterprises have been added to the privatisation list since 1998 and the government has insisted on retaining special voting rights in some companies. The regulatory framework, in place since the mid-1990s, still has important deficiencies, including those related to the institutional setting for competition policy. Finally, the opening of some network industries has sometimes been too slow, leading to inefficiencies.

The privatisation programme has been among the most ambitious in the OECD area, reflecting to a certain extent the fact that when it began state ownership and direct controls were more widespread than in most other OECD countries. More than 100 enterprises have been sold, including in the financial (banking, insurance), industrial (brewery, cement) and network (telecommunication, electricity) sectors. In the ten years to 1999, privatisation netted over €14 billion (14 per cent of 1999 GDP), two-thirds of which was earmarked for debt reduction and the rest for financing the restructuring of remaining state enterprises (Figure 32). In spite of the progress made, state ownership remains significant in several sectors, including transportation (air, railroad, maritime), communications (radio, TV) and finance (the *Caixa Geral de Depósitos* group). For the 1999-2002 period however, only eight new enterprises, most of them relatively small, were added to the privatisation list (Table 30). Indeed, privatisation proceeds in 1999-2000 have derived mostly from second to fifth round sales of shares in Portugal Telecom, EDP (electricity), BRISA (motorways), and GALP (oil and gas), all of which started to be privatised in the mid-1990s. The same is expected for 2001-02, with the conclusion of the on-going privatisation process bringing the brunt of the €2 billion of expected annual revenue – equivalent to 1.8 per cent of GDP. Finally, the state has retained (or intends to retain) special voting rights in several enterprises, including EDP, Portugal Telecom and CIMPOR. The reasoning for keeping a golden share is to be able to influence strategic decisions; but if the state uses this influence to reduce the scope and speed of restructuring and modernisation, this could jeopardise the efficiency gains expected from private ownership.

The present regulatory framework was largely in place by the mid-1990s, with the implementation of the 1993 Competition Act and the creation of autonomous regulatory bodies to supervise network industries (*i.e.* electricity,

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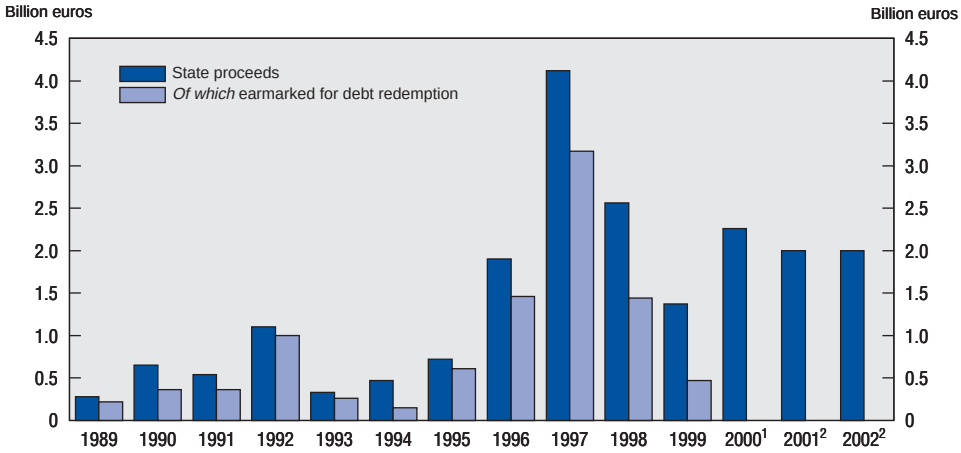
Figure 32. **Privatisation proceeds since 1989**
Billion euros, 1989-2002



1. January-November.
2. Ministry of Finance estimates.
Source: Ministry of Finance, Instituto de Gestão do Crédito Público.

telecommunications and railways). Since then, the setting has not changed significantly, in spite of the growing need to modernise certain institutional arrangements, chief among which are those related to the competition authority and policy making. The Directorate-General for Trade and Competition, part of the Ministry of Economy, is in charge of case investigation, while final decision-making is the competence of the Competition Council, whose members are directly appointed by the Prime Minister. However, Council recommendations related to merger control are non-binding, with the Ministry of Economy having the final say on decisions. Experience in other OECD countries shows that a single and independent competition authority is preferable for achieving a high degree of transparency and for taking and implementing decisions efficiently, thereby improving policy credibility and promoting a better diffusion of the competition culture. In some countries, competition authorities are formally assig ned responsibilities in important decisions concerning privatisation and liberalisation. Mexico's system is currently considered to be a "best practice" in this regard; competition authorities in Ireland, Hungary, the Czech Republic and Korea also have *de facto* a role to play in decision-making, although this has yet to be based on formal arrangements. In early 2000, the Ministry of Economy started the groundwork for the creation of an independent competition authority. This plan, expected to be concluded in 2001, should be vigorously pursued.

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Table 30. **The current phase of privatisation**
1999-2002

Company	Sector	Proceeds (million euros)
1999		
Tabaqueira (2nd phase)	Tobacco	71.0
SNAB (2nd phase)	Factory ship	0.5
Portugal Telecom (4th phase)	Telecommunications	948.8
BRISA (3rd phase)	Motorways	498.1
Fapajal	Paper	2.3
Papel do Prado	Paper	30.7
Carbolis	Chemical (industrial gas)	3.0
2000		
Dragapor	Construction (dredging)	3.2
Tabaqueira (3rd phase)	Tobacco	27.7
GALP (2nd phase)	Gas	433.6
Driftal	Chemical (plastics)	1.2
EDP (4th phase)	Electricity	1 572.9
Portugal Telecom (5th phase)	Telecommunications	708.3
2001-2002[1]		
ANA	Airport management	
BRISA (4th phase)	Motorways	
CIMPOR (4th phase)	Cement	
GALP (3rd phase)	Gas	
Papercel	Paper	
Portucel Industrial (2nd phase)	Paper	
Portucel Florestal	Paper	
Soporcel (2nd phase)	Paper	
TAP	Air transportation	

1. According to official estimates, privatisation proceeds are expected to reach an annual average of 2 billion euros in the 2001-2002 period.

Source: Ministry of Finance.

Concerning network industries, the liberalisation process is more advanced in the telecommunications sector (Table 31). Competition is particularly fierce in the mobile market, which started to be liberalised almost ten years ago.[102] By September 2000, the penetration rate of mobile phones had risen to 58 per 100 residents – up from 31 per 100 at the end of 1998 – among the highest in the OECD area (Figure 33). At the end of 2000, four new mobile phones licences (UMTS system) were attributed, with licensed operators expected to start commercial services in 2002. In the fixed-line segment, liberalisation has been more recent. In 1999, a National Renumbering Plan was implemented, paving the way for the entry, in January 2000, of new fixed-line operators offering long-distance services (both national and international) and calls towards mobile phones. After six months of operation, new entrants had captured more than 10 per cent of the market.[103] Following liberalisation, access has expanded sharply

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Table 31. **Main liberalisation measures in network industries**

	Electricity	Oil and natural gas	Telecommunication	Transportation
1989			Telecommunications Basic Law.	
1990		Some price controls removed.		Land Transportation Basic Law.
1991		End of administrative setting of oil prices. Elimination of oil import and distribution quotas. New regulations for the import, transmission and distribution of natural gas.	Approval of regulations for mobile telecommunication. Public tender for the second mobile phone licence.	
1992		First phase of Petrogal privatisation (25 per cent).		
1993				Entry into force of the EU "3rd package" of air transport liberalisation.
1994	Restructuring of EDP, splitting it into six subsidiaries.	New fiscal regime for oil products.		
1995	New Electricity Basic Law, separating the public and the independent electrical systems. Creation of a new entity to manage the national transmission grid (REN).	2nd phase of Petrogal privatisation (20 per cent).	First phase of Portugal Telecom (PT) privatisation (27.3 per cent).	
1996			2nd phase of PT privatisation (21.8 per cent).	
1997	Revision of the Electricity Basic Law. Enter into operation of the regulatory agency (ERSE). First phase of EDP privatisation (29.6 per cent).	Introduction of natural gas into the energy grid (building of new pipelines).	New Telecommunications Basic Law. Public tender for the third mobile phone licence. 3rd phase of PT privatisation (26 per cent).	Remaining restrictions on cabotage are lifted. Creation of a new public company (REFER) to manage the rail network. First phase of BRISA (motorways operator) privatisation (35 per cent).

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Table 31. **Main liberalisation measures in network industries** (*cont.*)

	Electricity	Oil and natural gas	Telecommunication	Transportation
1998	Publication of new codes for: tariffs; commercial relations; network and interconnections. 2nd and 3rd phases of EDP privatisation (19.2 per cent).			Creation of a rail regulatory agency (INTF).
1999	Gradual opening of a third of the electricity market. Publication of new codes for: dispatching; transport network and distribution.	Creation of GALP, S.A., a holding company, merging Petrogal and Gás de Portugal (GDP).	Approval of the National Renumbering Plan. New regulations concerning: universal service and fixed line services. 4th phase of PT privatisation (13.4 per cent).	Concession contract with a private consortium (FERTAGUS) to provide a new suburban passenger service in Lisbon. Open Skies agreement with the US.
2000	4th phase of EDP privatisation (20 per cent). The national transmission grid detached from EDP holding.	New legal framework concerning the natural gas sector. Agreement about the construction of a LNG terminal. 2nd phase of GALP privatisation (15 per cent).	Beginning of competition in intercity and international calls. Pre-selection and portability rules clarified. 5th phase of PT privatisation.	
2001		Creation of a regulatory agency (expected).	Beginning of competition in local and regional calls. Introduction of the unbundled local loop offer. Granting of four licences for third-generation mobile phones (UMTS).	First phase of ANA (airport management) and TAP (airline) privatisation and second phase of BRISA privatisation (expected).

Source: Ministry of Finance; Regulator of the electricity sector (ERSE); Regulator of the communication sector (ICP); Rail regulatory body (INTF); European Commission; OECD.

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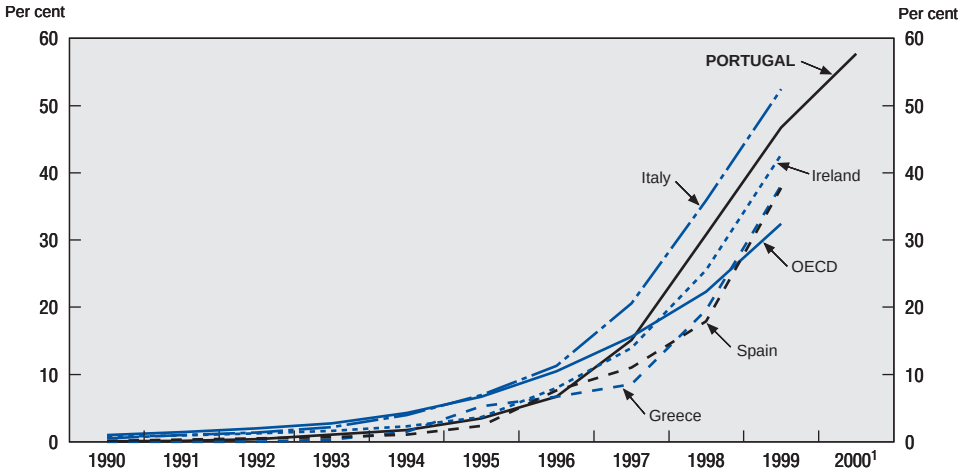
Figure 33. **Mobile phone penetration**
Subscribers per 100 inhabitants, per cent



1. January-September.
Source: Instituto das Comunicações de Portugal (ICP); OECD, *Communications Outlook*.

and tariffs have declined steadily towards the OECD average, particularly in the business sector (Figure 34). The price of telecommunication services remains relatively high nonetheless, in large part as a result of remaining restrictions, especially those related to Portugal Telecom's monopoly privileges on fixed-line local calls, which expired only in January 2001.

In the electricity sector, reforms have included the creation of an independent regulatory body (ERSE) in 1997 and the gradual privatisation of EDP, the national electricity company. By late 2000, almost 70 per cent of its capital had been sold. These measures were accompanied by the gradual opening of a third of the Portuguese electricity market starting in early 1999, in accordance with EU Directives.[104] However, this opening has not sufficed to create a competitive market for electricity. By mid-2000, only 19 customers, representing 1.5 per cent of domestic consumption, were buying electricity from sources other than EDP, which has kept a dominant position in generation, transmission and distribution. In fact, the installed capacity of independent domestic generators remains limited and the present price structure creates incentives for these generators to provide electricity to EDP rather than selling it directly to end users. Power-purchasing arrangements (PPA) offered by EDP are asymmetrical, since they allow generators to pass along cost increases, while giving them no obligation to do the same for

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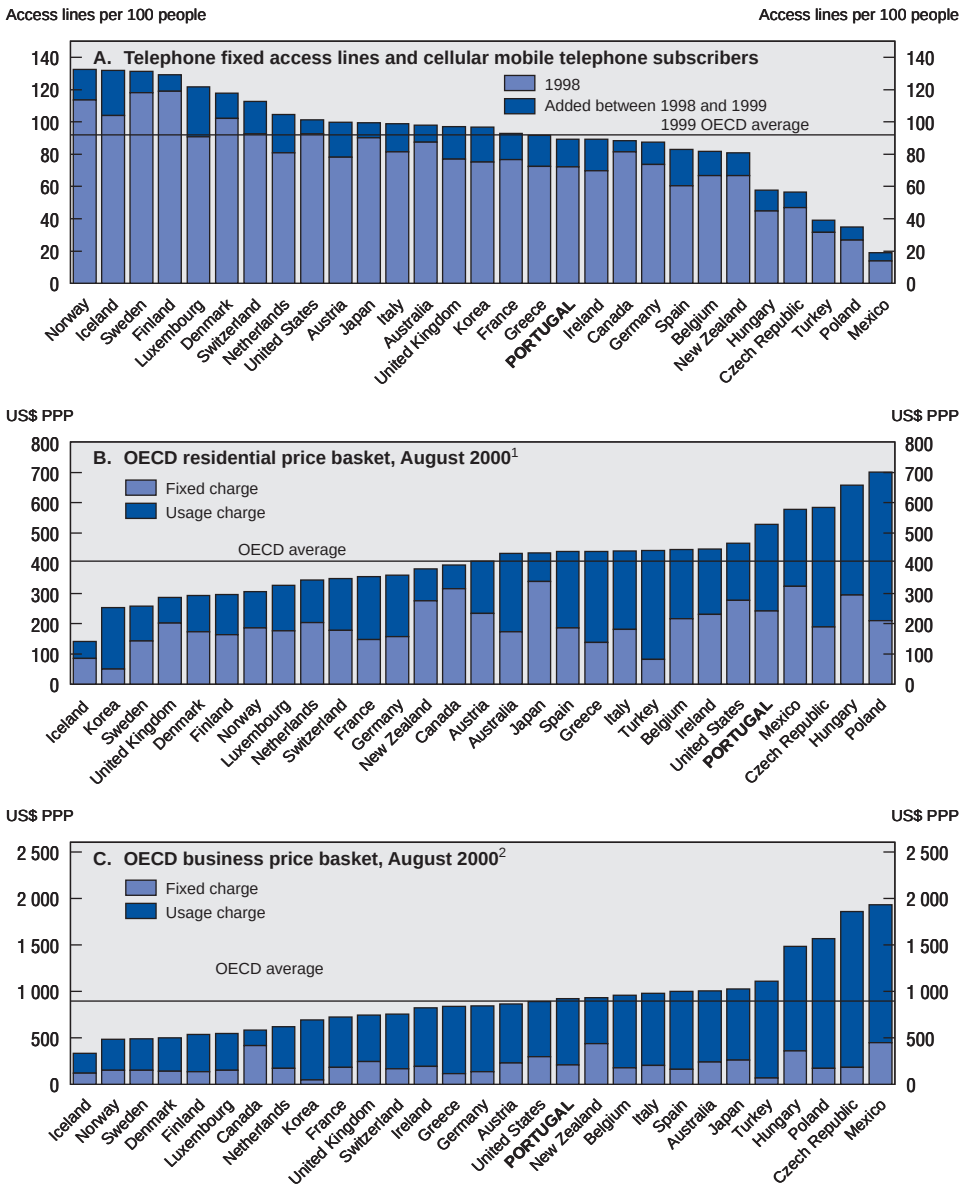
Figure 34. Performance indicators in telecommunication



1. Including VAT. The usage charge includes a basket of 1 403 national calls.
2. Excluding VAT. The usage charge includes a basket of 4 129 national calls.

Source: OECD, *Communications Outlook.*

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cost reductions.[105] These weaknesses are aggravated by the lack of a harmonised system for cross-border tariffs, which hinges on (so far unfruitful) efforts at the EU level. In spite of these shortcomings, prices have declined significantly in the last few years, as the regulator has pursued the objective of bringing prices down to the EU average by the end of 2000. Indeed, in the two years to January 2000, electricity tariffs have declined by 6.4 per cent for industrial consumers and by 8.3 per cent for households.

In the oil and gas distribution sector, a holding company (GALP) was created in April 1999 with the merger of the national gas and oil companies, *Gás de Portugal* (GDP) and PETROGAL. Since then, the new company has been gradually privatised, with the sell-off expected to be complete by 2002 (with the exception of a golden share).[106] Although some progress has been made in developing the appropriate legal framework, the liberalisation of the oil and gas sector is incomplete. As the network is still under construction, Portugal has obtained a derogation from the implementation of the 1998 EU Gas Directive, which aims to create a competitive gas market. This derogation allows GALP to retain a monopoly on the transport and sale of natural gas until 2007.[107] In the oil sector, prices for unleaded gasoline and diesel are still subject to maximum price levels and GALP, which owns the country's only two refineries, has retained a dominant position in distribution. Finally, the creation of a new oil and gas regulatory agency awaits a decision on whether to have a single regulatory body for the energy sector, implying a possible merger with the electricity sector regulator.

In the air transportation sector, plans have been announced for the privatisation of the national airline (TAP) and the airport administration company by 2002. In the railway sector, a regulatory agency was created in 1998 and the national railway company was split in two, effective as of January 1999, with the infrastructure management separated from the provision of transportation services. This has allowed the entry of a private consortium for the franchise provision of a new suburban passenger service in Lisbon, which started in mid-1999. However, no schedule has been announced for the splitting-up of the dominant services provider, which is a necessary condition for effective competition in the sector.

To sum up, the relative size (and scope) of the Portuguese public sector remains large, as shown by most indicators of state control (Figure 35). Other countries have made faster progress in enhancing product market competition, so that Portugal's relative position has deteriorated, including within the EU. Recent reforms have often been conceived in the context of EU-wide Directives, which have helped establish a framework, including deadlines for the achievement of liberalisation objectives. This external discipline has in many instances prevented serious delays and/or backtracking of reforms, but Portugal remains a laggard in the implementation of internal market directives. In November 2000, Portugal had

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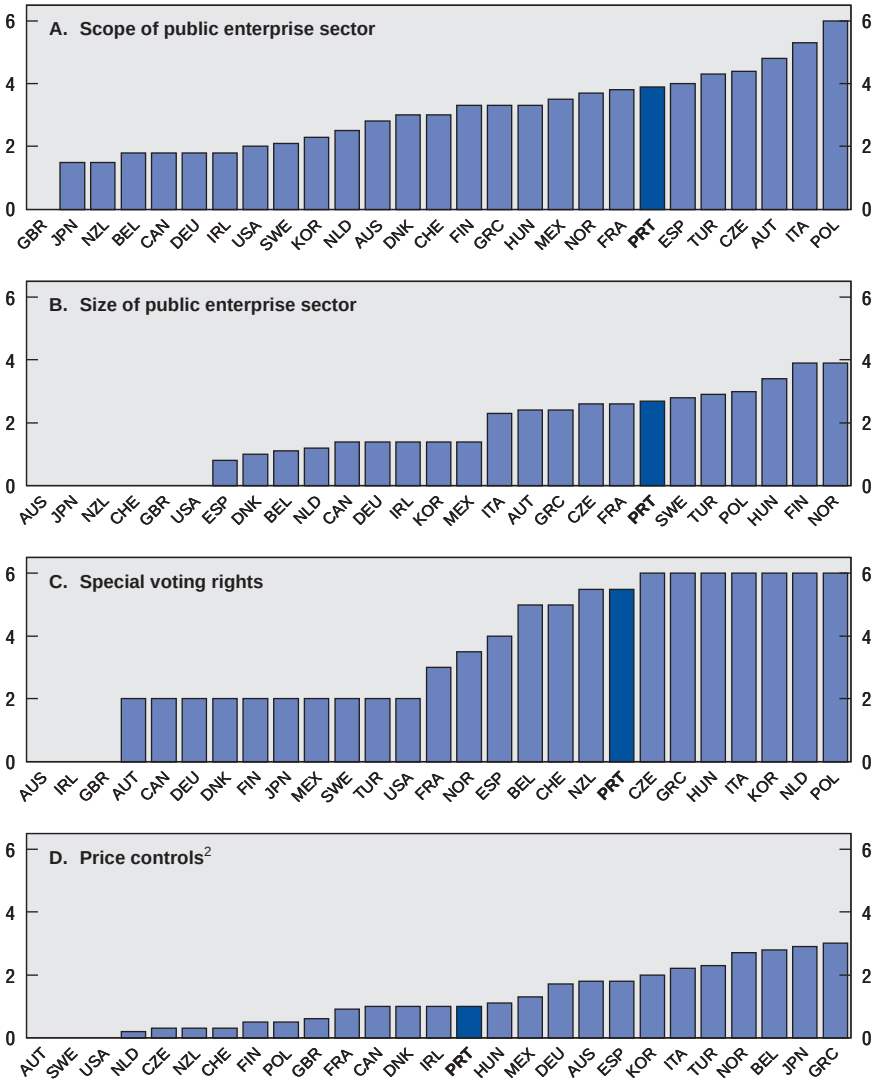
Figure 35. **Indicators of state control**[1]
Range from 0 to 6



1. In 1998. The scale of indicators ranges from least [0] to most [6] restrictive.
2. Includes sector specific information on road freight, air transport, retail distribution and some telecommunications services.

Source: Nicoletti, G., S. Scarpetta and O. Boyland (1999), "Summary of Indicators of Product Market Regulation with an Extension to Employment Protection Legislation", *Economics Department Working Paper No. 226*, OECD, Paris.

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a transposition deficit of 4.4 per cent, in front only of Greece and France, with 6.5 and 4.5 per cent respectively.[108] Some reforms have met with considerable success, such as in telecommunications, where penetration rates have increased and prices have dropped sharply, and in the financial sector, where Portugal's performance has been remarkable (see below). In other sectors however, results have been more mixed, either because reforms are still incipient (transportation, oil and gas) or because measures taken so far have not been sufficient to establish effective competition (electricity). There is also an array of other areas where major inefficiencies remain – such as the housing market, retail trade and certain professional services – but no major reform initiative has been undertaken. Beyond sectoral reform policies, the institutional setting in which competition policy is implemented is not conducive to the efficient application of the law: it needs to be updated to give the competition authorities enhanced administrative and financial autonomy. Finally, national security or strategic reasons have been invoked recently to justify state intervention, either in the case of special voting rights or merger control operations. The concept of national security should be used more sparingly, as it seldom justifies actions that are detrimental to competition and economic efficiency.[109]

Enhancing the efficiency of the financial sector

An efficient financial system can be instrumental in improving growth prospects through its influence on saving and investment behaviour and resource allocation. It can also play a role in fostering innovation and the development and diffusion of technological progress.[110] Reforms undertaken since the late 1980s have significantly transformed the Portuguese financial sector, to the effect that most performance indicators have either converged or surpassed OECD averages (Box 12). Although reforms have been broadly successful and the sector is in relatively good shape – with well-capitalised and efficient institutions – some policy issues still need to be tackled, as identified by the 1999 OECD *Economic Survey*. These concern mainly prudential regulation and supervision issues and challenges related to the restructuring of the banking system.

In the past eighteen months, several measures have been taken to improve the co-ordination between the three financial sector supervisory agencies, thus addressing one of the main remaining weaknesses identified by the 1999 OECD *Economic Survey*. These measures include the creation in September 2000 of a National Council of Financial Sector Supervisors (*Conselho Nacional de Supervisores Financeiros*), presided over by the governor of the Bank of Portugal and including representatives of the Insurance Institute (*Instituto de Seguros de Portugal*, ISP) and the Securities and Exchange Commission (*Comissão do Mercado de Valores Mobiliários*, CMVM). A special scheme was also put in place between the ISP and the Bank of Portugal to monitor the capital adequacy of financial

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Box 12. Long-term performance and recent trends in Portuguese financial markets

Financial sector reforms have had their intended effects in Portugal. In the early 1980s, financial institutions were mainly state-owned, undercapitalised, and relatively unprofitable and inefficient, while financial markets were among the thinnest in the OECD. Today, most of the sector is in private hands, institutions are among the most profitable and solvent in Europe, and efficiency and financial depth indicators are converging rapidly towards OECD averages.

In recent years, the Portuguese financial system has been facing the same types of challenge as elsewhere in the euro area, including those related to changes in market conditions deriving from EMU, which in smaller markets has often translated into a decline in market liquidity and capitalisation. The effects of EMU have been felt in the diversification of domestic investors' portfolio into other euro-area assets, as well as through growing issuance of obligations by Portuguese non-financial institutions into more liquid markets. Moreover, some trading has migrated to more liquid international settlement systems, especially in the case of the special market for block debt trading (MEOG).

Although these trends may be irreversible and even desirable as Euro-area markets become more integrated and efficient, there are a few measures that can be envisaged to make Portuguese markets more competitive. In that context, the December 1999 merger of the Lisbon spot market with the Porto derivatives market and their concomitant transformation into a privately-managed corporation are steps in the right direction. Also beneficial has been the creation of a Special Market for Public Debt (MEDIP) to replace the special market for block debt trading (MEOG). Operational in July 2000, the new MEDIP is a more efficient and larger scale settlement system based on an integrated pan-European platform.

conglomerates subject to supervision on a consolidated basis, an important step, since banks and insurance companies are often part of the same group. These measures have been accompanied by efforts to modernise the statutes governing the ISP, reinforcing its autonomy and decision-making capacity and thereby preparing it for the enhanced co-ordination with the other regulatory and supervisory agencies. A new Securities Code was also approved in March 2000, simplifying and broadening the scope of the original text. The new Code, by adopting more flexible rules and procedures and modernising norms, should be better equipped to deal with the requirements of a fast-changing international financial system, including the growing need for international co-ordination.

Action has also been taken to address concerns of a prudential nature that might arise from the recent fast expansion of domestic credit. In fact, household indebtedness, although remaining below the OECD average, has increased

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sharply in recent years, reaching an estimated 76 per cent of disposable income in 1999. In early 1999, eligibility requirements for mortgage subsidies were tightened and a few months later, the Bank of Portugal required credit institutions to increase provisions on consumer credit from 1 to 1.5 per cent of the amount of outstanding loans. This was followed in July 2000 by the tightening of capital adequacy rules related to mortgage loans for residential purposes, whereby the risk weight with respect to the amount of credit that exceeds 75 per cent of the value of the real estate property was increased from 50 to 100 per cent. These measures have been complemented by action to build the necessary legal and prudential background for the development of mortgage-backed securities. The relevant legal framework, which was approved in November 1999, allows specialised mutual funds and financial companies to issue asset-backed securities. Subsequently, the Bank of Portugal issued related prudential rules as to ensure the adequate control of remaining risks – both on and off balance sheet. This "securitisation" of mortgages is particularly important to the extent that it facilitates bank liquidity management, while allowing the removal of mortgages from banks' balance sheets – thus giving them the option to reduce their exposure to this type of lending.[111]

EMU has brought increased competitive pressures on the banking system, hastening the consolidation process of the sector at the European level. In this context, the key domestic policy issues are to ensure that consolidation happens in a orderly way, that it does not increase systemic risk and that it enhances – rather than distorts – competition in the industry. Policies that are conducive to these goals include ensuring that the ownership structure of financial institutions favours competition – preferably through further privatisation of state-owned financial institutions – and lifting remaining obstacles to the adjustment of labour markets. However, little progress has been made in that regard since the publication of the 1999 OECD *Economic Survey*. The *Caixa Geral de Depósitos* group, which accounts for about a quarter of banking assets, remains state-owned. Furthermore, the stringent transferability rules of the banking sector pension regime continue to hamper labour market flexibility in this sector, their removal would help further restructuring of the banking system.

Summing up

Measures introduced over recent years have been successful in strengthening labour market performance, including through enhanced skills and competencies. Building on recent achievements, the overall objective of employment policy is to maintain the current combination of high employment and low unemployment rates (above 70 per cent and below 5 per cent, respectively at present). The on-going evaluation of results achieved under the National Employment Plan is meant to identify good practices, which in turn can help fine-tune the

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employment strategy. At the same time, ambitious measures are necessary to make employment protection legislation more flexible while ensuring that workers are legally protected. There are on-going negotiations with social partners about some of these issues, with a view to adapting and improving labour legislation. During recent years, re-entry into the labour market has been facilitated by the increased opportunities for part-time work and short-duration contracts; it is important to maintain these new forms of flexibility, notably at a time of emerging recruitment difficulties in certain sectors. Care should also be exercised to ensure consistency between income support measures and incentives to work. Experience in other OECD countries shows that the development of "social minima", in combination with certain specific tax provisions, risks having a negative impact on labour supply. Certain features of the Portuguese system minimise this risk. Longer-run social goals can best be achieved by policies which allow people to make the best of their human capital in the workforce. Finally, in this context, continued emphasis should be put on the development of human capital, so that Portugal can further advance in the transition to a higher-skilled economy.

Much progress has been made in improving infrastructure and the climate for entrepreneurship, including through higher budget allocations for R&D, measures to facilitate technology diffusion and action to promote a more business-friendly environment, such as reducing bureaucracy. These measures go in the right direction and efforts in this area should be continued. Concerning product market competition, progress has been remarkable, but the pace of change has slowed in recent years. Special emphasis should be put on modernising certain institutional arrangements, most importantly the framework for the operation of competition policy, which needs to be adjusted to give enhanced administrative and financial autonomy to the Competition Authority. Moreover, faster progress should be made in liberalising the energy sector (electricity, oil and gas), where the reform process lags behind that of other countries, with negative spill-over effects on the economy at large. In other sectors, efforts should be made to wi den and deepen the privatisation process. State-ownership remains important in transportation and communications, for instance. Furthermore, there are various forms of state intervention, such as those foreseen under special voting right provisions in recent sell-offs, which should be avoided. In trying to influence the strategic decisions of recently-privatised companies, special care should be exercised to avoid interference which could lead to inefficiencies and a loss of competitiveness. The creation of a National Council of Financial Sector Supervisors and an array of recent measures of prudential nature have been important steps, helping ensure the solidity of the financial system; but challenges related to world-wide consolidation of the banking sector remain to be addressed.

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Notes

1. Calculated on the basis of revised national accounts in order to comply with the methodology of the new European System of Accounts (ESA95). The rebased data exist from 1995. For further details see Annex I. The data for the previous period (EAS79) were linked to these data using the growth rates.
2. The level of household indebtedness, in terms of consumer credit and mortgage loans, rose very rapidly during most of the 1990s, during the period of financial liberalisation (see Chapter III of the 1999 OECD *Economic Survey of Portugal*, and Chapter IV below). The fall in interest rates during the period preceding Portugal's entry into EMU was a determining factor in the growth of household credit demand. At the end of 2000, despite the rise in interest rates, household indebtedness had increased further, to more than 80 per cent of disposable income (Bank of Portugal estimates).
3. Home purchase loans rose by about 23 per cent in the second quarter of 2000 on the corresponding period in 1999 – after having risen at an annual rate of close on 30 per cent between 1997 and 1999. Past growth of mortgage lending was fuelled by a relatively generous system of subsidised interest rates. The entry into force of new legislation tightening up the conditions of eligibility for subsidised loans was a major factor in the slowdown in 2000.
4. The introduction of a new employment survey in 1998 complicates analysis of trends over the long period. However, the break in the series hardly affects the evaluation of recent labour market trends: the marked fall in unemployment between 1998 and 1999 is measured in accordance with the new survey, on comparable data.
5. The OECD recently revised its methodology for estimating the unemployment rate compatible with stable inflation (NAIRU) for the OECD countries. See *Economic Outlook*, December 2000, Chapter V, for details of this work, including some considerations regarding the uncertainties that usually surround this type of estimate. The occurrence of a temporary shock in particular, such as that created by the rise in world oil prices, complicates interpretation of inflationary pressures in 2000.
6. The authorities have a certain amount of leeway to adjust taxes on petroleum products, which enables them to cushion at least part of the rise in oil prices. The hike in world oil prices was thus not passed on to the prices of oil imports before the end of March 2000, and then only partially.
7. Comparisons between Portugal and the euro area are based on harmonised consumer price indices; the underlying inflation rate measured from the harmonised index excludes energy, foodstuffs, tobacco and alcohol.
8. Sonia Costa, "Inflation differentials between Portugal and Germany", Bank of Portugal *Quarterly Bulletin*, June 2000; Philip Swagel, "The Contribution of the Balassa-Samuelson effect to inflation: cross-country evidence", IMF, 2000. For more details on inflation

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differentials in the euro area, see also OECD, EMU – *Facts, Challenges and Policies*, 1999, (Box 2) and Alberola E. and T. Tyrvainen (1998) "Is there scope for inflation differentials in EMU? An empirical evaluation of the Balassa-Samuelson model in EMU countries", *Discussion papers* No.15, Bank of Finland.

9. For a detailed analysis of wage formation mechanisms, see OECD, *Economic Survey of Portugal*, 1996.

10. Portugal's effective exchange rates (nominal and real) are calculated on the basis of the foreign-trade weightings for 40 countries.

11. According to international trade data by value, total exports in January-November 2000 were up by 12 per cent on the previous year. Clothing and leather goods exports were down by nearly 7 per cent while exports of machinery and other equipment were up by 12 per cent. Exports of transport equipment are excluded since they were affected in the second quarter by a temporary factor – the reorganisation of the assembly line of one of the large vehicle manufacturers (Auto-Europa). When production resumed in the middle of the year, however, exports revived briskly.

12. In the new presentation applied in Portugal since 1999, which complies with the methodology of the 5th edition of the IMF Balance of Payments Manual, the current account balance excludes capital transfers (mainly from the EU), these being recorded in the capital account. (Current transfers on the other hand, including from the EU, have always been recorded in the current account balance.)

13. Non-financial enterprises have also borrowed significantly in the past few years to pay for foreign acquisitions and financial restructuring.

14. Data in Tables 9 and 10 refer to the general government (including state, social security institutions, autonomous services and regional and local governments) and are given on a national account (transaction or accrual) basis. They differ significantly from the data presented in Tables 11 and 12, which refer to the State sector only and are given on a public accounts (cash) basis. Main differences concern capital revenue and spending, as well as public debt servicing costs.

15. These included the reduction of marginal tax rates for lower income categories through the creation of a new, lower personal income tax bracket, and the reduction of corporate income taxes for certain small and medium-sized enterprises.

16. This was mainly a result of the reduction in the excise tax on oil products (*Imposto sobre Produtos Petrolíferos*, ISP), receipts from which fell by 12½ per cent compared with 1999.

17. The late approval of the 2000 budget (in March), in part related to the electoral cycle, meant that in the first quarter budget allocations were renewed on a monthly basis based on 1999 imputations. This had the effect of reducing expenditures in the first quarter of the year. Subsequently, spending accelerated sharply contributing to trigger the mid-year freeze.

18. Underlying assumptions include output growth of between 3.2 and 3.4 per cent and a consumer-price deflator rise of between 2.7 and 2.9 per cent. Authorities also expect the GDP deflator to remain in the range between 3.4 and 3.5 per cent, leading to nominal GDP growth of about 7 per cent.

19. In Portugal, the annual budget establishes a range (in escudo terms) for excise taxes on oil products. The government then has the flexibility to vary the tax within that range, to a certain extent insulating domestic consumers from the volatility of international oil prices.

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20. Tax efficiency is measured as the difference between the growth rate of total receipts and the GDP growth rate. It results both from efficiency gains proper (improvements in collection etc.), tax measures and from changes in the composition of expenditure and income growth. In the short run, since consumption is highly taxed, domestic-demand led growth will have a higher tax efficiency than export-led growth.
21. The OECD estimates that the effect of a 1 per cent increase in the output gap in Portugal is a widening of the fiscal deficit equivalent to between 0.4 and 0.5 per cent of GDP. Given that the mean value of the maximum output gap recorded in Portuguese recessions since 1975 has been less than 4 per cent, this would translate into a medium-term objective of a maximum deficit in the 1.0 to 1.5 per cent range on a cyclically-adjusted basis.
22. Data refers to the State sub-sector, for which more detailed information is available.
23. The strategy also included swap operations, whereby non-euro denominated debt was converted into euros.
24. Portugal sovereign debt is at present rated AA by Standard and Poor's, the same level as Italy and Greece, but one or two notches lower than the other nine members of the euro area.
25. This special market is based on an electronic (MTS trading) platform.
26. Budget estimates of payroll costs are generally prepared a few months before wage negotiations with public sector unions are concluded, explaining the existence of discrepancies between budget and actual figures. Also, a special (contingent) budgetary endowment is available to the government in order to meet "unforeseen" spending needs. This endowment has in the recent past been largely used to finance the increase in the payroll.
27. The number of active civil servants had declined slightly in the preceding three years (1992 to 1995) as a hiring freeze was in effect.
28. The number of personnel working in these sub-sectors, including administrative personnel, increased steadily to about 20 and 35 per cent (respectively) of total public employment in 2000.
29. This is broadly in line with pay increases in the private sector and reflects to some extent the convergence of wage levels within the euro area.
30. Several measures have been announced to modernise human resource management, including the creation of an employment exchange, a centralised recruitment system and a common database. The authorities expect to start implementing these measures in mid-2001.
31. Pension benefits of older workers (those joining before 1993) are generally calculated based on the last salary, as well as on permanent remuneration granted in the last two years of service.
32. A special regime applies to banking sector employees.
33. Including expenditures with the civil servants' social security scheme, which accounts for approximately one-fifth of total.
34. This would entail making the contributory scheme mandatory only for the portion of the salary up to the cap. For the portion above that, contributions would be channelled to a fully funded scheme. Benefits would be capped accordingly. This measure, if implemented, would ensure the distributive aspect of the original system, while encouraging the development of complementary schemes. The new social security

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base law also opens the possibility of calculating pensions based on the full contributory criteria. At present, only the best ten out of the last fifteen years enter the pension formula.

35. See "*Reforma do Sistema de Segurança Social: Cenários Prospectivos de Estruturação e Financiamento*, 1997-2050", CISEP/CIEF/IGFSS – Research Institutes.
36. When measured according to national accounts, the tax/GDP ratio is higher (Figure 23). The difference mainly stems from imputed employer's social security contributions for government employees that are counted as taxes in national accounts but not in OECD revenue statistics (since the latter are based on cash flows). This does not change the position of Portugal with respect to the EU and the OECD averages, though.
37. In 1999, some tax allowances were changed into tax credits; and a new Stamp Duty Code (in 2000), a new general tax law (*Lei Geral Tributária*) and the Taxpayer Defender, whose role is to facilitate interactions between taxpayers and the tax administration, were introduced.
38. VAT was introduced three years earlier.
39. The Constitution (1997 Revision) is prescriptive about the tax system. It states the goals of the Portuguese tax system as follows: "alongside satisfying the financial needs of the country, the tax system has a re-distributive role." It also outlines the objective of each tax. The personal income tax should redistribute income and hence be progressive and comprehensive. The corporate income tax should be levied on "real income" (usually in accordance with standard accountancy rules). Property taxes should also have a redistribution role. Finally, the taxation on consumption should be "designed to adjust the consumption structure to the development of economic and social justice requirements, and to charge luxury consumption".
40. Schneider *et al.*, 2000.
41. From 1979 to 1986 seignorage revenues (*i.e.* increases in the monetary base) averaged 4.2 per cent of GDP a year, equivalent to 11.9 per cent of total government revenues (Giavazzi, 1988). By 1995, this was reduced to 7.4 per cent.
42. The Decree Law 124/96, known as the *Plano Mateus* (after Mr. A. Mateus, Minister of Economy at the time), set the rules to help enterprises in financial difficulties to recover and at the same time it sets the conditions to recover tax and social security arrears. The effects of this plan were mainly concentrated over the 1997-1998 period and generated additional revenues estimated at a cumulative 250 billion escudos (over 1.2 per cent of 1998 GDP).
43. The Portuguese tax system is presented in detail in Annex II.
44. To improve the redistributive impact of the income tax, in 1999, some individual tax allowances were converted into tax credits (*i.e.* for mortgage interest, education, health expenses, and savings). Their impact on the redistribution of income appears to be very small (Reis, 2000*a*).
45. The bulk (28 percentage points) of the reduction in taxable income was due to deductible expenses; 8½ percentage points was due to deductible health, education and mortgage-interest expenses; and the remaining 3 per cent was forgone to the benefit of retirement and housing saving accounts, acquisition of shares, etc.
46. The figure is inflated by taxpayers who have ceased their activity (thus having zero income from self employment), or who have another activity (for instance as employees and thus have only minor incomes from their self-employment activities, including taxpayers who receive income from intellectual property).

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47. In 1997, with a Gini coefficient just below 0.40, after-tax income distribution in Portugal was one of the most uneven in the OECD. For the majority of countries the coefficients were between 0.25 and 0.35. Pre-tax personal income is also unevenly distributed. In 1994 the distribution of gross wage by decile showed a Gini coefficient of 0.41 with the top two deciles earning 52.5 per cent of total gross wage income (Gouveia and Duarte Neves, 1997). By 1997, gross wage income distribution had slightly widened and the Gini coefficient reached 0.42 (Reis, 2000*a*).

48. The social security system was described in detail in the 1996 *Survey of Portugal* (OECD, 1996) and some of the more recent reforms have been described in subsequent structural surveillance chapters.

49. Reported tax wedges do not include indirect taxes and are therefore biased to different degrees across countries.

50. A study conducted by the Ministry of Finance shows that in 1997 the marginal tax rate on second earners was low for every income decile (Reis, 2000*b*).

51. Numbers in the first column of Table 19 must be interpreted with care, because they mainly represent groups of companies rather than single or individual businesses. Each group (in 1997 there were 170 integrating 1 300 enterprises) is considered as a single taxable entity by the tax code. If companies groups are ranked by size, it is likely that they are at the top level of the corporate profit distribution and that they tend to be the biggest tax contributors.

52. The estimates are drawn from the consolidated financial statement data of a panel of 2 118 European Union manufacturing companies, and thus exclude such important sectors as insurance and financial services (Buijink *et al.*, 1999). As data are drawn from income statements published by the firms in the sample, cross-country differences in effective tax rates may partly reflect the size of the sample as well as differences in accounting practices. Recent estimates by the Ministry of Finance of Portugal, based on macro data (*i.e.* tax revenues over taxable base plus benefits by industry sector), show that the effective corporate income tax rate for the manufacturing sector as a whole (excluding activities in Madeira) was around 30 per cent in 1998, some 5 percentage points below the statutory rate. The OECD has calculated average effective tax rates on capital for the economy as a whole, based on a different methodology, which includes corporate profit taxes, taxes on household capital income and various property taxes. According to these estimates, average effective tax rates on capital for Portugal are significantly lower than the EU average. For details, see D. Carey *et al.* (2000).

53. Dalsgaard (2000).

54. According to estimates carried out by the Regional Government of Madeira (SRPC), between 1991 and 1999 one job was created for every four new companies opened in the free-trade zone of Madeira.

55. In May 1998, the OECD published the Report on Harmful Tax Competition (OECD 1998*a*). Luxembourg and Switzerland abstained from the adoption of the report in Council in April 1998. Following this, a Forum on Harmful Tax Practices was created. This set forth the Guidelines for Dealing with Harmful Preferential Regimes in Member Countries, and adopted a series of Recommendations for combating harmful tax practices. On 26th June 2000, the Forum issued a list of 47 preferential tax regimes that are potentially harmful in the OECD area (OECD, 2000*c*).

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56. This is measured as the ratio between actual VAT revenues and the revenues that would be expected if the VAT were successfully collected at its standard rate on all consumption goods. It therefore indicates the extent to which exemptions, zero-rating, reduced rates and tax evasion affect revenues.

57. According to the EU burden-sharing agreement, the target for Portugal is to restrict average 2008-2012 emissions to 127 per cent of the 1990 level. According to national sources, in 1998 greenhouse gas emissions were 117 per cent of the 1990 level (*ghg.unfccc.int*) and without further action they are bound to overshoot their target. Unless Portugal is prepared to buy in emission permits, it may need to raise post-tax prices of various forms of energy in order to reduce the yearly growth rate of greenhouse emissions.

58. See the OECD *Environmentally Related Taxation in* OECD *Countries: Issues and Strategies* (forthcoming).

59. A large irrigation project – heavily financed by EU transfers – is under construction (the Alcqueva project) and expected to be completed by 2024. Currently, there is a debate in Portugal about how the operating and maintenance, and capital costs should be distributed among the various user sectors (OECD, 1999*e*).

60. Since real-estate and land prices are updated (for SISA, but not necessarily for CA purposes) to market prices only when they are sold, new and recently-purchased properties are heavily taxed while those which have not been on sale for a long time are very lightly taxed. This also creates unequal situations, whereby property taxes can vary substantially among apartments of the same type and/or within the same building.

61. The own taxes of these regions account for about 3 per cent of total tax revenues (OECD, 1999*f*).

62. The new 1998 law for local finances clarified the rules governing transfers from the central government to local authorities and raised the total value of grants to 33 per cent of average revenues from direct taxes and VAT.

63. Total tax revenue/GDP is around 38 per cent, including social security contributions, below the EU average, but slightly above Spain and Greece. A distinctive feature in Portugal is the relatively high reliance on consumption taxes: these account for 42 per cent of total tax revenue, compared with 30 per cent on average in the OECD. On the other hand revenue from personal income tax and social security contributions accounts for a smaller share than in most other European countries.

64. The statutory rate for capital gains is in fact the lowest (zero rate) but it is not shown in Panel A because it is assumed that shares are held for longer than twelve months. For shorter holding periods the rate is 10 per cent (until 31st December 2000).

65. Interest payments are deductible from the corporate income tax base and only subject to the final withholding tax levied at the individual level of 20 per cent. Capital gains are not taxed in the hands of the shareholder and not deductible from the corporate income tax base, therefore the overall statutory rate is identical to the corporate income tax rate. Dividends are not deductible for corporate income tax purposes, but are taxed at both firm and individual level. The overall tax on dividends for 2000 was 51.4 per cent.

66. Estimates of the *Instituto de Gestão Financeira da Seguranca Social* (IGFSS), which manages the general system of the social security contribution in Portugal, show that the self-employed tend to pay the highest legal rate – to benefit from the broad coverage of

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the social security system – but choose the lower base allowed by the system (*i.e.* the minimum national remuneration) in order to minimise taxes without losing the associated benefits.

67. See Centano (2000); for a comparison of employment protection legislation among OECD countries see Chapter IV below.

68. Graham and Lemmon (1998) document that firms facing high corporate tax rates tend to have high levels of debt. This result confirms work by Schulman *et al.* (1996) for Canada and New Zealand, as well as that of Desai (1997), who reports a positive cross-sectional correlation between debt and taxes across a sample of 51 countries. More recently, Graham (1999) found that an increase in corporate taxes has a positive effect on debt finance, while an increase of personal taxes on interest relative to equity income has a negative effect.

69. As in the majority of OECD countries, there is a slight incentive for taxpayers to invest in pension funds because 25 per cent of the amount deposited in a pension plan can be set off against personal income tax liabilities, subject to a limit, while dividends are taxed at the individual level.

70. The tax system is neutral towards corporate financing and investment decisions if the overall tax rate (*i.e.* the combined corporate and personal tax burden) is equal across financing instruments and capital assets, whether the return takes the form of interest payments, dividends, or capital gains.

71. The marginal effective tax wedge reflects the difference between the required pre-tax rate of return an investment has to earn in order to provide a personal investor with the same after-tax return as a bank deposit earning a pre-tax 4 per cent real rate of interest. The estimates shown in Table 25 are based on the King-Fullerton methodology (Gordon and Tchilinguirian, 1998, and OECD, 1991). The results should be interpreted with caution since for some investment and financing decisions they may not adequately reflect the effects of taxation on these incentives. For instance, special depreciation measures are not reflected in the calculations. Other simplifying assumptions are also applied, including perfect competition, a rudimentary treatment of financial structures and the intermediation process, the absence of uncertainty, perfect loss offsetting and capital irreversibility.

72. The system would be completely neutral if dividends were exempt at the individual level and the rate of withholding tax on interest payments were the same as the corporate income tax rate. Alternatively, the system would be neutral if all distributed profits were deductible from the base of the corporate income tax and taxed, on an accrual basis, at the same rate as interest at the shareholder level.

73. Estimates for 2000 suggest that using the 35.2 per cent corporate income tax rate (including *derrama*) the marginal effective tax wedge for equity would be 2.37 per cent, that for debt –0.16 per cent, and that for capital gains 1.3 per cent. Among assets types, they would be 0.47 per cent for machinery, 0.89 per cent for buildings and 1.19 per cent for inventories.

74. In the past couple of years, with low interest rates and generous subsidies and tax incentives, housebuying and housebuilding boomed, and property prices rose.

75. For example, the implementation of RITTA is behind schedule: taxpayers can submit their tax form and receive a notification of the amount of tax to pay, but internet tax payments are not feasible as yet. Payments via automated teller machines (*Multibanco*) are widely used, though.

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76. In 1998, the period before invalidation was reduced from five to four years. On the one hand, the rationale behind this measure was to improve taxpayers' guarantees against delayed tax inspections by the tax administration, which used to schedule its auditing activity at the limit of this period. On the other hand, it gave the wrong incentive to taxpayers who saw the probability of being inspected diminish.

77. In 1997, the cost of collecting taxes in Portugal, roughly measured as the budgetary appropriation (net of new investment costs) of the tax administration, amounted to 1.2 per cent of total revenues (excluding local and social security taxes), which is on the high side among OECD countries (Bronchi, 2001).

78. The main objective of the blue return is to encourage the self-employed and small and medium-sized businesses to keep a minimum set of accounting records. To promote the system, significant tax advantages are offered to corporations and individuals opting for the blue return (Dalsgaard, 2000).

79. For instance, tax incentives to SMEs in Portugal do not seem to be particularly well targeted since SMEs have always represented a high percentage of businesses. This is an indication that not all of them operate in sectors and geographical areas that are subject to market failures.

80. The corporate statutory tax rates was reduced from 36.5 per cent in 1989 to the present 32 per cent, and will fall to 30 per cent in the 2002. The extent to which a lower corporate income tax rate is feasible will depend on whether a widening of its base is sufficient to counteract the loss in revenues from the rate cuts. However, since most companies are already paying a low effective corporate income tax rate, the impact on total corporate income tax revenues should be small, especially if this measure is taken in tandem with a general broadening of the tax base and more effective tax enforcement.

81. The first two are taxed by the corporate income tax rate, while interest payments (which are deductible from the firm tax base) are taxed in the hands of recipients, at a flat tax rate identical to the corporate income tax rate.

82. Even though the full integration of corporate and personal income taxes (*full imputation system*) would be more neutral with respect to financing decisions (debt versus equity), there are several problems related to its implementation. First, taxing retained corporate profits at the personal level is very difficult. Second, it is administratively cumbersome to impute corporation profits to individual shareholders if shares frequently change hands within the fiscal year. Third, it would be extremely difficult to evaluate non-realised capital gains on shares in unquoted private companies. Fourth, there are severe practical problems related to changing the corporate tax system to a full imputation system, not least with respect to international tax agreements (see for instance Messere, 2000). At present, there is no clear tendency in one direction or the other among the OECD countries.

83. See OECD (1998*b*) for further details on the application of VAT on immovable property and the experience of some other OECD countries.

84. Average growth rates have been calculated for the period from 1985 to 2000. Portugal joined the European Union in 1986; it was a founding member of EMU on 1 January 1999.

85. Between 1985 and 1997 the share of employment in the tertiary sector increased by a cumulative 11.6 per cent. The goods-producing sector is more low-education intensive overall than the service sector. In Portugal, the ratio of low-skill to medium- and high-skill labour reaches 7.8 in the goods-producing sector (7.6 per cent in manufacturing

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versus 8.8 per cent in construction). In the service sector, the ratio is lower, at 2.3 per cent overall (and only 1.2 per cent in producer services, which include professional services, financial activities, insurance and real estate). In Spain, the respective ratios are 2.7 per cent in goods-producing activities overall and 1 in the service sector (*cf.* OECD, *Employment Outlook*, 2000).

86. See indicators of revealed comparative advantage in Chapter I, Table 6.

87. The change to a new employment survey in 1998 explains between ½ and 1 percentage point of the decline.

88. By mid-2000, the lack of qualified labour was evident in several sectors of activity: first and foremost in sectors of information technology, but also in more traditional activities, for instance, in the textile and clothing industries, where machine operators were in demand.

89. This is one of the components of the "Internet Initiative" (see below). In this context, teacher-training to adjust to the new (more technological-oriented) curriculum is being intensified. Measures are being taken to increase the skills of both teachers and students in information and communication technology (ICT) at the school level and in formal training programmes.

90. In 1999, about 500 000 workers followed training programmes (both formal and in-firm) for lifelong learning. This represents around 10 per cent of the labour force and compares with figures of 3.5 million and 220 000 respectively for employees and unemployed. Among recent efforts to facilitate upskilling and mobility of the workforce, a Specialised National Agency was set up to co-ordinate adult education and training. Among its various tasks, the Agency aims at building up a competency system that validates informal learning.

91. The two main insertion programmes provide training to the youth unemployed for less than six months and for adults unemployed for less than twelve months (INSERJOVEM and REAGE respectively). They are complemented by a programme aimed at the long-term unemployed. Additional schemes have been set up for workers at risk, before they become unemployed: one of these assists the re-skilling for those employed in sectors or firms in the process of restructuring; regional or sectoral mobility grants can also be provided.

92. The minimum wage (which applies to adult non-agricultural workers) is, at around 45 per cent of mean earnings in the business sector, is lower than in several other EU countries: while Spain has a lower relative minimum wage, the proportion in France is close to 60 per cent, and it is around 50 per cent in Belgium and the Netherlands.

93. Structural funds have been in place since the creation of the European Community (EC) to reduce the gaps between more and less advanced regions. The Cohesion Fund is a new instrument introduced in 1993 to support specifically the least prosperous members (Greece, Ireland, Portugal and Spain) by funding investment projects for environment and transport infrastructure.

94. By 1998, 30 per cent of the railway lines had been electrified, up from 13.6 per cent in 1990, but still below the EU average of 48 per cent.

95. According to the Ministry of Planning, the CSF III, funds are expected to raise the GDP level by 2.1 per cent and to create 81 thousands jobs (1.6 per cent of active population), over the period to 2006.

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96. Some important projects are planned for 2000-2006: increasing twofold the density of motorways (from 15.6 km/100km2 to 32.6/1 000 km2; building a third bridge in Lisbon across the river Tagus; building a new airport; modernising the railways network – by developing the high-speed rail network and extending the Lisbon underground.

97. Notable examples of public-private partnership in the past have been the construction of the Vasco da Gama Bridge in 1998, which was undertaken through a concession contract to build, own, operate and transfer (BOOT) over a period of 33 years, and the motorways construction concession where tolls are paid by the state, with no charges for users. For guidelines on contracting out and details on the Mexican experience in this area, see OECD, *Economic Survey of Mexico* (2000).

98. The legal framework has been adjusted to suit better the requirements of the information society. In 1999, the homogenisation of electronic and common invoices, as well as the legal regime for electronic documents and digital signatures, were approved.

99. SMEs represent 80 per cent of total industrial employment, 70 per cent of total industrial production and investment and 60 per cent of national exports.

100. Overall 34 entities are represented in the Citizen Shops, providing more than three hundred different services. By the end of 2000, two new Citizen Shops will have been created, bringing the total number to four. The next step is the establishment of two Citizen Service Offices, which will be followed by several others to create a network of subsidiaries spread across the country through Post Offices.

101. More recently a "Direct Public Service" has been introduced to allow on-line requests for various administrative certificates (for civil registration, business or property registration, for instance).

102. The full liberalisation of the mobile phone market took place in 1991. At the end of 2000, there were three operators: TMN (part of the Portugal Telecom group), TELECEL and OPTIMUS.

103. The market in this case is understood as only including long-distance services and calls towards mobile phones (*i.e.* eligible calls).

104. A new tariff code was published in September 1998, making it possible for certain large customers to purchase electricity outside the public electricity system. The new tariff code includes separate rates for energy, power, use of transmission and distribution networks, and global use of the system (ancillary services, environmental costs, etc.). Other codes govern commercial relations, network access and dispatch.

105. See IEA, *Energy Policy of* IEA *countries: Portugal* 2000 *Review*.

106. At the time of the merger, in 1999, the state owned 55 per cent of PETROGAL and 100 per cent of GDP, the gas company. By late 2000, the state directly retained only about 35 per cent of GALP's capital. Another 13.5 per cent was held indirectly through CGD, the state-owned financial group. A strategic partner (ENI, the Italian oil and gas group) held a further 33.3 per cent.

107. Member States had two years to implement the Directive. However, Member States in which commercial gas supply started less than ten years ago (Portugal introduced it in 1997) were allowed to ask for a derogation. Portugal has until 2007 to fully implement the provisions of the EU Gas Directive, but no liberalisation schedule is yet available.

108. See European Commission, "Single Market Scoreboard", *European Commission Staff Working Paper* No. 7, November 2000.

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109. In early 1999, a cross shareholding agreement between a domestic financial institution (*Grupo Mundial Confiança*) and a Spanish group (BSCH) was blocked by the government for several months and approved only after significant changes were made to the original deal. At the time, the authorities justified their action by claiming that participants had not fully complied with prudential regulations, but issues of national security were also formally raised. In mid-2000, the government opposed on similar grounds the take-over bid made jointly by a Portuguese and a Belgian company (*Secil* and *Holderbel*) for control of *Cimpor*, a cement company. Both actions have drawn strong criticism from the European Commission, which declared them incompatible with EU competition law.

110. See Bassanini, A., S. Scarpetta and P. Hemmings, "Economic growth: the role of policies and institutions. Panel data evidence from OECD countries", OECD *Economics Department Working Paper* No. 283, January 2001 and Leahy, M., S. Schich, G. Wehinger, F. Pelgrin and T. Thorgeirsson, "Contributions of financial systems to growth in OECD countries", OECD *Economics Department Working Paper* No. 280, January 2001.

111. Prudential rules issued by the bank of Portugal regard minimum capital requirements of companies issuing asset-backed securities, as well as conditions to be fulfilled by the institution where the mortgage originated. Other recent measures of a prudential nature have included: *a*) enabling the Bank of Portugal to require a minimum solvency ratio above 8 per cent in accordance with the risk profile of each credit institution; *b*) the requirement that acquisitions (above a certain ceiling) by Portuguese credit institutions of qualifying holdings in foreign credit or financial institutions be previously notified to the Bank of Portugal; and *c*) the introduction of a regular off-site monitoring of the liquidity position of banks and other credit institutions.

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Annex I

Background information to Chapter I

Revision of the national accounts

In 1999 the National Statistics Institute (INE – *Instituto Nacional de Estatística*) revised the national accounts retroactively to 1995, following the adoption of the new European System of Accounts (ESA 95).[1] ESA 95 has further harmonised the definitions and methodologies of EU Member States and, in a wider international context, is congruent with the United Nations System of National Accounts (SNA 93) and the fifth edition of the IMF Balance of Payments Manual.

The notable features of ESA 95 are that new economic phenomena have been taken into account, the definitions of aggregates have been clarified and adjusted, and the methods of recording transactions have been improved. In the revision process new data sources and estimation techniques have been used, these additional elements being such as to entail substantial corrections.

The methodological changes that have most affected the Portuguese national accounts are as follows:

- The definitions of *production* and *investment* have been broadened to include – among other items – software, database creation, literary-artistic work and recreational activities.
- *Investment* now includes military equipment that can be converted to civilian uses (this was classified as intermediate consumption under the previous accounting system – ESA 79).
- *Consumption of fixed capital* covers all fixed assets, notably public infrastructure (roads, bridges, railways), not included by ESA 79. The main effect of this change is to increase public consumption expenditure.
- The concept of *household consumption* now used is more restricted than before. It covers only the portion of expenditure actually borne by households (final consumption expenditure) and excludes the expenditure financed by government (such as refund of medical expenses, housing allowances, etc.). Under ESA 95 this government-financed expenditure is treated as part of *final consumption expenditure by government*.
- All transactions now have to be recorded on an accrual basis (*i.e.* when economic value is created or extinguished), unlike the method used in ESA 79 with recording on a cash basis (inward and outward payments). This change should have the effect of increasing the amount of tax revenue and expenditure on interest payments.
- The rules concerning the distinction between market and non-market output have been clarified and are now based on the concept of economically significant price.[2] This entails changes in the demarcation of the institutional sectors, especially the general government sector.

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Main effects of the revision

The introduction of ESA 95 has led to corrections in the main components of aggregate demand (Table A1). Final consumption has been scaled up by 3.6 per cent, with investment down slightly owing to the changes in sources and estimation techniques. All told, the value of GDP in 1995 has been adjusted upwards by 2.7 per cent and the annual growth rates between 1995 and 1998 are now slightly higher than those estimated on the basis of the old quarterly accounts (Figure A1, Panel A). For 1996 the difference is 0.4 percentage point, narrowing to zero in 1998.

Table A1. **Effect of the revision on GDP and its components**
1995[1]

	ESA 79	ESA 95	Difference
	Escudo billion, current prices		Per cent
Final consumption	13 033.7	13 503.0	3.6
Gross fixed capital formation	3 742.8	3 725.5	–0.5
Domestic demand	16 891.4	17 228.5	2.0
Exports	4 878.8	4 891.7	0.3
Imports	5 968.1	5 889.5	–1.3
Gross domestic product	15 802.1	16 230.6	2.7

1. The annual national accounts compiled in accordance with the previous European System of Accounts (ESA 79) were available up to the year 1995 (the quarterly national accounts up to the fourth quarter of 1998).

Source: INE

As a result of the changes introduced, industry now has a smaller economic presence. On the new basis the weight of industry, construction and electricity in 1995 is down to 26.7 per cent of total value added, compared with 32.4 per cent on the old basis, while the weight of services is increased commensurately.

The new system has also brought changes in the financial accounts of general government (Table A2). The total budget balance has been revised to allow for a number of factors such as the different demarcation of the institutional sector, the broadened concepts of production and investment and the new system of recording transactions. For 1995 the revision has lowered the budget deficit by 1 percentage point of GDP (Figure A1, Panel B), whereas from 1996 the deficit is slightly higher on the new basis than on the old (+0.2 point in 1999). Other conceptual changes[3] have modified the composition of revenue and expenditure without affecting the budget balance.

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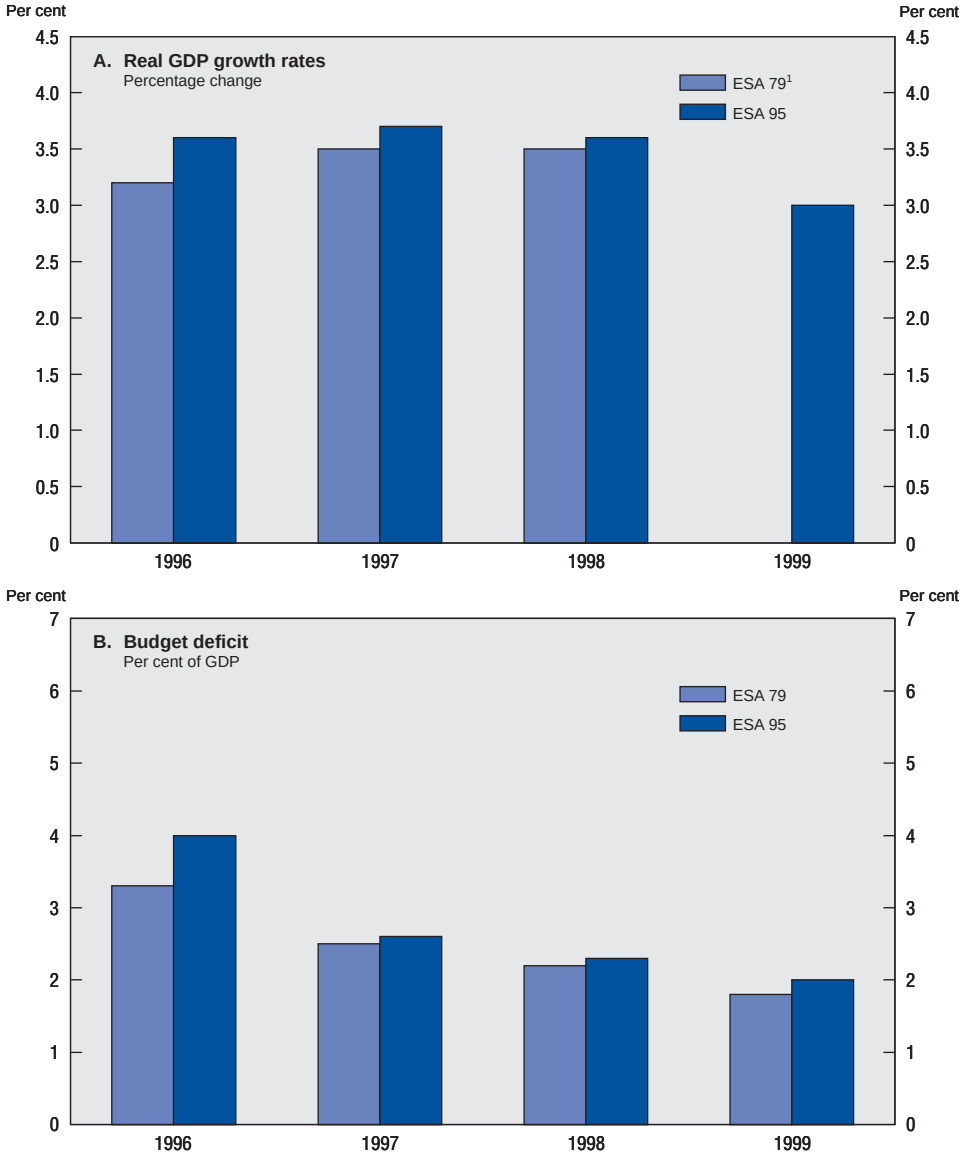
Figure A1. **Effects of the National Accounts revision on real GDP and on the budget balance, 1996-1999**

Per cent



1. Growth rates are based on the quarterly national accounts, which are available only until 1998.

Source: INE; Ministry of Finance.

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Table A2. **Effect of the revision on the financial accounts of general government**
1995

	ESA 79	ESA 95	Difference
	Per cent of GDP		
Current receipts	38.8	38.4	–0.4
Direct taxes	9.3	9.3	0.0
Social security contributions	11.3	10.9	–0.4
Indirect taxes	14.0	14.2	0.2
Other public revenue	4.2	4.0	–0.2
Current expenditure	41.1	39.7	–1.3
Public consumption	17.7	18.8	1.1
Subsidies	1.1	1.4	0.3
Interest payments	6.3	6.2	–0.1
Other transfers	16.0	13.4	–2.6
Current balance	–2.4	–1.3	1.0
Capital receipts	1.9	1.9	0.0
Capital expenditure	5.3	5.1	–0.2
Total budget balance	–5.7	–4.6	1.1

Source: INE and Ministry of Finance.

Notes

1. INE (1999), "Novo sistema de contas nacionais portuguesas", *Destaque*, May; INE (1999), "O sector institutional das administrações públicas e a transição do SEC79 para o SEC95 – implicações", *Revista de Estatística*, No. 10.
2. A price is economically significant if it covers at least 50 per cent of the production costs.
3. For example, broadening of the concept of *public consumption expenditure* and clarification of the definition boundaries between taxes and payments for services and between subsidies and social transfers.

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Annex II

Main features of the portuguese tax system 2000

Tax	Nature of tax	Deductions, credits and exemptions	Rates	
			Taxable income (values in 1 000 escudos)	Rate
I. Income taxes 1.1. Personal income tax (IRS)	IRS is levied on income derived by individuals resident in Portugal (including income from abroad) and by non-residents receiving taxable incomes originated in Portugal. There are nine categories of income (identified by letters A to I), that include dependent employment, self-employment, pensions, business income, agricultural income and income from real estate. It is also levied on other net worth accruals resulting from extraordinary proceeds or windfall gains (*e.g.* capital gains and winnings from gambling). Methods for income determination and tax collection may vary according from category to category.	Social security subsidies and allowances, meal allowances, allowances for occasional losses, travel and lodging allowances if lower than limits established by law, and capital-gains from alienation of investment units and other public debt securities and equity if owned for more than 12 months are exempt. Capital gains from the sale of a dwelling are exempt if reinvested in another property with the same purpose. Only a share of the income from literary, artistic and scientific property, as well as earned income and pensions received by disabled people is taxed (50 per cent and 30 per cent respectively).	Up to 730 Over 730 up to 1 149 Over 1 149 up to 2 840 Over 2 840 up to 6 581 Over 6 581 **Schedule for 2001** Up to 800 Over 800 up to 1 210 Over 1 210 up to 3 000 Over 3 000 up to 6 900 Over 6 900 up to 10 000 Over 10 000	14 15 25 35 40 12 14 24 34 38 40

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Tax	Nature of tax	Deductions, credits and exemptions	Rates
	It is paid annually on the basis of the household income tax return that must be submitted from February to April of the following year. Discharged from production of such tax return are individuals who only derived incomes taxed at final withholding rates and not opting for their aggregation as well as those persons who only obtain income.from pensions not exceeding the year amount of domestic minimum wage. The income of the spouses and their dependants is aggregated, and the tax is determined according to the splitting system (division by 2). Beneficiaries of earned income from self-employment or from a commercial, industrial or agricultural activity are required to pay three annual instalments whenever the tax exceeds certain limits. Income from employment (in accordance with a schedule published each year) as well as income from capital, self-employment, real estate and commercial, industrial or agricultural activity under certain conditions are subject to withholding at source at the rates provided by law.	Special deductions are made from gross income derived for each income category: – Category A (employment): 70 per cent of amount received without exceeding a maximum limit fixed each year, or 72 per cent of 12 times national minimum wage, if greater. – Category B (self-employment): expenses connected with the exercise of a professional activity, mostly subject to a individual limit (10 per cent of gross professional income and a overall limit (up to 25 per cent of overall income). – Categories C (business activity) and D (agriculture): business costs effectively incurred; income from agricultural activity is transitorily taken into consideration by 40 per cent of its amount. – Category F (income from real estate): repairs and maintenance expenses effectively incurred. – Category G (Capital-gains): only 50 per cent of the net annual gain is taxable; this rule does not apply to realised gains from the sale of financial assets (where a 10 per cent special rate is in force). – Category H (pensions): up to the maximum threshold fixed each year (1 482 000 escudos for 2000).	

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Tax	Nature of tax	Deductions, credits and exemptions	Rates
	In relation to non-residents, withholding is final and is levied on earned income and pensions (at a 25 per cent rate), winnings from gambling (35 per cent) and income from capital (rate variable according to type of income). Withholding at source and payments on account give rise to a refundable tax credit that is set off against the tax liability.	Losses in one income category cannot be deductible from credits in other categories (excepting F), but they can be carried-forward for five years. Certain expenses can be credited against the IRS tax liability: – Health and education expenses, costs incurred with homes for old-age care, insurance, renewable energy sources. – Amount payable under CA. – 25 per cent of the amount deposited in a saving account destined to finance the purchase, construction ore restoration of primary residence with an annual limit of 107 100 escudos per taxpayer. – 25 per cent of the contributions to a private pension and education investment plan with an annual ceiling of 109 200 escudos per taxpayer. – Payments on account and withholding at source. Credits are non-wasteable. However, no negative tax is granted, excessive credit can be carried forward within the same income category.	
Final withholding rates	A final withholding tax applies to capital income and other items.	Only 60 per cent of dividends from quoted shares are taxable in 2000, while in 2001 the amount will raise to 80 per cent.	10 per cent on capital-gains resulting from the sale of shares, quotas and other securities. 15 per cent on capital-gains resulting from the transfer of know-how.

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Tax	Nature of tax	Deductions, credits and exemptions	Rates
		Alternatively, a shareholder can elect to pay IRS on distributions from corporations, portfolio investment funds, or venture capital funds. In this case, the tax withheld is regarded as an advanced payment and a credit of 60 per cent of the underlying corporate income tax is granted.	15 per cent on dividends from quoted shares in 2000 (only 60 per cent being taxable) and 20 per cent in 2001 (only 80 per cent being taxable). 20 per cent on qualifying payments made by real estate investment funds. 20 per cent interest on deposits and securities. 25 per cent dividends from unquoted shares. 35 per cent winnings from gambling.

			Rates		
			Employee	Employer	Combined
1.2. Social security contributions	Social security contributions are shared between employers and employees according to the scheme presented in the next table. The tax base for general employees is the gross salary. No ceiling applies. Members of corporate boards may contribute 10 per cent, but the base of their contributions is subject to a maximum of 12 times the minimum salary for all companies together.	Dependent workers			
		General rates	11	23.7	34.7
		Disabled workers	11	12.5	23.5
		Members of corporate boards	10	21.25	31.25
		Clergy	4	8	12
		Soccer professionals	11	17.5	28.5
		Domestic services	11	20.6	31.6
		Agricultural workers	8-9.5	21-23	29-32.5

Rates		
Employee	Self-employed	Combined
25.4-32	n.a.	25.4-32

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Tax	Nature of tax	Deductions, credits and exemptions	Rates
	Independent workers; intellectual workers and artists; members of group agricultural companies, and members of production and services co-operatives can opt between two social security schemes: at rate of 25.4 per cent for compulsory minimum coverage and at rate 32 per cent for broader coverage. Those who begin an independent activity at the age of 55 years or more can select a tax base with a maximum limit of 6 x SMN		
		Exemptions, deductions and depreciation	Rates
1.3. Corporate income tax (IRC)	IRC is levied on corporate income earned by resident companies. Non-resident entities with a permanent establishment in Portugal are taxed on profits attributed to them or, if there is no such permanent establishment, on incomes from different categories, as such defined under IRS. For the purposes of determining the taxable base, a distinction is made in respect of resident entities whether they exercise or not as their main activity a commercial, industrial or agricultural activity. In the first case (*e.g.* trading companies, co-operatives, public enterprises, etc.), IRC shall be levied on their profits; in the second case (*e.g.* associations and foundations), IRC charges the sum of incomes from different categories, as defined under IRS.	The main entities that are exempt from the IRC are the State, Regional and Local Administration, public social security and solidarity institutions (excluding capital income); agricultural, cultural, consumption, housing and social solidarity co-operatives, and pension funds. Capital gains derived from the alienation of corporate rights and other marketable securities by non-resident legal persons are exempt, except if such entities are, directly or indirectly owned for more than 25 per cent by resident entities. Costs incurred and deemed as absolutely necessary for the realisation of profits are deductible. Losses for tax purposes can be carry forward for up to six subsequent fiscal periods.	32 per cent: increased by a local surcharge (*derrama*) that can reach 10 per cent of the IRC rate (*i.e.* 32 per cent + 3.2 = 35.2 per cent) – on profit obtained by resident entities exercising as their main activity a commercial, industrial or agricultural activity, and non-residents with a permanent establishment in Portugal. 25 per cent applies until 2005 to real estate management and investment companies. 20 per cent applies to small businesses with an average turnover below 30 million escudos.

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Tax	Nature of tax	Exemptions, deductions and depreciation	Rates
	IRC is paid annually, on the basis of tax return and payable, as a general rule, upon submission of the tax return. Resident entities exercising as their main activity a commercial, industrial or agricultural activity, as well as non-residents with a permanent establishment must pay IRC on three instalments based on 85 per cent of the IRC paid in the previous year, the difference will be set upon delivery of the annual tax return of the subsequent year.	Depreciation allowances are available for tangible and intangible assets that are used for business purposes. Inventories cannot be depreciated, however a tax deduction may be granted if at the end of a financial year the market value is less than the historic cost. Both straight-line and declining balance methods are allowed.	25 per cent: on income obtained by non-resident legal persons and not attributable to a permanent establishment, except if derived from intellectual or industrial property, or from the supplying of know-how (15 per cent), from bonds and debentures and other income from capital (20 per cent), or winning from gambling (35 per cent). Confidential or non-substantiated expenses, as well as entertainment expenses and motor vehicles charges: taxed autonomously at 32 per cent and 6.4 per cent, respectively.
Withholding at source	Tax withheld at source has the nature of an advance payment and has the same rates as IRS withholding taxes. For income paid to non-residents that are not a permanent establishment, the withholding tax is final, with the exception of income from real estate.		
Special issues	**Fiscal transparency regime**: for the purpose of neutrality, prevention of tax avoidance and elimination of the economic double taxation on profits between company members, under certain conditions (*e.g.* professional companies and ACE's – Complementary Enterprise Groupings) there shall be attributed to members thereof their share in profits, regardless of these being distributed or not.		

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Tax	Nature of tax	Exemptions, deductions and depreciation	Rates
	Mergers and separations: the special regime contained in Directive 90/434/EEC applies. **Capital gains from tangible assets**: deferral of tax in case of reinvestment up to the end of third subsequent fiscal period.		
2. Taxes on property 2.1. Local tax on real estate	A municipal tax is levied on the net worth of property situated within the territory of each municipality and is payable by all owners (resident or non-resident individuals or legal persons). Insofar as the Evaluation Code is not published, the net worth of real estate is determined, in most cases, by way of an updating of values inscribed in respective registers. Payment of tax can be made in two yearly instalments if it exceeds 50 000 escudos.	Exempted are, *inter alia*, real estate owned by the State and other public entities, including their associations and federations, real estate classified as national monuments, as well as real estate owned by private social welfare institutions, teaching establishments, public associations, trade union and employers confederations and associations. Residential housing may benefit from a temporary exemption (for a maximum of ten years). In relation to real estates of construction companies liability to the local tax takes place after a five-year (building land) or three-year (other immovable property) period.	0.8 per cent: on rural (non-built) property. 0.7 to 1.3 per cent on urban buildings (the rate is fixed by each municipality annually).
2.2. Municipal transfer tax ("Sisa")	Municipal tax levied on the purchase price of immovable property; the tax is born by the buyer.	There are different kinds of exemptions and rate reductions, such as exemption provided for the acquisition of buildings for resale, under certain conditions, as well as acquisition of a dwelling if its value does not exceed the amounts fixed each year (P11.4 million escudos for 2000).	10 per cent: on the transfer of urban property or building land; 8 per cent: on other immovable property. In case of transfer of residential property, the tax rates are as follows:

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Tax	Nature of tax	Exemptions, deductions and depreciation	Rates	
			Taxable amount (values in 1 000 escudos)	Rate applicable to amount in excess
			Up to 11 400	0
			Over 11 400 to 15 620	5
			Over 15 620 to 20 820	11
			Over 20 820 to 26 020	18
			Over 26 020 to 31 520	26
			Over 31 520	10 Proportional rate
		Exemptions, deductions and depreciation	Rates	
2.3. Gift and inheritance tax (ISD)	Tax levied on the transfer, free of charge, of movable and immovable property, payable by the beneficiaries of such transfer (heirs and legatees). In determining the applicable rate, there shall be aggregated all assets received from the donor, even if in different periods of time. Tax is payable by instalments every six months up to a maximum of 16 instalments.	There are some exemptions that depend on the amount transferred and on the degree of kinship between the donor and the beneficiary. E.*g*. the first 730 000 escudos are exempt if the recipient is the spouse and immediate descendants, 350 000 escudos if first degree ascendants. Inheritances, legacies and bequests in favour of public utility legal persons, museums, libraries, schools and other institutions belonging to the State and other public services are exempt.	Progressive rates by brackets in accordance with kinship degree between the donor and the beneficiary – from 3 per cent (transfer in behalf of spouses and major descendants not exceeding 2 860 000 escudos) to 50 per cent (transfer between "third persons" over 71 240 000 escudos).	
3. General taxes on goods and services 3.1. Value added tax (VAT)	VAT is a tax levied on the consumption of goods and services, applicable in all stages of the economic circuit within the Portuguese territory. In its statutory structure, it adopts the Community model in force, as established by Directive 77/388/EEC, of 17 May 1977.	Exemptions are established within very strict limits, along the lines drawn by VAT Common System.	Reduced rate (5 per cent): applicable to essential foodstuff, water, electricity, passenger transport, public shows and entertainment, certain building contract jobs, accommodation in hotel establishments, and agricultural goods.	

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Tax	Nature of tax	Exemptions, deductions and depreciation	Rates
	Liable to VAT are the supply of goods, services, imports, intra-Community acquisition of goods and intra-Community acquisition of new means of transport. As a general rule, the taxable amount will correspond to the effective price of goods or services (including taxes, duties and levies other than VAT), but tax liability for each business operator is calculated according to the tax credit method after deduction of tax borne on acquisitions made during that same period of time. Tax is paid monthly or quarterly according to the business operator's turnover.	Other than exports and assimilated operations which are exempted under the destination principle, there are some exemptions (the so-called single exemptions) within the scope of certain activities – doctors; health services; culture and sport services supplied by non-profit making entities, by public law legal persons or by private welfare institutions; banking and financing operations; insurance and reinsurance operations; gambling, lotteries and betting; conveyance liable to "SISA"; lease of immovable property; agricultural products. Operators covered by these exemptions are not requested to assess tax, but are not allowed to deduct tax borne on their inputs. The State and all other public law legal persons shall not be liable to tax if their activity consists in the exercise of authority powers.	Intermediate rate (12 per cent): applicable to some food items, ornamental flowers and plants, and supply of restaurant services (meals and beverages). Standard rate (17 per cent): applying to all supplies of goods and services not covered by the reduced and intermediate rate or exempt.
Special regimes	**Small retailers**: In relation to taxpayers not keeping an organised accounting and whose acquisitions do not exceed 10 million escudos, tax is estimated quarterly by applying a coefficient of 25 per cent on the amount of tax borne on the acquisition of goods intended for resale.		

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Tax	Nature of tax	Exemptions, deductions and depreciation	Rates
	Exemption regime: Small taxpayers not keeping an organised accounting and whose turnover did not exceed in the previous year 2 million escudos may benefit from a special VAT regime, being not required to assess VAT in the exercise of their activity and not deducting VAT from their acquisitions. **Other special taxation regimes**: special regime for fuel; special regime for tobacco; regime applying to travel agents and operators; regime for second-hand goods, art or collection works and antiques.		
3.2. Excise taxes (IEC)	Levied on manufactured tobacco, alcohol, alcoholic beverages and petroleum products, according to the relevant EU directive. Taxation occurs upon the entry into consumption of these goods, the production and processing of which is carried out under a tax suspensory scheme in fiscal warehouses; tax self-assessment is operated on the basis of entry into consumption statements		Rates vary according to the product: For cigarettes the tax has two components: a specific one – fixed on a given amount, and an *ad valorem*. For alcoholic beverages the tax depends on alcohol content or hectolitre volume. For petroleum products the tax is calculated by reference to brackets set each year.
3.3. Tax on motor vehicles (IA)	The IA is levied on light motor vehicles imported (as new or second-hand) or newly acquired, including those assembled or manufactured in Portugal and immatriculated therein. It covers light passenger vehicles and vehicles for the transport of goods not exceeding 2 500 kg where object of conversion. It is a specific single-stage tax payable by importers or acquirers of motor vehicles.	There are some exemptions applicable in case of transfer of residence to Portugal by Portuguese or Community citizens, diplomats, public utility institutions or of relevant social interest, disabled persons. Imported second-hand motor vehicles benefit from a tax relief under certain conditions.	The rate is determined according to cylinder capacity brackets and type of motor vehicle.

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Tax	Nature of tax	Exemptions, deductions and depreciation	Rates
3.4. Stamp duty (SELO)	Tax levied on deeds, contracts, documents, securities, books, papers and other facts described by law, payable by whoever holds an economic interest in the taxable operation. Financial deeds and operations (checks, bills of exchange and promissory notes, loans, guarantees, etc.) represent the main base.	It is not levied on operations subject to VAT and other operations linked to life insurance, financing operations within the same group of companies, subventions, etc.). The State and all other public entities, including regional and local authorities; social security institutions; public utility legal persons; and private social welfare institutions are also exempt.	Lump sum of 5 000 escudos for each notary deed; In the case of a loan, a rate is applied on the amount requested. The rate varies between 0.04-0.06 per cent depending on the period of availability of the loan.
3.5. Municipal tax on motor vehicles (IMV)	Tax due by the owner of motor vehicles and payable in the municipality of residence, corresponding to taxation levied on the use or the right to use light and mixed passenger vehicles, private aircraft, private pleasure boats and motorcycles. Tax is paid each year usually during the months of June and July.	Among others, there are exemptions in favour of the State and other public entities, local authorities and respective federations and unions, public utility legal persons, disabled people.	Tax rates vary according to the type of vehicle (age and cylinder capacity for motor vehicles and motorcycles; maximum weight at takeoff for aircraft; and gross gauge tonnage, propelling power and age for pleasure boats).

Source: Ministry of Finance.

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Annex III

Tax incentives for corporate income tax purposes*

Tax incentives for corporate income tax purposes are set forth in national tax legislation laid down in the Corporate Income Tax Code (CIRC), the Tax Incentives Statute (EBF), the Patronage Statute (Maecenas Statute) and decree laws, as well as in legislation enacted by the autonomous regions of the Azores and Madeira. The most important incentive regimes are presented below.

Incentives under national legislation

Financial derivatives

To encourage domestic trade in financial derivatives, only 80 or 90 per cent of the net income or losses arising yearly on futures and options closed on the exchange market for purposes other than hedging is included in taxable income in 2000 and 2001, respectively. Special rules apply to loss carry-forwards.

Furthermore, an exemption from IRC applies to income derived in connection with swap transactions entered with resident credit institutions by non-resident financial institutions without Portuguese-based permanent establishment.

Free-trade zones of the Azores and Madeira

Under the state-aid rules of the European Union, Portugal was authorised to enact a socio-economic programme aimed at overcoming the structural underdevelopment of the autonomous regions of the Azores and Madeira.

Qualifying industrial, shipping, international services (holdings, trusts other than engaged in financial activities, trading companies) and financial entities (banking insurance, investment funds) licensed within the Madeira Free Trade Zone or Santa Maria Island Free Trade Zone (Azores) are eligible for exemption from IRC until 31 December 2011. In addition, only non-resident shareholders and partners without a Portuguese-based permanent establishment (other than based in the said Free Zones) deriving income from their holdings are exempt from IRC withholding. Exceptions regard to holdings owned by residents in companies operating in the Industrial Park of the Free Trade Zone and or in shipping companies.

* *Source*: De Sampayo Ribeiro (2000).

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Other salient features of this incentive include:

- Royalties, fees for technical assistance, know-how and leasing of equipment, agency commissions and business-related fees paid by licensed entities to non-residents without a Portuguese permanent establishment (other than based on the free zones) are exempt from IRC withholding.
- Exemptions from stamp duty, municipal real estate tax and transfer tax, inheritance and gift tax, local charges of any kind, notary and registrar fees; and
- Companies licensed in the free zones qualify as Portuguese tax residents, unless treated otherwise under a tax treaty.

Contractual tax incentives

Industrial investment projects from 1999 through 2010 which involve 1 billion escudos or more and are deemed to be of a strategic interest to the domestic economy and encourage job creation, technological innovation and domestic scientific research are eligible for contractual tax incentives. The incentives, which are granted by the central government on a case-by-case basis for a maximum period of ten years, include a 5 to 20 per cent investment tax credit and an exemption from or reduction of real estate tax, transfer tax and stamp duty.

Also eligible for contractual tax incentives are direct investment projects in listed activities carried out in 1999 through 2010 by Portuguese-based companies abroad (excluding tax-free zones and tax jurisdictions considered as reduced tax territories or countries listed in a government decree) involving at least 50 million escudos and designed to internationalise the Portuguese economy. The incentives are granted for a maximum period of five years and include:

- A 10 to 20 per cent investment tax credit, limited each year to the lower of 25 per cent of the taxpayer's IRC liability and 200 million escudos; and
- A 95 per cent exemption for dividends received by a resident parent from its 25 per cent or more owned non-resident subsidiary (provided that the investment abroad resulted in a newly-created non-resident company or the acquisition of an existing non-resident company.

With respect to investment projects in EU member states, the contractual tax incentive scheme is available only to small and medium-sized enterprises, as defined by EC law.

Investment credit for small and medium-sized companies

An extraordinary investment tax credit is available to qualifying enterprises to promote their self-financing and to increase their equity and productive investment from 1998 through 2000.

Qualifying companies may credit against their IRC liability (as shown on their annual tax return) 10 per cent of the amount by which the current year's investments (during 1998 through 2000) in new plant and machinery used in the investor's business in Portugal exceeds the average investment cost in the two preceding years. The credit is limited to 30 per cent of the investor's IRC liability. The limit is 40 per cent, however, if either the enterprise's taxable profit in the year of investment is at least 20 per cent higher than the taxable profit of the preceding year and the enterprise retained profits in an amount equal to such 20 per cent.

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Micro enterprises

Qualifying IRC taxpayers, other than corporations (SAs), whose average turnover over the period 1997/98 did not exceed 30 million escudos are subject to IRC at a rate of 20 per cent. In addition, where the qualifying taxpayer makes investments in backward areas during the years 2000 through 2002, the IRC rate is 15 per cent. Furthermore, a credit against their tax liability of 15 per cent of the amount of additional investments up to the limit of 35 per cent of the investor's IRC liability applies. Any share capital increases are exempt from all taxes, fees and charges.

Tax credit for research and development investments

An investment credit is available for resident entities and Portuguese permanent establishment of non-resident entities in respect of qualifying research and development (R&D) expenses. The amount creditable against the taxpayer's IRC liability is the sum of a basic investment tax credit equal to 8 per cent of the qualifying expenses incurred plus an additional credit equal to 30 per cent of the amount (limited to 50 million escudos) by which the qualifying costs for the relevant years exceeds the average R&D expenses incurred in the two preceding years; any unused investment tax credit may be carried forward for three years.

Incentives under regional tax legislation

Autonomous region of the Azores

Effective from 1 January 1999, the Azores introduced a reduction of the general IRC rate by 30 per cent; thus for 2000, the rate is 22.4 per cent. The reduced rate applies to the following taxpayers:

i) Legal entities with their legal seat, place of effective management or permanent establishment in the Azores.

ii) Legal entities with their legal seat or place of effective management in Portugal and with branches, agencies, offices or any other form of permanent representation without legal personality in more than one area (*circunscrição*); and

iii) Legal entities without their legal seat, place of effective management or permanent representation in Portugal. In this case, the reduced tax is withheld as a final tax on income derived within the Azores.

Special rules determine the tax liability of taxpayers mentioned in *ii*). In addition, regarding those taxpayers, the turnover derived abroad is imputed to the Azores only if the permanent establishment in which the accounting records are centralised is based in the Azores.

Furthermore, the taxpayers may credit against their IRC liability an amount corresponding to a percentage of eligible business or agricultural profits reinvested. The percentage varies depending on the location of the investment. The credit is limited to the amount of the taxpayer's IRC liability and can be carried forward for three years. Special rules define the eligible investments and the profits eligible for reinvestment.

The deduction mentioned above can be accumulated with other benefits of the same nature which are available under national law.

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With regard to the tax incentives which may be granted under a contractual basis (see above), the Azores Regional Government can grant favourable tax treatment for IRC and municipal real estate tax purposes.

For the Santa Maria Island Free Trade Zone, see provisions under national legislation, above.

Autonomous region of Madeira

Qualifying IRC taxpayers with their legal seat, place of effective management or a permanent establishment in Madeira may credit against their IRC liability an amount equal to 15 per cent of the profits reinvested in tax years 2000 through 2002. This credit is limited to the amount of the taxpayer's IRC liability and can be carried forward for three years. Specific requirements apply to both the assets and the taxpayer. This benefit cannot be accumulated with any other tax benefit of the same nature.

The national regime on contractual tax incentives (see above) has been adapted to regional specific interests. Investment projects in productive units regarded of significance to enhance regional strategic sectors, job creation, technological innovation and regional scientific research made by 31 December 2010 and involving 350 million escudos or more may benefit for a period of ten years of a 10 to 30 per cent investment tax credit, exemption or reduction; exemption or reduction from municipal real estate tad and transfer tax on qualified premises; and exemption from stamp duty. In addition, projects involving at least 100 million escudos may qualify for the referred tax benefits provided that the requirements set forth by the regional government are complied with.

For the Madeira Free Trade Zone, see provisions under national legislation above.

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Annex IV
Calendar of economic events

1999

January

Start of the third phase of the European Economic and Monetary Union. Formal introduction of the euro.

Tightening of conditions of eligibility for interest rate relief on mortgage loans.

Liberalisation of one-third of the electricity market.

March

EU heads of state and government meet in Berlin: the Council of Ministers adopts the draft regulations on reform of the structural funds for the period 2000-2006.

April

The European Central Bank cuts its main lending rate by 50 basis points down to 2.5 per cent.

The Bank of Portugal increases the provisions for consumer credit.

Creation of *Petróleo e Gás de Portugal* (GALP), merging the national oil company (PETROGAL) and the national gas company (GDP).

May

Publication of the 1999 revision of the National Employment Action Plan.

Privatisation (3rd phase) of 21.3 per cent of the company holding the concession for motorway construction and management (BRISA).

June

The Bank of Portugal raises the rate of provisions for consumer credit from 1 to 1.5 per cent.

July

Introduction of new labour legislation on part-time work.

Start-up of the services of the private concessionaire (FERTAGUS) for rail passenger transport on a new line serving the Lisbon suburbs.

Privatisation (4th phase) of 13.4 per cent of Portugal Telecom.

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August

Reduction of compensation payable by employers in cases of layoff.

Introduction of a special part-time work scheme for employees aged over 55.

September

Inauguration of the first two "Citizen's Shops" in Lisbon and Oporto.

November

The European Central Bank raises the interest rate for the Eurosystem's main refinancing operations by 0.5 percentage point to 3 per cent.

December

Creation of a private company for stock exchange management, following the merger between the Lisbon Stock Exchange and the Oporto Derivatives Exchange.

2000

January

Commencement of the Portuguese presidency of the Council of the European Union.

Liberalisation of the long-distance telecommunications market (domestic and international calls).

February

The European Central Bank raises the interest rate for the Eurosystem's main refinancing operations by 0.25 percentage point to 3.25 per cent.

Publication of the Stability and Growth Programme for the period 2000-2004.

March

The European Central Bank raises the interest rate for the Eurosystem's main refinancing operations by 0.25 percentage point to 3.5 per cent.

Parliament approves the budget for 2000. The budget deficit target is set at 1.5 per cent of GDP.

Lisbon Special European Council on "Employment, Economic Reform and Social Cohesion".

The European Commission approves Community Support Framework III for the Portuguese regions.

Fuel prices raised by 12 per cent (on average).

The new Securities Market Code enters into effect.

April

The European Central Bank raises the interest rate for the Eurosystem's main refinancing operations by 0.25 percentage point to 3.75 per cent.

Publication of the 2000 revision of the National Employment Action Plan.

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June

The European Central Bank raises the interest rate for the Eurosystem's main refinancing operations by 0.5 percentage point to 4.25 per cent.

Santa Maria da Feira European Council. End of the Portuguese presidency of the EU Council.

Approval of the privatisation programme for the period June 2000-June 2002.

July

Parliament approves the new Social Security legislation.

Public spending freeze set at 0.5 per cent of GDP.

Commencement of operations of the Special Market for Public Debt Trading (MEDIP), replacing the Special Market for Block Trading.

The Bank of Portugal raises the risk weighting of home mortgage loans from 50 to 100 per cent in the case of loans exceeding 75 per cent of the real value of the property.

Privatisation (2nd phase) of 15 per cent of GALP.

August

The European Central Bank raises the interest rate for the Eurosystem's main refinancing operations by 0.25 percentage point to 4.5 per cent.

September

Creation of the National Council of Financial Supervisors to co-ordinate action by the different supervisory authorities.

October

The European Central Bank raises the interest rate for the Eurosystem's main refinancing operations by 0.25 percentage point to 4.75 per cent.

Privatisation (4th phase) of 20 per cent of the national electricity company EDP.

November

Parliament approves the budget for 2001. The budget deficit target is set at 1.1 per cent of GDP.

December

Award of four mobile telephony licences (UMTS).

Parliament approves the tax reform applying to taxation of incomes.

Privatisation (5th phase) of 8 per cent of Portugal Telecom.

2001

January

Fuel prices raised by 3 to 4 per cent (on average).

Liberalisation of the local and regional telecommunications market.

Publication of the Stability and Growth Programme for the period 2001-2004.

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